

ASIA Siyaka
COMMODITIES PLC.

Shaping Our Future

Asia Siyaka Commodities PLC | Annual Report **2021/22**

Contents

About This Report / 2
Welcome to Our Integrated Report / 3
Performance Highlights / 4
About Us / 7
Chairman's Message / 10
Managing Director's Review / 12
Board of Directors / 14
Management Team / 17
Business Overview / 18
- Value Creation Model / 18
- Stakeholder Relationships / 20
- Determining Material Issues / 22

Strategy / 23

Management Discussion and Analysis / 24
- Operating Environment / 24
- Financial Capital / 28
- Manufactured Capital / 30
- Human Capital / 31
- Intellectual Capital / 32
- Social & Relationship Capital / 33
- Natural Capital / 34

Corporate Governance / 35
Enterprise Risk Management / 49
Annual Report of the Board of Directors on the Affairs of the Company / 58
Statement of Directors' Responsibilities / 62
Related Party Transactions Review Committee Report / 63
Report of the Audit Committee / 64
Report of the Remuneration Committee / 65

Financial Calendar / 67
Independent Auditors' Report / 68
Statement of Financial Position / 72
Statement of Profit or Loss and Other Comprehensive Income / 74
Statement of Changes in Equity / 75
Statement of Cash Flows / 76
Notes to the Financial Statements / 78
Shareholder Information / 118
Value Added Statement / 120
Glossary of Financial Terms / 122
Notice of Meeting / 123
Notes / 124
Form of Proxy / 127
Corporate Information / Inner Back Cover



Shaping Our Future

Perspective really does shape mindsets and having surpassed yet another challenging year we sought this wisdom in formulating our outlook for the years ahead. Our plan of strengthening and conditioning ourselves in preparation for future opportunities has been linked with our thoughts of endurance and optimism. Our view also remains unshaken in the aspects of quality and impeccable service, and maintaining the world class standards for which we are known. Our resilience and tenacity have been integral in this period of growth as we continue in cementing our values and shaping our bright and optimistic future.

About This Report

VISION

Being the safe, reliable, value enhancing, exchange facilitator in the commodity broking industry

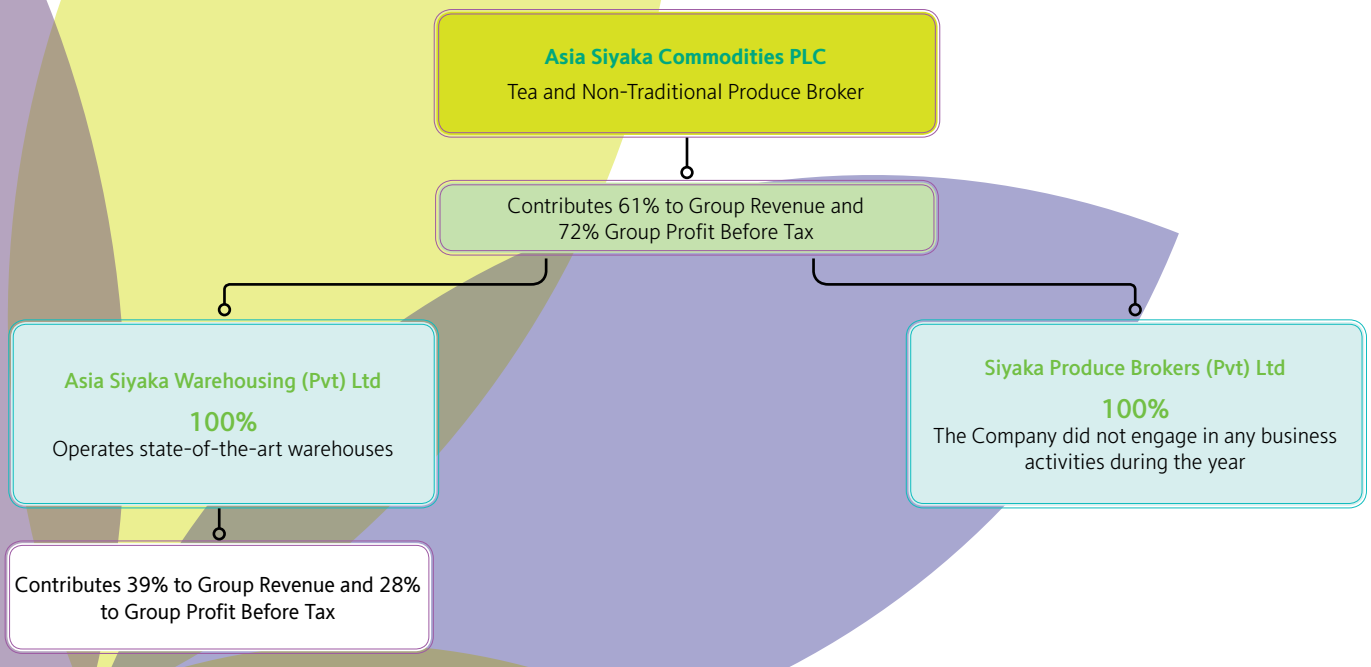
MISSION

Driving commodity broking business with state-of-the-art practices through continual value addition by setting competitive standards in the industry to delight our customers

CORE VALUES

- Ethical
- Integrity
- Good Governance

GROUP STRUCTURE



Welcome to Our Integrated Report

We are happy to present Asia Siyaka Commodities PLC's ("ASC" or "the Company") Annual Report for the financial year ended 31st March 2022. The Report has been prepared in line with the principles of the Integrated Reporting Framework of the International Integrated Reporting Council and provides a concise yet comprehensive overview of the Group's strategy, performance, governance and risks. Increased focus has been placed on providing information that is relevant to the Group's way forward and outlook, given the unprecedented challenges facing Sri Lankan businesses. The information disclosed has been carefully selected to fulfil the relevant statutory requirements and essential information requirements of our stakeholders.

Scope and Boundary: The Report covers the operations of ASC and its subsidiaries Asia Siyaka Warehousing (Pvt) Ltd and Siyaka Produce Brokers (Pvt) Ltd (collectively referred to as "the Group") for the period from 1st of April 2021 to 31st of March 2022. The financial information presented on pages 72 to 117 of this Report takes a consolidated view, while non-financial information presented throughout the Report represents that of the Company.

Navigation icons



Reporting Frameworks

- Sri Lanka Accounting Standards issued by CA Sri Lanka
- <IR> Framework of the International Integrated Reporting Council
- Code of Best Practice on Corporate Governance issued by CA Sri Lanka (2017)
- Listing Rules of the Colombo Stock Exchange



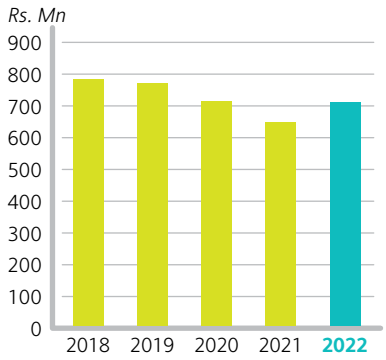
Feedback

Please direct suggestions and comments about this Report to, roshantha@siyaka.lk

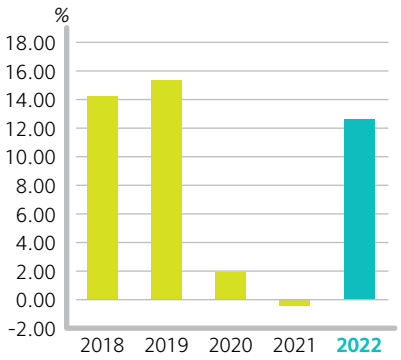
Performance Highlights

Performance for the Year ended 31st March		2022	2021	Change %
Revenue	Rs.million	711.61	647.16	9.96
Gross Profit	Rs.million	709.65	644.22	10.16
Operating Profit	Rs.million	240.12	45.69	425.54
Net Finance Cost	Rs.million	69.36	75.57	(8.22)
Profit/(Loss) Before Tax	Rs.million	170.76	(29.87)	671.67
Income Tax Expense	Rs.million	(51.59)	25.64	301.21
Profit/(Loss) for the period	Rs.million	119.17	(4.23)	2,917.26
Gross Margin	%	99.72	99.55	0.17
Operating Margin	%	33.74	7.06	377.90
Net Profit Margin	%	16.75	(0.65)	2,676.92
Return on Total Assets	%	4.19	(0.17)	2,564.71
Position as at the Year ended 31st March				
Total Assets	Rs.million	2,847.40	2,499.98	13.90
Long-term -interest-bearing borrowings	Rs.million	75.00	139.29	(46.15)
Total Equity	Rs.million	940.52	878.44	7.07
Debt/(Debt+Equity)	Times	0.58	0.45	28.89
Debt/Total Assets	Times	0.26	0.28	(7.14)
Current Ratio	Times	1.12	1.10	1.82
Quick Asset Ratio	Times	1.12	1.10	1.82
Market/Shareholder Information as at the Year ended 31st March				
Earning per share	Rs.	0.46	(0.02)	2,400
Net Asset Value Per Share	Rs.	3.62	3.38	7.10
Market Price per Share	Rs.	2.20	2.50	(12.00)
Market Capitalization	Rs.million	572	650	(12.00)
Price Earnings Ratio	Times	4.78	(125)	103.84
Dividend payout	%	22	(1,106)	101.99
Dividend Yield	%	4.55	7.20	(36.87)
Value Added				
To Government	Rs.million	58.84	(24.65)	338.70
To Employees	Rs.million	237.96	235.42	1.08
To Providers of Capital	Rs.million	26.00	46.80	(44.44)
To providers of funds	Rs.million	69.41	75.47	(8.03)
Retained for reinvestment and future growth	Rs.million	178.62	32.00	458.19
Total Value Added	Rs.million	570.82	365.03	56.38

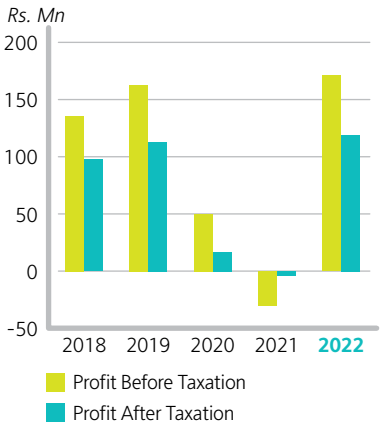
Gross Revenue



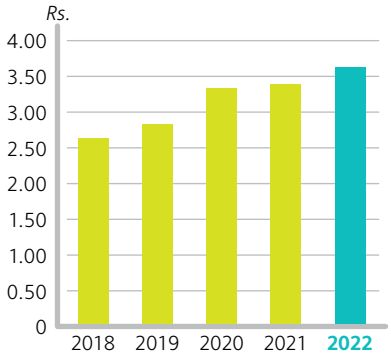
Return on Equity



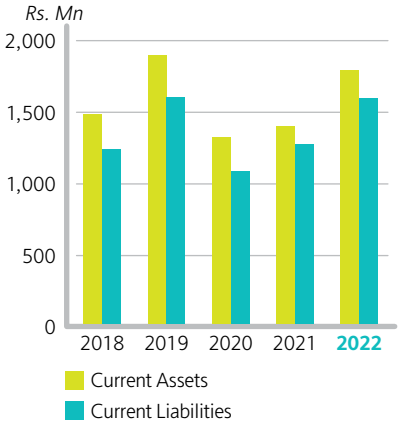
PBT/PAT



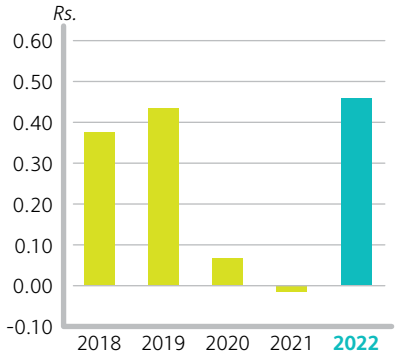
Net Assets Per Share



Current Assets/ Liabilities



Earnings Per Share



Performance Highlights

Human Capital



100
Employees

Rs. 237.96 Mn
Payments to employees

91.74%
Retention rate

0.01 Mn
Training and development

Social & Relationship Capital





8
Regional plantation companies



89
private tea factories



97
suppliers



300,000
tea smallholders

Natural Capital





307,706kwh
Energy Consumption



5,986m³
Water Consumption

Manufactured Capital



Rs. 50.23 Mn
Capital expenditure

Capacity utilisation
92%

Intellectual Capital



462
years of collective industry experience

Robust governance and risk management practices

About Us

Asia Siyaka is one of Sri Lanka's leading tea brokers, having nurtured a unique competitive edge centering on innovation, knowledge sharing and superior service. Since inception over 2 decades ago, the Company has pioneered several pragmatic and innovative solutions which have transformed the country's tea auction process and generated shared value across the tea supply chain. In recent years, the Group has sought to diversify its offering through expanding its presence across the value chain to include warehousing services, advisory and research support.

What sets us apart

- Highly skilled team comprising internationally recognised industry veterans
- Holistic value proposition offered through array of services
- Innovation and customer-centric solutions
- Industry thought leadership

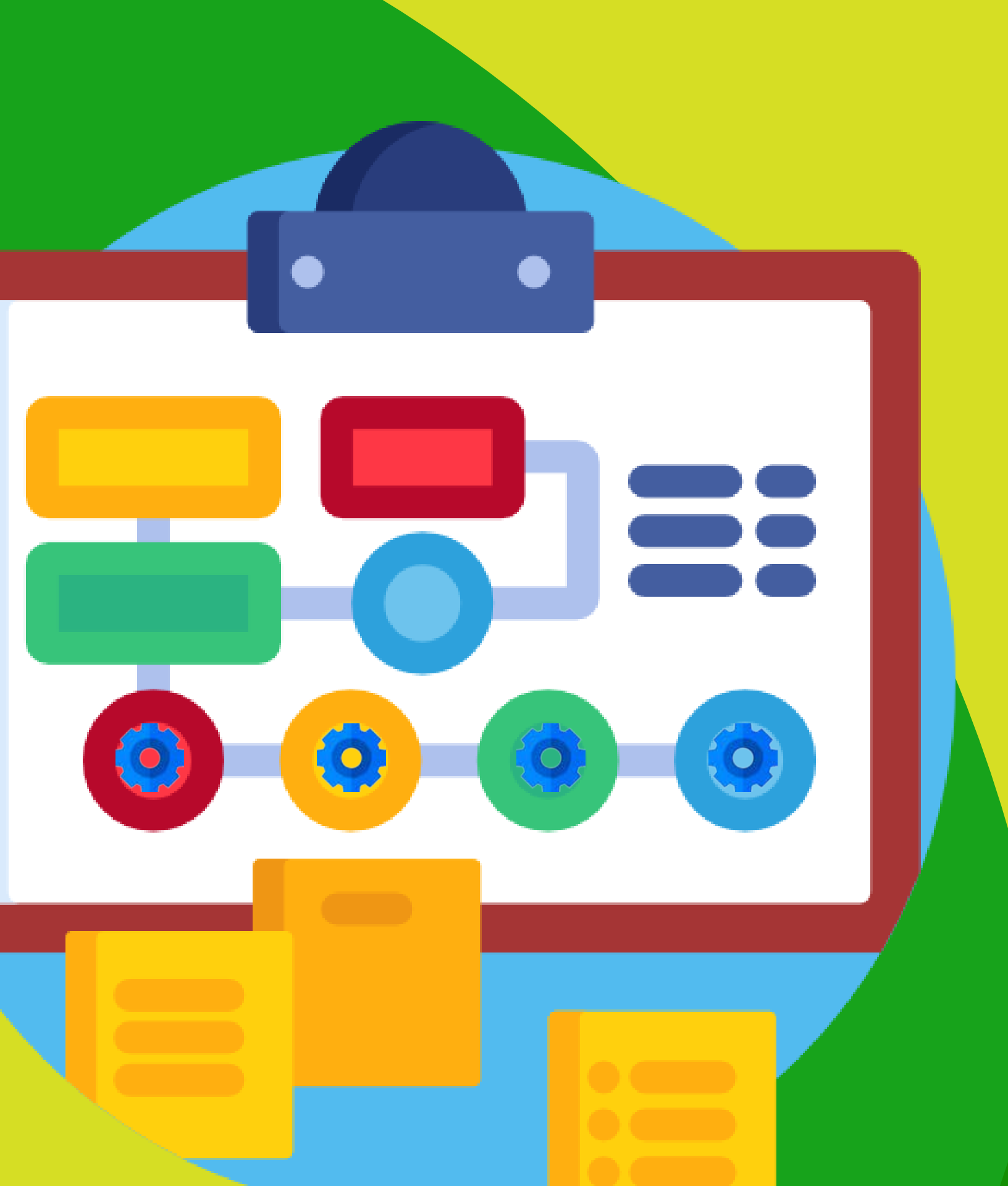
Brokerage Services
Acts as an intermediary between the manufacturers and buyers of tea leveraging strong relationships

Warehousing
Provide warehousing solutions, which in turn support the smooth functioning of the country's tea logistics process

Advisory
Providing customers with market intelligence, guidance on factory and estate management

Research
Ongoing research on emerging industry trends and sharing knowledge with industry stakeholders

Rs. 711.61 million	Rs. 119.17 million	Rs. 2.85 billion	Rs. 940.52 million
Revenue	**Profit-after-tax**	**Total assets**	**Total equity**



Shaping our strategy

Chairman's Message

"Board activities were strengthened during the year as we increased engagement with the Group's leadership team. We proactively monitored emerging economic developments and evolving socio-political dynamics, to assess the implications on Asia Siyaka's performance, liquidity and financial stability."

Dear Shareholder,

I write to you at a time of unprecedented uncertainty and tumult for Sri Lankan industries, businesses and communities. As the country grapples with unparalleled macro-economic and socio-political challenges, the spirit and resolve of the Asia Siyaka team has propelled the Group forward, driving positive outcomes across its diverse stakeholders. We close the year, not just delivering good financial and operational performance, but also deepening our contribution to the industry and supporting the sustainability of the entire value chain. Against this backdrop, it is my pleasure to present to you our Annual Report and Financial Statements for the year ended 31st March 2022.

Context to Performance

The Sri Lankan economy plunged into crisis in the latter part of the financial year, with pandemic-led impacts converging with deep-rooted structural economic imbalances, which in turn inserted unprecedented pressure on the country's external sector. Restrictions on global travel led to a sharp downturn in tourism earnings while pandemic-induced job cuts resulted in a near 22% reduction in workers' remittances, which together with international debt payments led to a gradual depletion of the country's foreign reserves. The crisis deepened in ensuing months leading to shortages in essential items, fuel and medicine which in turn resulted in social unrest and political instability. The Central Bank imposed restrictions on a range of imported items to curtail the outflow of foreign currency while the exchange rate was allowed to free float from March 2022. Resultantly, the Rupee depreciated sharply against the US Dollar, reflecting the severe shortage of foreign currency in the system; accordingly, the Sri Lankan Rupee fell by 30% (monthly average) during the financial year. Meanwhile, inflationary pressures have escalated, reflecting the depreciation of the exchange rate and supply-side dynamics.

As foreign currency reserves dwindled, Sri Lanka has been compelled to default on its foreign debt obligations. The country is currently pursuing a bail-out package from the International Monetary Fund while seeking bridging facilities from friendly nations to fund essential imports and kick start the economic recovery. The success of these negotiations would depend on the Government's commitment towards achieving debt sustainability and political will in implementing much-needed reforms and fiscal consolidation.

In addition to these macro-economic stresses, the country's tea sector was also affected by inclement weather and unfavorable policy decisions during the year. As discussed in further detail in the Managing Director's Message on page 12, the government-imposed ban on chemical fertilizer and crop protection materials have threatened the Sector's survival and

sustainability. As a critical industry which supports the livelihoods of thousands of people and is a significant generator of valuable foreign exchange to the country, we are deeply concerned by the outlook of the country's tea industry. As industry stakeholders, we therefore urge policy makers to proactively seek solutions to these issues which are already impacting Sri Lanka's competitiveness in the international market.

Commitment to Stakeholders

We have always strived for a multi-stakeholder approach to value creation and the conditions that prevailed during the year strengthened the need to balance stakeholder interests. The Group's financial performance reflected timely and strategic diversification of revenue sources, which enabled resilience to prevalent challenges. Resultantly, the Group's pre-tax profit amounted to Rs. 171 million compared to a loss of Rs. 30 million the previous year. For our employees, we placed strategic emphasis on ensuring financial security and opportunities for career and skill development in a conducive work environment. We also continued to invest in ensuring the health and safety of employees through implementing stringent hygiene protocols, facilitating vaccination drives and providing transport facilities. Given stresses faced by tea factories, we expanded client advances during the year, but strengthening management of the portfolio to ensure good quality credit management.

Competent leadership

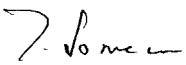
Board activities were strengthened during the year as we increased engagement with the Group's leadership team. We proactively monitored emerging economic developments and evolving socio-political dynamics, to assess the implications on Asia Siyaka's performance, liquidity and financial stability. Other areas of Board focus included ensuring employee safety, strengthening client engagement and servicing and creating value across the supply chain. The Board remained unchanged, while a new Chief Executive Officer and Chief Operating Officer were appointed further strengthening the executive leadership team and succession plan.

Way Forward

Although tea prices remain robust in view of favourable demand dynamics, the short-term outlook for Sri Lanka tea is dampened by the gradual decline in volumes reflecting the lagged implications of the fertilizer ban, which has since been reversed. This in turn would inevitably impact the livelihoods of tea sector workers, thereby affecting their socio-economic conditions and living standards. As an organisation, we will work actively with industry stakeholders, policy makers and international buyers in preserving Sri Lanka's competitive edge through ongoing engagement and brand building; this endeavor must be supported by the government through the formulation of a national strategy to address these critical issues.

Acknowledgements

I would like to take this opportunity to thank my colleagues on the Board for their continued contributions and valuable support in yet another challenging year. The Managing Director, Mr. Anil Cooke, continues to provide exceptional leadership to the Group and to the entire industry, playing a vital role in collaborating with industry stakeholders to preserve Sri Lanka's competitive edge. On behalf of the Board, I also wish to thank all employees, shareholders, customers, suppliers, industry stakeholders and strategic partners who have supported us over the years.



T. Someswaran
Chairman

31 August 2022

Managing Director's Review

"The past year has undoubtedly been an extremely challenging year for our team, as industry woes, periodic lockdowns and general anxiety regarding the country's future have impinged on mental well-being. The Company's leadership continued to closely engage with the entire team in maintaining open and honest dialogue regarding the Group's plans, strategies and potential implications on performance."

As we reflect on the financial year in review, agility, responsiveness and resilience have emerged as the Group's defining characteristics in these extraordinarily challenging times. Despite a still uncertain outlook, strategic foresight and nimble execution enabled the ASC Group to successfully weather the storm presented by an acutely difficult operating environment. I am pleased to report that the Group recorded a 10% growth in Revenue and returned to profitability through generating a profit-before-tax of Rs. 170.76 million during the year.

Strategy and Performance Review

The Group's strategy for the year was consistent with our efforts over the last 2 years, in which we sought to drive increased diversification of our earnings profile. Accordingly, the Group's strategy centered on strengthening our warehousing proposition, broadening and diversifying our client base and collaborating with industry stakeholders in addressing critical issues facing the country's tea industry. The Group made significant progress in customer acquisition, particularly in its warehousing operations which somewhat cushioned the adverse externalities impacting the industry. Despite demonstrating resilience to pandemic-driven disruptions, Sri Lanka's tea production volumes fell short of expectations, primarily due to shortages in the availability of fertilizer following the government ban on chemical fertilizers. Resultantly, the Group's brokerage revenue remained flat during the year; however, the Group delivered a 10% growth in Consolidated Revenue driven by a near 25% increase in warehousing income and 15% increase in interest on client advances. Operating profitability recorded a significant improvement, as provisioning levels normalized following write-offs in 2020/21. Overall, the Group returned to profitability recording a pre-tax profit of Rs.170.76 million (compared to a loss of Rs.29.87 million in the previous year) while profit after tax clocked in at Rs. 119.17 million. The strong financial performance also supported the Group's financial stability during the year, with total equity increasing by 7% and accounting for 33% of the Group's total funding.

A Critical Juncture

The Sri Lankan tea industry is grappling with its worst crisis since independence, as macro-economic fragilities converged with myopic and ad hoc policy decisions to insert unprecedented stress on the sector. Crops have declined consistently from November 2021, reflecting the lagged effects of the ban on imported chemical fertilizer in April 2021. As correctly predicted by us in last year's Annual Report, despite its good intentions, the lack of a phased approach in transitioning to organic fertilizer resulted in inevitable negative impacts across the entire value chain. Although the ban was subsequently lifted in November 2021, the

Russian invasion of Ukraine in February 2022 and global supply chain disruptions led to a surge in global prices of fertilizer. Due to the ban, Sri Lankan importers did not have required stocks and therefore were compelled to curtail imports due to the high cost of fertilizer and the acute shortage of foreign currency in the banking system. The cost of fertilizer was further pressured by the sharp depreciation of the Sri Lanka Rupee from March 2022 onwards.

The sharp increase in production costs were somewhat compensated for by depreciation of the Rupee; however, these gains have been reversed by the subsequent surge in freight costs and other market dynamics which have pressured profitability margins. Meanwhile, shortages in fuel have also inevitably impacted factory operations and transportation, compelling factories to limit capacity. The decline in Sri Lanka's tea production by 18% y-o-y during the first half of 2022 has further spotlighted the critical need for decisive leadership and reforms, which will be essential in preserving Sri Lanka's long-standing reputation in the global tea market. Despite these challenges, industry stakeholders across the value chain have continued to proactively collaborate and formulate pragmatic solutions to ensure continuity of supply.

A Winning Team

The past year has undoubtedly been an extremely challenging year for our team, as industry woes, periodic lockdowns and general anxiety regarding the country's future have impinged on mental well-being. The Company's leadership continued to closely engage with the entire team in maintaining open and honest dialogue regarding the Group's plans, strategies and potential implications on performance. Continued emphasis was also placed on ensuring the safety and well-being of all employees through investments in hygiene, health protocols and providing transport facilities to minimise the risk of infection.

As an organisation, ASC has always adopted a long-term and shared approach to value creation, leading efforts to ensure the long-term survival and prosperity of Sri Lanka's tea industry. The Group's leadership team continued to engage proactively with the wide ecosystem of industry stakeholders including suppliers, estates, the Sri Lanka Tea Board, Colombo Tea Traders Association (CTTA), Tea Exporters Association and Colombo Rubber Traders Association (CRTA) in addressing critical issues faced by the industry.

A Way Forward

While global demand dynamics are still favourable, I remain deeply concerned on the short-to-medium term outlook for Sri Lanka's tea industry. As yields drop, volumes dwindle and production costs escalate, Sri Lanka's long-standing reputation for resilience and reliability in supply will inevitably be affected. On the other hand, our global competitors have sought to capitalise on the opportunity presented by the decline in Sri Lankan volumes through aggressively marketing and promoting their produce. Unless critical, evidence-based, long-term solutions are implemented immediately, Sri Lanka is likely to see an erosion in its international competitiveness over time. Given the country's acute need for foreign currency and the thousands of livelihoods dependent on the tea industry, this would have catastrophic socio-economic implications over the medium-to-long term.

Acknowledgements

I would like to take this opportunity to thank the Chairman Mr. T. Someswaran and the Board of Directors for their continued confidence and valuable counsel and guidance in yet another challenging year. I am inspired by the resilience and agility of Team Asia Siyaka, and would like to extend my gratitude and heartfelt thanks for all their hard work during the year. I also thank all our customers, buyers, regulatory authorities, and all other stakeholders for their continued support.



A R Cooke
Managing Director

31 August 2022

Board of Directors

Mr. T Someswaran
Chairman
A fellow member of the Institute of Chartered Accountants of Sri Lanka, Mr. Someswaran received his education at Manipay Hindu College and Jaffna College and joined Aquinas University for his higher studies.

After completing his education, he joined Hulugalla & Wickremanayake Chartered Accountants as an Audit clerk and subsequently as an Articled clerk and completed his Chartered Accountancy program in 1974. Before he graduated, he worked with the late P.S, Duleep Kumar Tax Consultant as a member of the staff at Accounting Systems and Services Ltd, and rose to the position of Director at its group of companies.

After completing his Chartered Accountancy programme, he started his own practice as a Chartered Accountant in Sri Lanka and Maldives, and also undertook an overseas assignment as a Management Advisor for the Nigerian Construction Consortium Ltd., in the 1970s.

Mr. Someswaran played an inspiring role as a founder member who gave leadership in establishing some leading associations in the country; including the International Fiscal Association, the Economic Association of Sri Lanka, Market Research Society of Sri Lanka, Organization of Professional Associations of Sri Lanka (more commonly known as OPA), Institute of Certified Professional Managers (CPM), Institute of Certified Management Accountants (CMA) and SJMS Associates which is now known as Deloitte Sri Lanka.

In 2004 he founded a Company by Guarantee known as CARM (Center for Advancement of Resource Mobilization) to initiate and enable a global framework that facilitates the creation of a society free from poverty and social injustice.

He also serves on the Board of ECSAT (Equality based Community Service and Training) in Galle which looks after the needs of special & differently-abled kids in the area.

He has served as the President of the Institute of Practicing Chartered Accountants, and the Benevolent Society of CA Sri Lanka. He was also the Vice President of the International Chamber of Commerce, and was also a Council Member of CA Sri Lanka. Mr. Someswaran also contributed immensely towards the development of the institute and the accounting profession and since 1982 served across many committees as a member. He also chaired the institute's Audit committee, Company Law & other Legislation Committee, International/ Regional Conference Committee and also the Professional Conduct & Ethics Committee.

After retiring from practice in 2007, he served as the Director of Commercial Credit, Serendib Land, Pan Asian Power and SMB Leasing. At present he continues to serve CleanCo Lanka (Pvt) Ltd, Renewgen Lanka (Pvt) Ltd and Serendib Land PLC as Director, where he serves on the Board as well as in the Audit, Remuneration and Related Party Committees .He is also a Director at Transparency International Sri Lanka. Recently, Someswaran was installed as the President of the Rotary Club of Colombo 2017/18.

In recognition of the significant contribution made by him towards the development of the accounting profession and the business world; the Council of the Institute of Chartered Accountants of Sri Lanka inducted Someswaran to the Hall of Fame in the year 2017.

Mr. A R Cooke
Managing Director
Mr. Cooke has a wealth of experience counting 44 years as a Broker, Auctioneer, Tea Taster and Valuer, with nearly 21 years of his work experience gained at Forbes and Walker Ltd. He is a member of the Chartered Institute of Marketing (UK) and has previously served on the Board of Directors of Forbes & Walker Ltd, Forbes & Walker Tea Brokers (Pvt) Ltd and Forbes Ceylon Ltd. He is a past Chairman of the Colombo Brokers' Association (CBA), a committee member of the Colombo Tea Traders' Association (CTTA) and a Director of the Sri Lanka Tea Board. He is the head of CTTA 2030 Road Map and was a member of the CTTA Committee for the Digitalisation of the Auction Trading Platform. He is a member of the Promotion and Marketing Committee of the Sri Lanka Tea Board and serves on committees of other marketing initiatives. Mr. Cooke is a Founder Director of Siyaka (Pvt) Ltd

and Founder Deputy Chief Executive Officer of Asia Siyaka Commodities (Pvt) Ltd. He is currently the Managing Director of Asia Siyaka Commodities PLC, Asia Siyaka Warehousing (Pvt) Ltd and Siyaka Produce Brokers (Pvt) Ltd.

Mr. D J Wedande
Executive Director
Mr. Wedande is a Founder Director of Siyaka (Pvt) Ltd and Founder Senior Vice President of Asia Siyaka Commodities PLC. He has over 48 years of experience as an Auctioneer, Broker and Valuer in tea, rubber, coconut products and spices, initially at Forbes and Walker Ltd. He was the Chief Executive Officer of Centreline Tea Brokers, Mombasa, Kenya, 2000-2002.

Mr. S G Amarasuriya
Executive Director
Mr. Senaka Amarasuriya has been associated with the tea industry for 42 years, having commenced his career with Bartleet & Company Ltd in the year 1980 up to 1986 where he was actively involved in the Broking operations. Thereafter, Mr. Amarasuriya worked with two leading Tea Export organisations i.e. M. S. Hebtulabhoy & Company Ltd and Stassen Exports Ltd gaining significant exposure in Tea Trading and Exports. In 1998 he joined Forbes & Walker Tea Brokers (Pvt) Ltd where he worked as a Director handling their Low Country clientele. In 2004, he joined Lanka Commodity Brokers Ltd as a Director, and, currently serves as their Director/ CEO.

Mr. Y Kuruneru
Executive Director
Mr. Kuruneru who currently the serves as the Chief Executive Officer of Asia Siyaka Commodities PLC and is a founder Director of Siyaka (Pvt) Ltd, a founder Vice President of Asia Siyaka Commodities (Pvt) Ltd, was appointed as a Senior Vice President in April 2011. He was in Tea Estate Management from 1988 till he joined Forbes & Walker Limited in 1993.

He counts over 31 years' experience (from 1988- 2017), 05 years estate management and 28 years in tea broking, Tea Tasting and as a Valuer.

He specializes in Tea Manufacturing advices with regular technical advisory visits to Tea Estates and Factories. Currently he serves as a resource person to the National Institute of Plantation Management.

Mr. R C Dissanayake
Executive Director
Mr. Dissanayake is a Founder Member of Asia Siyaka Commodities PLC and was appointed Vice President in 2002, Senior Vice President in 2013 and Chief Operating Officer of Asia Siyaka Warehousing (Private) Limited in 2022.

He is a self-made individual whose main strength is his continual ability to bring in Low country business and has brought in the most business over the years. He is a Manufacturing Advisor and overlooks the Sample Room and assists with the Warehouse management. He has a strong relationship with the low country clients and additionally works with the RPCs' higher elevation factories.

Mr. Dissanayake is a visiting lecturer at the National Institute of Plantation Management. He holds a MSc in Logistics and Supply Chain Management from the Birmingham City University in the United Kingdom.

Mr. S S Samaranayake
Executive Director
Mr. Samaranayake counts 24 years' experience in marketing tea. He was one of the first recruits of Asia Siyaka Commodities in 1998 and was appointed Vice President in 2011 and Senior Vice President in 2012. He was appointed as the Chief Operating Officer in 2022. Mr. Samaranayake heads the marketing teams for both low and higher elevation teas and is an Auctioneer of the Low Grown catalogue and is a strong leader who commands the respect of the Company's clients, buyers and his team.

Mr. H R V Caldera
Non-Executive Director
Mr. Vernon Caldera counts over 58 years in the tea industry, having joined the trade in 1964. He has since held many senior positions including that of Director Tea at John Keells Ltd, Managing Director of Mercantile Brokers Ltd and Consultant at Forbes & Walker Tea Brokers (Pvt) Ltd. He was also a Non-Executive Director of Horana Plantations PLC. He served as a Consultant at Lanka Commodity Brokers Ltd for six years.

Board of Directors

Mr. S.T. Gunatilleke
Non-Executive Director
Mr. Tissa Gunathilake was appointed to the Board of Directors of Asia Siyaka Commodities PLC in May 2013. He served on the Boards of Hayleys Plantation Services (Pvt) Ltd, Talawakelle Tea Estates PLC, DPL Plantations (Pvt) Ltd, Kelani Valley Plantations PLC and Mabroc Teas (Pvt) Ltd. A senior planter with 49 years of experience in plantation management. He has held the position of Regional Director of Sri Lanka State Plantations Corporation and served as a Consultant to United Nations Industrial Development Organisation (UNIDO) on Tea Plantation Management.

Mr. J.N. Dambawinne
Non-Executive Director
Mr. Dambawinne counts over 43 years in the tea trade of which 12 years was at Somerville & Co Ltd and relinquished duties as Director and joined Mercantile Brokers Ltd as Director-Tea in 1992. He served with Mercantile Produce Brokers (Pvt) Ltd for 23 years, of which the last 14 years were as its Managing Director. He has an excellent knowledge of tea and responsible for grading, tasting, auctioning and marketing of tea. He has been a past Convener of the Tea Sub-Committee in 1988/89, 2002/03 and also the Broker Representative on the Committee of the CTTA in 1989, 2007/2008 and 2019/2020. He has been a Surveyor for export of tea, appointed by the Ceylon Chamber of Commerce. He was appointed as a Member of the Tea Council by the Hon. Minister of Plantation Industries in 1996 and was appointed Deputy Chairman, Colombo Brokers Association for 2004/2005 and 2005/2006. He was the Chairman, Colombo Brokers Association for 2007/2008 and 2019/2020, Chairman, Tea Association of Sri Lanka for 2007/2008. Mr. Dambawinne also served as Director, Sri Lanka Tea Board for 2007/2008 and 2019/2020 and has also been a member of the Committee of The Ceylon Chamber of Commerce 2004/2005, 2007/2008, 2011/2012, 2012/2013, 2015/2016 & 2016/2017. He currently serves as the Managing Director of Lanka Commodity Brokers Limited.

Mr. Anandh Vaithylingam
Non-Executive Director
Mr. Vaithylingam counts over 29 years of experience in several leading companies both in Sri Lanka and India. In 2001 he returned to Sri Lanka to take up position as a Director for Sunshine Tea. Since then he has held several top positions within Sunshine Holdings PLC. He has overall experience in managing plantations, exports and shipping/logistics. He is currently serving as Head of Plantations at Hatton Plantations PLC which is a subsidiary of G&G Group of Companies.

Mr. Reyhan Morris
Mr. Reyhan Morris serves as General Manager, for Belluna Lanka Pvt Ltd. A fully owned subsidiary of Belluna Co, Japan.

Additionally, Mr. Morris also serves as a Board Director on the Boards of Galle Heritage Lanka (Private) Limited, Marine Drive Hotels (Private) Limited, Miriandhoo Maldives Resorts (Private) Limited.

Management Team

Corporate Management Team

Anil Cooke
Managing Director

Dhammike Wedande
Director/Consultant

Yashojith Kuruneru
Director/Chief Executive Officer

Vernon Caldera
Director/Consultant

Charmara Dissanayake
Director/Senior Vice President
Chief Operations Officer-Asia Siyaka Warehousing (Pvt) Ltd

Sohan Samaranayake
Director/Chief Operations Officer

Marketing and Consultancy

Deepal Jayamanne
Consultant-Tea

Kirk Wijesekera
Vice President-Marketing High & Medium

Shihan Peiris
Senior Manager-Marketing Low Grown

Praveen Weerasinghe
Senior Manager-Marketing Low Grown

Mohammed Himas
Assistant Manager-Marketing Low Grown

Manufacturing Advisory Service

Avantha Nishshanka
Assistant Manager-Technical Low Grown

Corporate and Client Finance

Roshantha Munasinghe
Senior Vice President-Finance

Champika Withanage
Manager-Finance

Pramitha Perera
Assistant Manager-Client Finance

Jagath Wijerathne
Assistant Manager-Client Finance

Sandun Deshapriya
Assistant Manager-Finance

Tharindu Silva
Assistant Manager-Finance

Administration and Human Resources

Ganga Udeni
Senior Manager-Human Resources

Warehousing / IT Services

Emil Diaz
Director Vice President-Warehousing

Prabath Kasthuriarachchi
Assistant Manager-Warehousing

Laksiri Sampath
Business Analyst

Other Commodities

Lakshman Kodytuakku
Consultant-Other Commodities

Lalith Perera
Vice President-Rubber Division

Business Overview

Value Creation Model

CAPITAL INPUTS

Financial Capital
Shareholders' funds: Rs. 940.52 million
Debt: Rs. 734.62 million
(Page 28)

Manufactured Capital
Warehousing facility and other physical assets
(Page 30)

Human Capital
The skills, attitudes, and values of our team of 100 employees
(Page 31)

Social and Relationship Capital
89 estates, factories, and mills
312 traders and exporters
Relationships with government and industry bodies
(Page 33)

Intellectual Capital
Organisational tacit knowledge and industry specific knowledge
(Page 32)

Natural Capital
The natural resources we consume include, Energy 307,706 kWh
Water: 5,986 m3
(Page 34)

VALUE CREATING ACTIVITIES

Vision
Being the safe, reliable, value enhancing exchange facilitator in the commodity broking industry.

Mission
Driving commodity broking business with state-of-the-art practices through continual value addition by setting competitive standards in the industry to delight our customers.

Values
Ethical, Integrity, Good governance



Revenue diversification

Client management

Operational efficiencies

Talent management

Corporate Governance practices

Strong risk management

Trends in the operating landscape → Policy developments → Macro-economic vulnerabilities → Commodity price movements → Geopolitical developments → Implications of climate change

OUTPUTS	OUTCOMES
Tea Handled **37 million Kgs**	**Shareholders:** The profits we generate create value to dividends and increases in share price (page 28)
Revenue Generated **Rs. 711.61million**	**Customers:** We create value to our customers through a unique and multi-faceted value proposition (page 30)
Payments to Employees **Rs. 237.96 million**	**Employees:** A safe and dynamic working environment which ensures a high-level of engagement and opportunities for skill and career development (page 31)
Supplier Payments **Rs. 26 billion**	**Supply chain partners:** Our innovative and pragmatic solutions have enabled the creation of mutual value across our supply chain (refer page 30)
Community investments **Rs. 0.37 million**	**Communities:** We engage in needs-based CSR activities (page 33)

Business Overview

Stakeholder Relationships

The challenging industry conditions that have prevailed in recent years, have necessitated a strengthening of the Group's stakeholder engagement. Building stakeholder trust amidst unprecedented uncertainty supported both the Group's commercial and social sustainability, as it enabled ASC to proactively identify and respond to stakeholder concerns. Key stakeholder topics identified during the year are listed below:

Stakeholder Group	Method and frequency of engagement	Topics and concerns raised in 2021/22	Our response
Shareholders	› Annual General meeting › Quarterly results updates › Annual Report › Periodic press releases	› Implications of the country's economic crisis on performance and stability › Adequate financial returns commensurate with the risk undertaken › Market share and reputation › Future strategy › Governance and risk management practices › Long- term sustainability	Strategic focus on earnings diversification Ongoing engagement with shareholders and transparent communications on the implications of the pandemic and economic vulnerabilities
Employees	› Annual performance appraisals › Multi-level staff meetings › Work-life balance initiatives › Open door policy	› Job and financial security › Work practices and logistics › Safe workplace › Fair remuneration › Opportunities for skill and career development › Dignity of labour › Work-life balance	Focus on supporting employees through the economic crisis with continued emphasis placed on health and safety
Clients- Commodity producers, warehousing clients, and buyers of estate supplies	› Weekly and quarterly performance reviews › Research reports › Site visits › One-to-one engagement	› Ensuring secure supply › Sustainable demand › Fair pricing › Ease of transacting › Warehousing services › System efficiencies	Efforts to support customers during the crisis through ongoing engagement, financial support and sharing market insights
Buyers	› Weekly engagement at tea auctions › Face to face meetings › Research reports and site visits	› Security of supply › High quality produce › Transparent and fair pricing › Ease of transactions › Efficient logistics	Continuously support customer requirements through facilitating access to high-quality produce

Stakeholder Group	Method and frequency of engagement	Topics and concerns raised in 2021/22	Our response
Industry bodies and associations	› Regular meetings › Industry forums › Promotional campaigns	› Creating a conducive industry environment for long-term sustainability › Contribution to policy making and planning	Collaboration with industry stakeholders to transition to a digital auction
Communities	› Internship and training opportunities › Seminars for tea smallholders › Site visits › Donations and other forms of support for schools in estate communities	› Internship programs › Opportunities for skill development › Employment opportunities › Community engagement initiatives	Ongoing engagement with communities in creating meaningful relationships
Government	› Quarterly performance reviews › Representation at industry associations › Participation in economic and industry forums › Contributions to policy making	› Compliance to all legal and statutory regulations › Employment opportunities › Community engagement initiatives	Continued compliance to all relevant requirements and proactive role in creating a conducive industry environment.

Business Overview

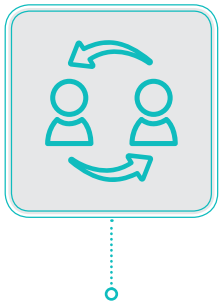
Determining Material Issues

Material topics are defined as the issues that are most relevant to the organisation and its stakeholders; these topics are a key input in strategy formulation and risk management and former the anchor of this Annual Report. The unprecedented challenges that prevailed during the year, led to considerable shifts in the Group's risk and materiality landscape as presented below.

Material topic and its importance	Change in materiality compared to 2020/21	Relevance to Strategy
Sustainable growth in earnings Driving sustainable growth in earnings is key to fulfilling shareholder needs	-	Diversification Client management
Macro-economic stress Sri Lanka's current macro-economic vulnerabilities, present the most significant risk to the Group's short-to-medium term financial performance	▲	Diversification Operational efficiency
Employee health and safety Higher exposure to health and safety risks stemming from the outbreak of COVID-19	▲	Talent management
Innovation and diversification Revenue diversification is vital in supporting continued cash flow generation given increased volatilities in the plantation sector.	▲	Diversification
Shortage of fertilizer The prevalent shortage of fertilizer had a direct impact on the quality and quantity of tea produced by Sri Lanka	New topic	Diversification
Commodity prices Fluctuations in international tea prices have a direct impact on the Group's profitability.	-	-
Client debt management Increase in importance reflecting financial stress experienced by clients	-	Client management
Process efficiency Efficient processes are vital in satisfying customer requirements and driving cost optimisation	-	Operational efficiency
Government policy The Government's monetary and fiscal policy actions as well as regulations have a direct impact on the Group's operations.	▲	-
Exchange rate volatilities As tea buyers are primarily exporters, fluctuations in exchange rates have a direct impact on our operations.	▲	Diversification
Community relations Maintaining healthy relationships with the communities we operate in, is vital in preserving our social license to operate ensuring smooth continuity to operations.	-	-
Research capabilities Emerging market trends and sharing such information across our value chain is an important aspect of our competitive edge.	-	-

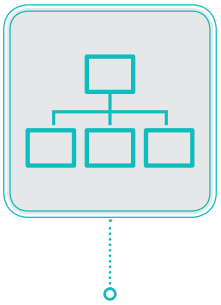
Strategy

Continued focus on the Group's four key long-term strategic priorities, have enabled ASC to remain relatively resilient to the unprecedented volatility in the operating landscape. These strategic objectives served the Group well during the year under review, allowing it to remain financially sustainable while driving the creation of multi-stakeholder value across its business operations.



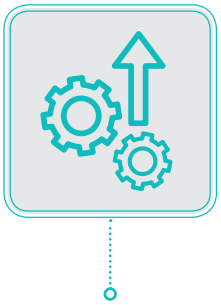
Client management

Prudent management of client advances to optimise risk- return dynamics while supporting the long-term sustainability of our customers.



Diversification

Increased diversification of revenue sources and customers, particularly in the warehousing operations- which in turn resulted in reduced exposure to the relatively volatile tea sector



Operational Efficiencies

Ongoing emphasis on driving cost and process efficiencies through productivity improvements, training and automation

Talent Management



- Training and development
- Employee engagement
- Talent management and succession planning

Management Discussion and Analysis

Operating Environment

The Group's performance, strategy and risks are influenced by the external environment in which we operate, which includes political, economic, social, environmental and other dynamics. The unprecedented challenges that prevailed during the year presented numerous complexities that had to be carefully navigated to ensure the continued sustainability of our operations. These dynamics are discussed in the section below:

Economic Landscape

Global economy: Global GDP grew by 5.9% in 2021 reflecting strong recovery from advanced economies, which saw unprecedented fiscal stimuli and easing restrictions. Emerging markets and developing economies grew by 6.5% owing to better commodity prices and the materialization of pent-up demand. The outlook for 2022, however, remains clouded by the war in Ukraine and resultant economic scarring, which is expected to fuel inflation and affect global growth. The International Monetary Fund projects global growth to slow to 3.6% in 2022 and 2023.

Sri Lankan context: Sri Lanka is currently facing an unprecedented economic crisis, as COVID-19 led impacts coupled with long-standing macro-economic imbalances and structural issues inserted significant pressure on the country's external sector. The crisis deepened from April 2022 onwards, as the country faced shortages in essential items and escalating inflation. Widespread social unrest culminated in the resignation of both the President and the Prime Minister within a period of two months. A new President was appointed in July 2022, followed by the appointment of a new Cabinet.

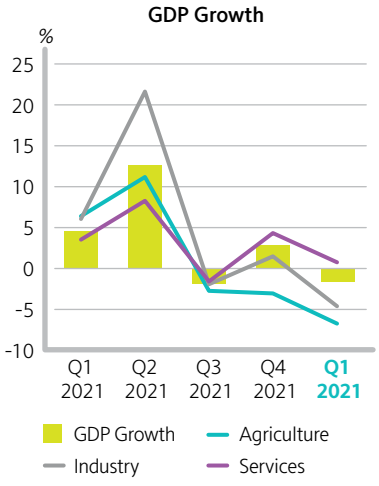
With Sri Lanka being compelled to default on its foreign debt obligations, the country is currently pursuing a bail-out package from the International Monetary Fund while seeking bridging facilities from friendly nations. The success of these negotiations would depend on the Government's commitment towards achieving debt sustainability and political will in implementing much-needed reforms and fiscal consolidation.

An overview of the movement of key macro-economic variables during the year is summarised below:

Economic growth

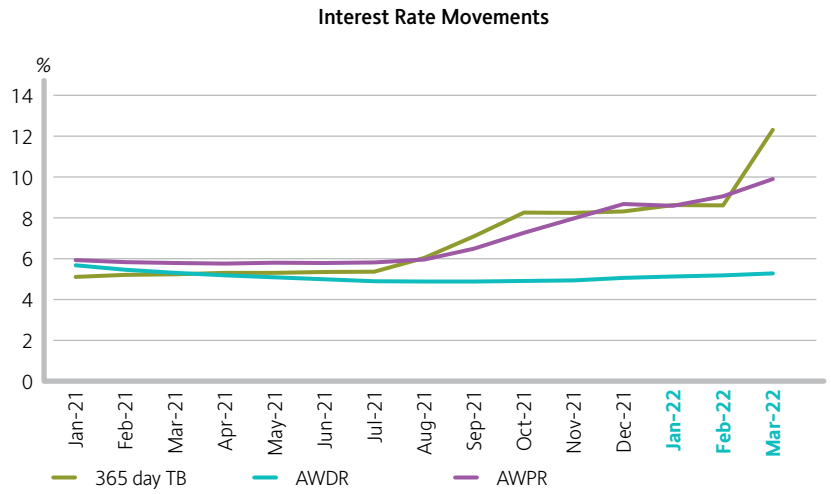
Sri Lanka's GDP increased by 3.7% in 2021 (compared to a contraction of 3.6% in 2020), mainly due to strong rebound in economic activity in the first quarter of the year. Resurgence of COVID-19 infections, particularly in the 2nd and 3rd quarters of the year, however, led to a slowdown in activity, which was further exacerbated by an increasing shortage of foreign exchange liquidity.

In the first quarter of 2022, GDP contracted by 1.6% reflecting the adverse impacts of inflation, depreciation of the Rupee and the country's foreign exchange crisis. The Agriculture Sector recorded a sharp contraction of 6.8% as shortages in chemical fertilizer severely impacted the production of rice and other key crops.



Interest rates

Interest rates which had remained at historically low levels over the past 2 years, recorded a gradual increase following the tightening of monetary policy from the latter part of 2021. AWPR which averaged 6.32% in 2021, increased to nearly 10% by March 2022.



Impact on ASC

- Increase in interest income earned on client financing
- Increase in borrowing costs
- Reduction in borrowings costs

Exchange rates

The fall in tourism earnings and remittances, together with international debt payments inserted significant pressure on the country's external position. With the free float of the exchange rate in March 2022, the Rupee depreciated sharply, falling by 30% (monthly average) during the financial year.

Impact on ASC

- Adverse implications on the Sri Lanka's competitiveness in the international tea market over the long-term

Inflation

The sharp depreciation of the Rupee and disruptions to both global and local supply chains, led to escalating inflationary pressures during the last quarter of the financial year. Inflation has accelerated in ensuing months, reflecting the upward price revisions in fuel costs, continued depreciation of the Rupee and shortage in essential items. Y-o-y headline inflation (measured by NCPI) increased to 21.5% by March 2022 continuing its upward trend to reach a high of 58.9% in June 2022.

Impact on ASC

- Sharp increase in operational costs

The Tea Industry

Country	Y-o-y change in volumes (2021)
India	+6%
China	+8%
Sri Lanka	+7%

Kenya

Global context: Global tea production increased in 2021, driven by stronger output from India, Sri Lanka and China, while Kenya's production declined in comparison to the previous year. During the year, tea producing nations experienced divergent weather patterns, prolonged implications of the pandemic and escalating costs of fertilizer. Meanwhile, global demand continued to be robust, given increased customer preference towards healthy beverages- particularly in the aftermath of the global pandemic.

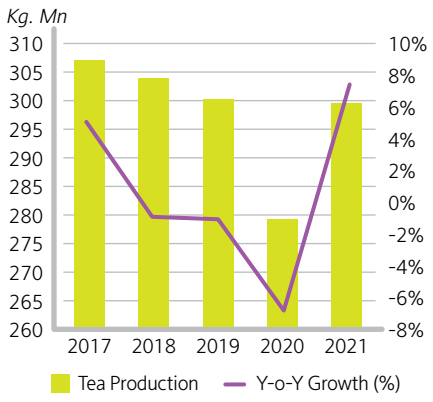
Management Discussion and Analysis

Sri Lankan Context

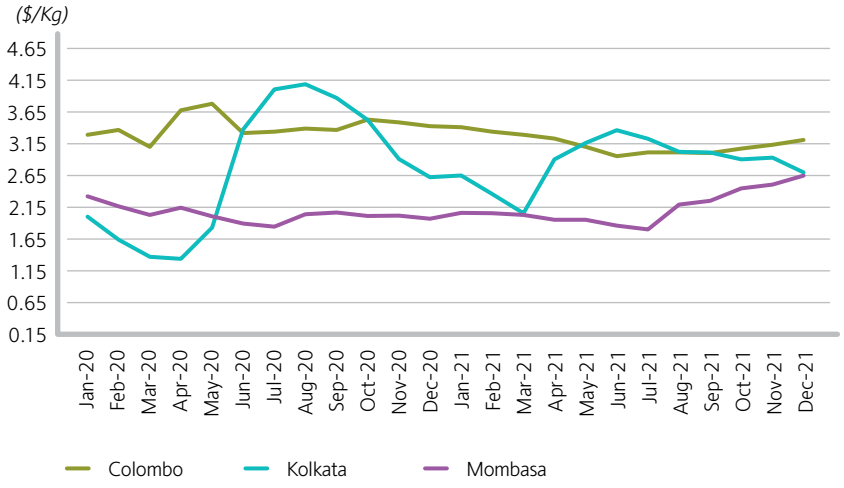
Sri Lanka's tea production recorded an increase of 7.4% in 2021, reflecting favourable weather in the first half of the year as well as comparatively low production levels in 2020. The second half of 2021, however, saw a sharp contraction in production levels due to adverse weather conditions as well as the impacts of the shortage in fertilizer, following the ban on imported agrochemicals by the Government. Production across all three elevations of high, medium and low grown tea increased by 5%, 9% and 8% during the year. The reduced application of fertilizer in the 3rd and 4th quarters of 2021, has sharply impacted production levels in 2022 with volumes in the first half of 2022 declining by 18% in comparison to the previous year.

Prices for Sri Lankan tea remained elevated in 2021, although declining in comparison to the previous year. Accordingly, the average price declined by around 2% to Rs.619.15 per/KG during the year.

Sri Lanka tea production



Colombo /Kolkata /Mombasa 2020/2021 Price Trend



7.4% increase in Sri Lankan tea production in 2021

18% reduction in Sri Lankan tea production in the first half of 2022

Industry Drivers



Ban on chemical fertilizers

As discussed in last year's Report, the ban on chemical fertilizer has had a sharp impact on yields, cost of production and production volumes. This had an inevitable impact on Sri Lanka's competitiveness in the international tea market, as the country faced challenges in fulfilling its order quantities to long-standing customers.



Rising global inflation

With global price pressures accelerating and freight rates at record highs, global distributors and supermarkets are likely to allow tea brands to increase prices- which have been suppressed in recent years.



Implications of climate change

The implications of climate change have continued to intensify, resulting in erratic weather conditions, rising temperatures and prolonged droughts, which have in turn directly affected the quality and quantity of Sri Lanka's tea crops.



Labour shortages

Labour shortages continue to be a key challenge in the plantation sector with increased labour migration to urban areas and different career aspirations of the youth resulting in an aged population in the plantations sector.



Financial Capital

Revenue

Consolidated Revenue increased by 10% to Rs. 711.61 million during the year, driven primarily by strong growth in warehousing income (+24%) reflecting strategic efforts to diversify the Group's warehousing clientele. Revenue growth was also supported by a 15% increase in interest on client advances, while brokerage revenue remained relatively flat compared to the previous year. The Group has increasingly sought to diversify its revenue with the aim of reducing exposure to the relatively volatile tea industry.

Operating Profitability

The Group's operating profitability improved significantly in comparison to the previous year, with operating profit more than tripling to Rs.240.12 million. The improvement compared to 2020/21 reflects a significant write-off of client advances in the previous financial year, as tea factories had faced severe financial pressure following COVID-19 and shortages in fertilizer. The Group's prudent approach to client management during the year, resulted in a significant reduction in provisioning levels during the year, which supported overall profitability. Administration expenses increased by 9% to Rs.453. 09 million, reflecting the general acceleration of inflation levels in the country.

Pre-and-post tax profitability

Consolidated net finance cost declined by 8% to Rs.69.36 million during the year, as interest rates remained low during the first half of the year. Following the curtailment of client advances last year, the Group resumed client financing during the year, which resulted in the exposure to borrowings increasing by 7% during the year. Finance income halved to Rs.3.68 million during the year.

The Group's profitability strengthened during the year, reflecting the increased diversification of its revenue sources and improved quality of its client lending portfolio. Accordingly, the Group returned to profitability recording a Consolidated Pre-tax profit of Rs. 170.76 million compared to a loss of Rs. 29.87 million the previous year. Value creation to the government in the form of income tax amounted to Rs. 51.59 million, resulting in the Group generating a profit of Rs. 119.17 million during the year. Earnings from commodity brokering contributed the largest share to Group profitability during the year, supported by Warehousing income which accounted for 28% of profit, compared to 19% of loss for the previous year.

Total Assets

The Group's total assets increased by 14% to Rs. 2.84 billion during the year, driven mainly by the increase in current assets, which accounted for 63% of total assets. In continuing to support our customers, the Group widened its exposure to client financing which increased by 48% to Rs. 862.29 million during the year. Trade receivables also increased by 36% to Rs. 758.35 million, reflecting improved pricing as well as volumes in comparison to the previous year. The Group's liquidity position remained healthy, with cash and cash equivalents amounting to Rs. 105.59 million by end- March 2022.

Liabilities and Capital

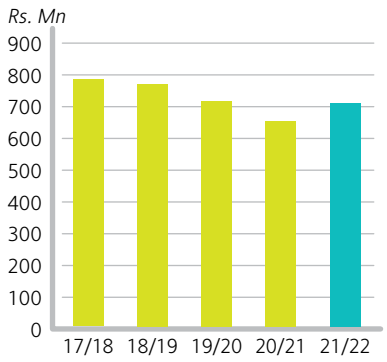
Total liabilities funded 67% of the Group's total assets and increased by 17% during the year, reflecting the increase in borrowings. Total debt increased by 3% to Rs. 734.62 million, in line with the increase in exposure to client financing. Short-term borrowings continue to dominate the Group's debt profile, accounting for nearly 90% of total borrowings during the year. Trade payables also increased substantially during the year due to higher operational activity compared to the previous year.

The Group's capital position improved and remains healthy, with shareholders' funds accounting for 33% of total funding during the year. Total equity increased by 7% marginally to Rs. 940.52 million during the year supported stronger profit generation.

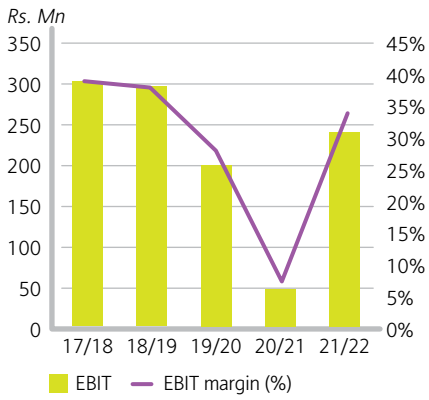
Cashflow

The Group's cash flow position improved during the year, in line with the stronger operating performance. Net cash inflow from operating activities increased to Rs. 118.63 million (from Rs.107.14 million the previous year) supported by increased operating activity and improved working capital cycles. Net cash outflow from investing activities amounted to Rs.47.60 million mainly due to investments in upgrading the warehouse. Net cash outflow from financing activities amounted to Rs. 102.07 million and comprised loan repayments and dividend payments.

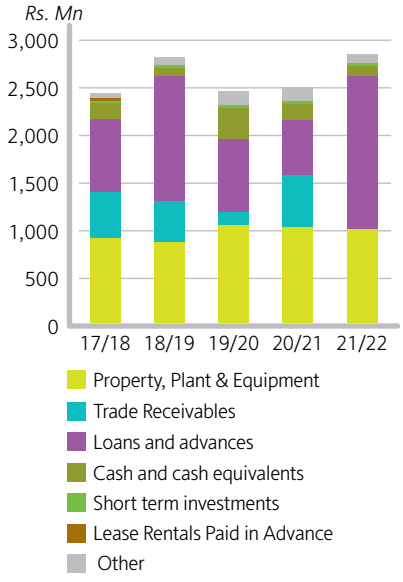
Revenue



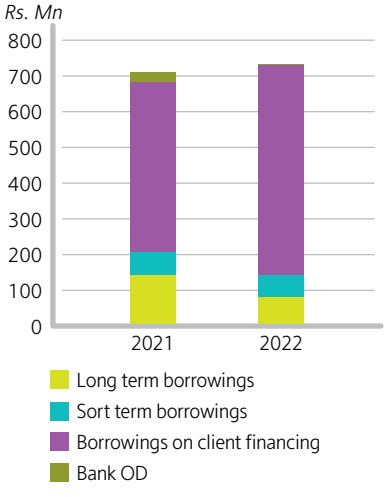
Operating profit



Asset composition



Debt Composition



Manufactured Capital

"The Group's Manufactured Capital is represented primarily by its state-of-the-art warehousing facility, other property, plant and equipment and digital infrastructure."

Value Transformation

Inputs

- Rs.989.91 million Property, Plant and Equipment
- State-of-the art, LEED certified warehousing facility

Capital expenditure of **Rs. 50.25 million**

Value Delivered

- 92% capacity utilisation rate at warehouse
- 21.25% increase in warehousing revenue
- 0.72X PPE/Turnover ratio

Highlights of 2021/22

- The Group's warehousing facility has been a key driver in the Group's diversification strategy, as it has enabled ASC to attract and cater to clientele from diverse industries. The facility offers a total storage space of 197,500 square feet and features a range of environmentally friendly design elements and practices. It is Sri Lanka's first, and among very few tea centres in the world to obtain the prestigious Leadership in Energy and Environmental Design (LEED) Certification (Silver) from the United States Green Building Council.
- Revenue from warehousing operations increased by 21.25% during the year, reflecting ongoing emphasis on expanding operations beyond the tea sector. Accordingly, contribution from warehousing increased to 39%, compared to 35% the previous year.
- During the year, the Group's capital expenditure amounted to Rs. 50.25 million, primarily consisting of investments made in enhancing storage systems and infrastructure in the warehouse.
- The Group continued to also strengthen its IT infrastructure, with ongoing focus on upgrading hardware and software capabilities as well as information security infrastructure.

Human Capital

"ASC's Human Capital is represented by a team of 100 committed and highly skilled employees who have driven the Group's resilience and agility in recent years."

Value Transformation

Inputs

- 100 employees
- 11 female representation rate

Rs. 237.96 million
Employee payments

Rs. 0.01 million
Investment in training

Value Delivered

- 91.74% retention rate
- 14 promotions
- 20% increase in revenue per employee
- 31.69% increase in profit per employee

Highlights of 2021/22

- Our people management aspirations and strategy are governed by an equitable and comprehensive policy framework which is designed to ensure compliance to all relevant laws and regulations and industry best practice.
- Given the outbreak of the 2nd and 3rd COVID waves during the year, ongoing focus was placed on ensuring the safety and well-being of our employees. This included a vaccination drive, strict hygiene protocols, provision of transport facilities and work from arrangements for selected persons. We also paid special compensation for employees who had to incur additional expenses to travel to work.
- Emphasis was also placed on ensuring financial security of all employees, given the country's macro-economic woes and broad-based impacts on standard of living. Despite the challenging conditions the Group retained all employees while adjusting salaries to reflect the high levels of inflation. Total payments to employees therefore increased by 1.10% to Rs. 237.96 million during the year.
- Retention levels remained high at 91.74%, as the Group continued to support employees through a unique value proposition centering on opportunities for growth, attractive remuneration and a conducive organisational culture.
- The Group invested Rs. 0.01 million in training and development, with employees undergoing training in technical, digital and soft skills.

Intellectual Capital

"The Group's intellectual capital has been strengthened by the extensive industry experience of the Board and management team, which in turn has sharpened its' competitive edge and market position. The leadership team also continues to play a vital role in driving Sri Lanka's tea industry forward through collaborating with industry stakeholders."

Value Transformation

Inputs

- Organisational tacit knowledge
- 462 years of collective experience
- Systems and processes

Rs. 0.01 million
Investment in training and development

51
Research publications

Value Delivered

- Maintained market share in
  - Low grown: 14.92%
  - High grown: 9.80%

Highlights of 2021/22

- With Sri Lanka's tea industry facing consecutive challenges in recent years, which included the COVID-19 pandemic, wage hike and most recently the ban on chemical fertilizer, the Group's leadership team has played a focal role in engaging with industry stakeholders and international buyers in preserving the global competitiveness and market position of Sri Lankan tea.
- The Group continues to play a key role in propagating market insights and best practice across the tea supply chain, which has enabled tea factories to produce the varieties and qualities of tea that are in high demand in the global market. During the year, the Group published 51 research reports.
- In cognizance of the critical importance of sustainability, ASC has continued to collaborate with manufacturers and other industry stakeholders to reduce environmental impacts across the entire tea value chain, with particular emphasis on reducing the carbon footprint and use of chemical fertilizer.

Social & Relationship Capital

"The Group's relationship capital is represented by the mutually beneficial networks it has nurtured with customers, tea factories, small holders and tea exporters. These relationships have offered a strong foundation for driving value across the Group's supply chains, strengthening its social license to operate."

Value Transformation

Inputs

- Customers 325
- Suppliers 97
- Community partnerships
- Industry stakeholders

Customer diversification
Ongoing lending to customers
Advisory services

Value Delivered

- Acquisition of new customers 13
- Preservation of market share

Highlights of 2021/22

- The Group's customer based includes regional plantation companies and private tea factories that process teas purchased from small holders. Our value proposition to customers includes services such as warehousing facilities, financial support and advisory, among others.
- In recent years, the Group has proactively sought to diversify its client base beyond the tea sector, particularly in pursuing customers for its warehousing operations. Accordingly, the Group made considerable progress in acquiring customers in the export and large FMCG sectors which have driven higher occupancy levels.
- We continued to support tea factories and manufacturers through the unprecedented challenges facing the country's tea sector. Accordingly, the Group expanded its client advances by 48% to Rs. 862.29 million during the year. We also continue to share our industry experience and insights with manufacturers in order to make their products more competitive and attractive.
- We continued to source 100% of our raw materials locally and payments to suppliers amounted to Rs. 26 billion during the year.

Natural Capital

"As a service-based organisation the Group's direct environmental implications are limited. However, given our position in tea value chain, ASC is critically aware of the role it can play in propagating good environmental practices in partnership with industry stakeholders."

Value Transformation

Inputs

- Consumption of natural capital-based resources including,
  - Energy 307,706 kwh
  - Water 5,986 m^3

Renewable energy generation
Automation and digitalisation

Value Delivered

- 319,270 kwh of renewable energy generated
- Carbon footprint emissions
- Waste generation

Highlights of 2021/22

- The Group's main environmental impacts arise from the consumption of energy and electricity in its warehousing and office operations. ASC's warehouse is the only green certified logistics centre in Sri Lanka and features a range of energy efficiency solutions including the use of natural light and air flows. The warehouse is also installed with 250 Kw of solar power generation capacity which is exported to the National Grid.
- We are also committed towards reducing the consumption of paper through increased focus on automation and technology.
- Sri Lanka has been ranked among one of the most vulnerable countries to climate change in the world, with direct implications on the country's agriculture and plantations sectors. Against this backdrop, we understand the vital importance of engaging in sustainable agriculture methods and we continue to support our customers and other industry stakeholders through propagating good agricultural practices across our supply chain through advisory services.

Corporate Governance

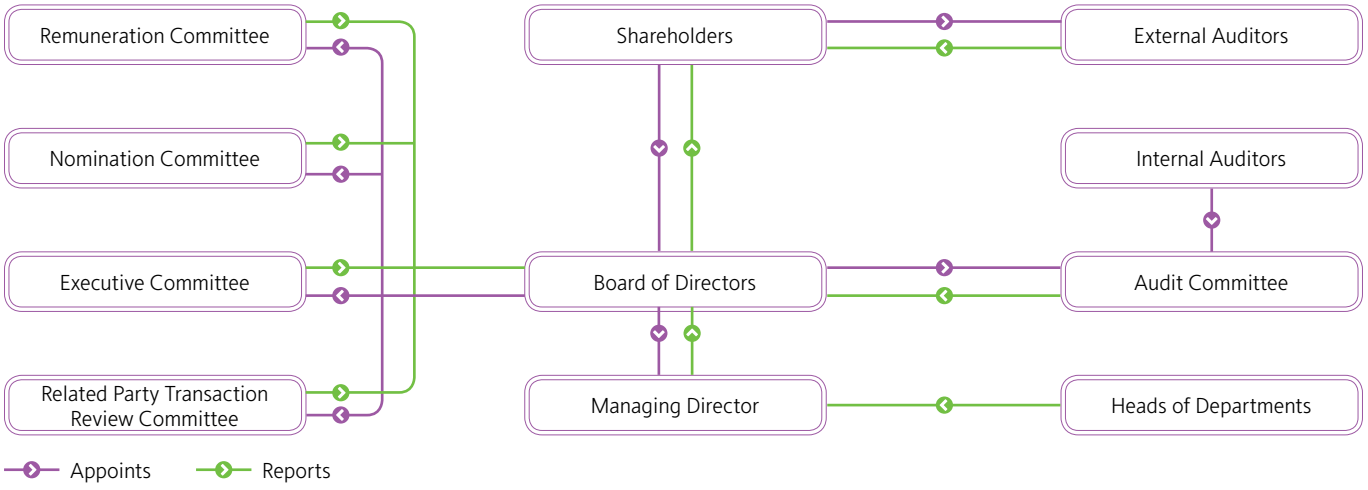
At Asia Siyaka we understand that corporate governance is the full system of rules, practices and processes by which our activities are directed and controlled and we consider corporate governance to be the vital pivot that balances the interests of the Company's many stakeholders to ensure mutually beneficial returns for all stakeholders. In meeting this outcome the Company has in place a formal governance framework aligned to international best practices, which cuts across all decision making and operational aspects of the Company.

The Board of Directors are the highest governing body of the Asia Siyaka Group and are fully cognizant of the crucial importance of maintaining good governance in all aspects of business operations of Asia Siyaka Commodities PLC and its fully owned subsidiaries, Asia Siyaka Warehousing (Private) Limited and Siyaka Produce Brokers (Private) Limited collectively referred to as "the Group". The Board is fully committed to discharge its statutory and fiduciary duties as defined in the Companies Act No. 07 of 2007 and all other applicable laws and regulations, while also adopting international good governance practices in the operational and internal control aspects of the Company. The Board firmly believes that a sound and effective system of governance is fundamental in attracting and maintaining public confidence in the Company and towards discharging its obligations to shareholders and other stakeholders.

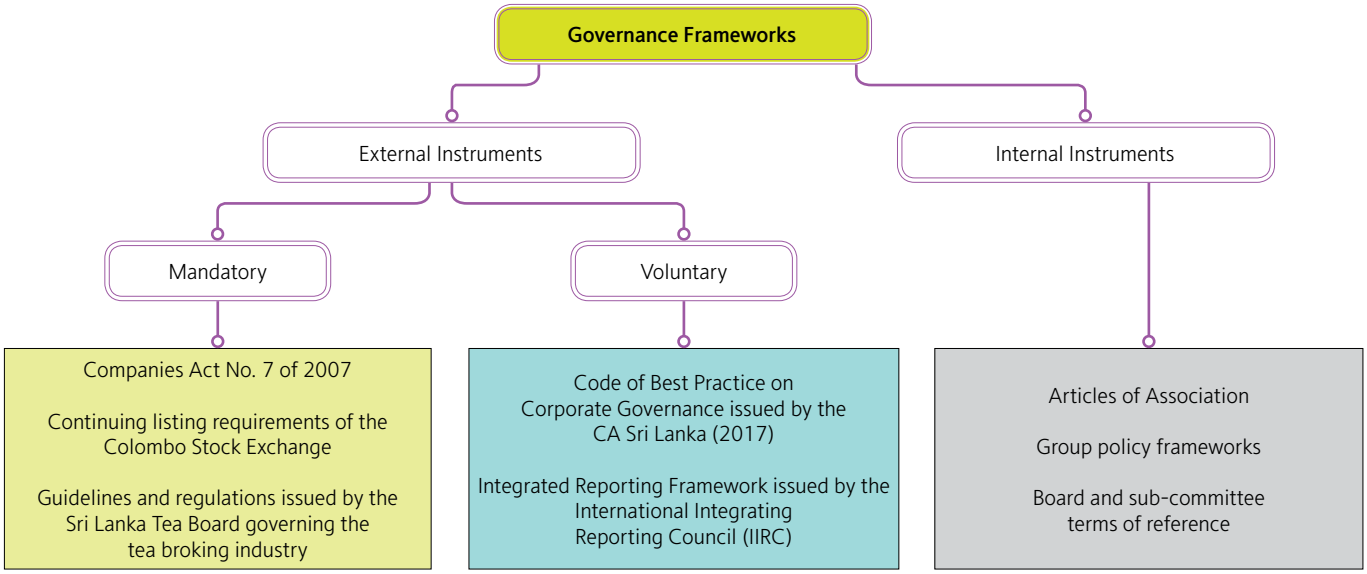
The Company has in place a formal and structured management process and policies to ensure compliance with laws and regulations and has implemented clear lines of authority for decision making and accountability, with well defined reporting channels. The Company is bound by the license issued by the Sri Lanka Tea Board and guidelines and regulations that govern the tea broking industry, Companies Act. No. 07 of 2007 and the Listing Rules of the Colombo Stock Exchange.

During the financial year under review, the Company remained committed to all good corporate governance practices through the total compliance with all applicable regulations and by adopting best practices and upholding the highest standards of business integrity, ethical values, professionalism and transparency and by ensuring that its obligations to all its stakeholders are understood and met. The Directors met regularly during the year to provide continuing oversight of the Company's operations and strategy evaluation and continued to improve and build on the Company's Corporate Governance practices.

Corporate Governance Structure



Corporate Governance



Chairman and Managing Director

In conformity with best practice, we have segregated the roles of the Chairman and the Managing Director with a clear distinction of responsibilities, which ensures balance of power and authority.

Board of Directors

The Board of Directors is the final authority of the Company and the Board composition is made up of the relevant skills and experience to provide strategic direction and guidance to the Company. In line with best corporate practice, the Board of Directors has been vested with the powers to direct, lead and control the Company in an effective manner that reflects the best interest to the Company.

The Board is composed of 12 members of whom six are Non -Executive Directors and six serve as Executive Directors.

Independence of Directors

Based on the declarations submitted, the Board has determined that Mr. T Someswaran and Mr. A Vaithylingam are 'Independent' as per the criteria set out in the Listing Rules of the Colombo Stock Exchange.

The Board was also of the view that the directorship of Mr. M R Morris in Lanka Commodity Brokers Limited does not compromise his independence and objectivity in discharging his functions as a Director and has determined that the said Director shall nevertheless be "independent" as per the Listing Rules.

Board Meetings

To ensure regular reporting and oversight, Board Meetings are scheduled once every quarter and whenever necessary. The Board met four times during the financial year. Attendance at the scheduled Board meetings is set out below.

	Name of Director	Office Held	Attendance at Board Meetings
1.	Mr. T Someswaran	Chairman / Independent Director	4/4
2.	Mr. A R Cooke	Managing Director	4/4
3.	Mr. D J Wedande	Executive Director	4/4
4.	Mr. S G Amarasuriya	Executive Director	4/4
5.	Mr. Y Kuruneru	Executive Director	4/4
6.	Mr. S T Gunatilleke	Non-Executive Director	4/4
7.	Mr. H R V Caldera	Non-Executive Director	4/4
8.	Mr. J N Dambawinne	Non-Executive Director	3/4
9.	Mr. R. C. Dissanayake	Executive Director	4/4
10.	Mr. S. S. Samaranayake	Executive Director	3/4
11.	Mr. A Vaithylingam	Independent Director	4/4
12.	Mr. M R Morris	Independent Director	4/4

Board sub committees

The Board has delegated some of its powers to a number of Committees in line with the mandatory requirements of the Listing Rules of the Colombo Stock Exchange and the voluntary requirements of the Code of Best Practices on Corporate Governance issued by the Institute of Chartered of Accountants of Sri Lanka, each made up entirely of members of the Board. Each Committee so appointed, reports to the Board and is accountable for its responsibilities.

The Board has appointed an Audit Committee, Remuneration Committee, Nominations Committee and Related Party Transactions Review Committee. The composition of the said committees are as follows:

Audit Committee

Mr. T Someswaran	- Chairman
Mr. S T Gunatilleke	- Member
Mr. A Vaithylingam	- Member
Mr. M R Morris	- Member

The Committee has met six times during the year. The meetings are attended by the Managing Director. Senior Vice President – Finance by invitation & other Directors and Executives when required.

The report of the Audit Committee is given on page 64.

Remuneration Committee

Mr. T Someswaran	- Chairman
Mr. S T Gunatilleke	- Member
Mr. A Vaithylingam	- Member
Mr. M R Morris	- Member

The Committee regularly reviews the remuneration policy to ensure that the remuneration structures are in line with industrial standards. The Committee met twice during the year under review.

A main objective of the remuneration policy is to attract and retain a highly qualified and experienced workforce and to compensate employees who contributed to the success of the Company.

Corporate Governance

The Main Responsibility of the Remuneration Committee is to make recommendations to the Board on the Company's framework of Executive Directors' remuneration and its cost and to determine on behalf of the Board specific remuneration packages of executive directors.

The aggregate remuneration paid to executive and non-executive directors is given on page 113.

Related Party Transactions Review Committee

The Related Party Transactions Review Committee was appointed by the Board on 06th November 2015. The names of the Directors who serve on the said Committees are as follows:

Mr. A Vaithylingam	- Chairman
Mr. H R V Caldera	- Member (ceased w.e.f 16.06.2022)
Mr. T Someswaran	- Member
Mr. M R Morris	- Member (appointed w.e.f 16.06.2022)

The Report of the Related Party Transactions Review Committee is given on page 63.

Nominations Committee

The Nominations Committee was appointed by the Board on 06th November 2015. The names of the Directors who serve on the said Committees are as follows:

Mr. T Someswaran	- Chairman
Mr. S T Gunatilleke	- Member
Mr. A Vaithylingam	- Member
Mr. M R Morris	- Member (appointed w.e.f 16.06.2022)

Levels of Compliance with the CSE's Listing Rules – Section 7.10. Rules on Corporate Governance.

Reference	Principle / Rule	Compliance Status	Applicable Section in the Annual Report
7.10 Compliance			
(a) – (c)	Compliance with Corporate Governance Rules The Company is compliant with the Corporate Governance Rules and any deviations are explained where applicable	Compliant	Corporate Governance
7.10.1 Non – Executive Director (NED)			
(a) – (c)	At least 02 members or 1/3 of the Board, whichever is higher should be NED.	Compliant	As at the conclusion of the last AGM there were 6 Non-Executive Directors
7.10.2 Independent Directors (ID)			
(a)	Two or 1/3 of NEDs whichever is higher should be Independent	Compliant	Of the 6 Non – Executive Directors, 3 are independent
(b)	Each NED to submit a signed and dated declaration of his/her independence or non-independence in the prescribed format	Compliant	Please refer page 37 of the Corporate Governance Report
7.10.3 Disclosures Relating to Directors			
(a)	The Board shall annually make a determination as to the independence or otherwise of the NED and names of Independent Directors should be disclosed in the Annual Report	Compliant	Please refer page 37 of the Corporate Governance Report
(b)	The basis of the Board to determine a Director is Independent, if criteria specified for independence is not met	Not Applicable	The Board was of the view that the directorship of Mr. M R Morris in Lanka Commodity Brokers Limited does not compromise his independence and objectivity in discharging his functions as a Director and therefore based on declarations submitted by the said Director, has determined that he shall nevertheless be "independent" as per the Listing Rules.
(c)	A brief resume of each Director should be included in the Annual Report and should include the areas of expertise	Compliant	Please refer page 14
(d)	Forthwith provide a brief resume of new Directors appointed to the Board with details specified in 7.10.3(a), (b) and (c) to the exchange	Compliant	Provided to the CSE

Corporate Governance

Reference	Principle / Rule	Compliance Status	Applicable Section in the Annual Report
7.10.4 Criteria for Defining Independence			
(a) – (h)	Requirements for meeting criteria to be an Independent Director	Compliant	All Independent Directors, except for Mr. M R Morris meet with the criteria. The Board has determined that Mr. M R Morris shall nevertheless be determined an Independent Director
7.10.5 Remuneration Committee – Listed Company shall have a Remuneration Committee			
(a)	Composition of the Remuneration Committee shall compromise of Non- Executive Directors a majority of whom will be independent	Compliant	Please refer page 65
(b)	Functions of Remuneration Committee – The Remuneration Committee shall recommend the remuneration of the Chief Executive Officer and other Executive Directors	Compliant	Please refer to the Remuneration Committee Report on page 65
(c)	Disclosures in the Annual Report relating to the Remuneration Committee on Remuneration Policy, Names of the Directors of the Committee and aggregated remuneration paid to executive and non-executive directors	Compliant	Please refer Remuneration Committee Report on page 65 and Financial Report Note no. 31 on page 113
7.10.6 Audit Committee – The Company shall have an Audit Committee			
(a)	Composition of Audit Committee – I –Shall comprise of Non- Executive Directors a majority of whom should be independent	Compliant	Please refer page 64 of the Audit Committee Report
	II - A Non-Executive Director shall be the Chairman of the Committee	Compliant	Chairman of the Audit Committee is a Non- Executive Director
	III –Chairman of the Audit Committee or one member should be a member of Professional Body	Compliant	Chairman of the Audit Committee is a Fellow member of the Institute of Chartered Accountants of Sri Lanka
	IV - CEO and CFO shall attend the Committee Meetings	Compliant	MD & Senior Vice President - finance attended Audit Committee meetings by invitation
(b)	Audit Committee Functions, Functions shall include: I – Overseeing the preparation, presentation and disclosures in the Financial Statements are in accordance with the Sri Lanka Accounting Standards.	Compliant	Please refer the Audit Committee Report on page 64
	II – Overseeing the compliance of the reporting requirements, information requirements of the Company's Act and other relevant financial reporting related regulations and requirements.	Compliant	

Reference	Principle / Rule	Compliance Status	Applicable Section in the Annual Report
	III - Overseeing the process to ensure that the internal control and risk management are adequate to meet the requirements of Sri Lanka Auditing Standards.	Compliant	
	IV – Assessment of the independence and the performance of the External Auditors	Compliant	
	V – Make recommendations to the Board pertaining to appointment, re-appointment and removal of External Auditors and approve the remuneration and terms of the engagement of the External Auditors	Compliant	
(c)	Disclosures in the Annual Report relating to Audit Committee. I - Names of Directors comprising the Audit Committee.	Compliant	Please refer to the Audit Committee Report on page 64
	II - The Audit Committee shall make a determination of the independence of the Auditors and disclose the basis of such determination.	Compliant	
	III - The Annual Report shall contain a report of the Audit Committee setting of the manner of compliance with their functions	Compliant	

Corporate Governance

Compliance with the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka.

Reference	Principle	Adoption Status	Section in Annual Report
A DIRECTORS			
A.1 THE BOARD			
A.1	Effective Board	Adopted	Corporate Governance
A.1.1	Regular Meetings at least once in every quarter	Adopted	Corporate Governance
A.1.2	› Ensure the formulation and implementation of sound business strategy › Ensure that the Chief Executive Officer (CEO) and management team possess the skills, experience and knowledge to implement the strategy › Ensure effective CEO and senior management succession strategy › Approving budgets and major capital expenditure › Determining the matters expressly reserved to the board and those delegated to the management including limits of authority and financial delegation › Ensure effective systems to secure integrity of information, internal controls and risk management › Ensure compliance with laws, regulations and ethical standards › Ensure all stakeholder interests are considered in corporate decisions › Recognizing sustainable business development in Corporate Strategy, decisions and activities and consider the need for adopting “integrated reporting” › Ensure that the company’s values and standards are set with emphasis on adopting appropriate accounting policies and fostering compliance with financial regulations › Establish a process of monitoring and evaluation of progress on strategy implementation, budgets, plans and related risks › Ensuring that a process is established for corporate reporting on annual and quarterly basis or more regularly as relevant to the Company › Fulfill such other Board functions as are vital, given the scale, nature and complexity of the business concerned	Adopted	Corporate Governance & Statement of Directors Responsibility
A.1.3	Act in accordance with laws relevant to the organization and procedure for Directors to obtain independent professional advice	Adopted	Corporate Governance
A.1.4	Access to advise and services of Company Secretary	Adopted	Corporate Governance
A.1.5	Independent judgment	Adopted	Corporate Governance

Reference	Principle	Adoption Status	Section in Annual Report
A.1.6	Dedicate adequate time and effort to matters of the Board and the Company	Adopted	Corporate Governance
A.1.7	Resolution to be presented to the Board	Adopted	Corporate Governance
A.1.8	Appropriate Training	Adopted	Corporate Governance
A.2 CHAIRMAN AND CHIEF EXECUTIVE OFFICER (CEO)			
A.2	Separating the activities of the Board from the executive responsibilities of the Company	Adopted	Corporate Governance
A.3 CHAIRMAN'S ROLE			
A.3	Chairman's role in preserving good corporate governance. Conduct Board meetings in a proper manner.	Adopted	Corporate Governance
A.4 FINANCIAL ACUMEN			
A.4	Availability of financial acumen and knowledge to offer guidance on matters of finance	Adopted	Corporate Governance
A.5 BOARD BALANCE			
A.5.1 and A.5.2	Non-Executive Directors of sufficient caliber and number	Adopted	Corporate Governance
A.5.3	Independence of Non-Executive Directors	Adopted	Corporate Governance
A.5.4	Annual declarations of independence from Directors	Adopted	Corporate Governance
A.5.5	Determination of independence of the Directors	Adopted	Corporate Governance
A.5.6	Appointment of an alternate Director	N/A	N/A
A.5.7	Senior Independent Director (SID)	N/A	N/A
A.5.8	SID to meet with other Directors	N/A	N/A
A.5.9	Chairman to hold meetings with Non-Executive Directors, without Executive Directors being present	Adopted	Corporate Governance
A.5.10	Recording of Directors' concerns in Board Minutes	Adopted	N/A
A.6 SUPPLY OF INFORMATION			
A.6.1	Management's obligation to provide appropriate and timely information to the Board	Adopted	Corporate Governance
A.6.2	Board papers and agenda to be circulated 7 days prior to meetings	Adopted	Corporate Governance
A.7 APPOINTMENTS TO THE BOARD			
A.7.1	Formal and transparent procedure for new appointments through an established Nominations Committee	Adopted	Corporate Governance
A.7.2	Annually assess Board composition	Adopted	Corporate Governance
A.7.3	Disclosure of information to shareholders upon appointment of new directors	Adopted	Announcement made to CSE

Corporate Governance

Reference	Principle	Adoption Status	Section in Annual Report
A.8 RE-ELECTION			
A.8.1 and A.8.2	› All Non-Executive Directors should be appointed for specified terms subject to re-election › All Directors including the Chairman to be subject to election at first opportunity after appointment and re-election at least every 3 years thereafter	Adopted	Corporate Governance / Notice of Meeting
A.8.3	› Resignation of a Director prior to completion of his appointed term, the Director should provide a written communication to the Board of his reasons for resignation.	Adopted	Corporate Governance
A.9 APPRAISAL OF BOARD PERFORMANCE			
A.9.1 & A.9.2	Annual Performance Evaluation of the Board and its Sub Committees	Working towards compliance	N/A
A.9.3	Review the performance of the Directors at the time of re-election	Working towards compliance	N/A
A.9.4	Disclosure of Performance evaluation criteria	Working towards compliance	N/A
A.10 DISCLOSURE OF INFORMATION IN RESPECT OF DIRECTORS			
A.10.1	Annual Report to disclose specified information regarding directors	Adopted	Board of Directors / Corporate Governance
A.11 APPRAISAL OF CHIEF EXECUTIVE OFFICER/MANAGING DIRECTOR			
A.11.1	Set reasonable financial and non-financial targets to be met by the CEO	Adopted	Corporate Governance
A.11.2	Evaluate performance of the CEO with reference to targets	Adopted	Corporate Governance
B. DIRECTOR'S REMUNERATION			
B.1 REMUNERATION PROCEDURE			
B.1.1	Remuneration Committee	Adopted	Corporate Governance
B.1.2	Composition of Remuneration Committee	Adopted	Corporate Governance
B.1.3	Disclosure of members of Remuneration Committee	Adopted	Corporate Governance
B.1.4	Remuneration for Non- Executive Directors	Adopted	Corporate Governance
B.1.5	Consultation of the Chairman and access to professional advice	Adopted	Corporate Governance
B.2 LEVEL AND MAKEUP OF REMUNERATION			
B.2.1 B.2.2	Remuneration for Executive Directors should attract, retain and motivate Design of the remuneration packages of Executive Directors to promote long term success	Adopted Adopted	Corporate Governance Corporate Governance
B.2.3	Comparison of remuneration with other Companies	Adopted	Corporate Governance
B.2.4	Comparison of remuneration with other Companies in the Group	Adopted	Corporate Governance
B.2.5	Performance related elements of remuneration of Executive Directors	N/A	N/A
B.2.6	Executive Share Options scheme	N/A	N/A
B.2.7	Executive Directors' remuneration	Adopted	Corporate Governance

Reference	Principle	Adoption Status	Section in Annual Report
B.2.8	Compensation commitments	N/A	N/A
B.2.9	Remuneration Committees should, within legal constraints, tailor their approach in early termination cases to the relevant circumstances.	N/A	N/A
B.2.10	Levels of remuneration for Non-Executive Directors	Adopted	Corporate Governance
B.3 DISCLOSURE OF REMUNERATION			
B.3.1	Composition of Remuneration Committee, Remuneration Policy and disclosure of aggregate remuneration paid to directors	Adopted	Remuneration Committee Report / Financial Statements – Note No 31
C. RELATIONS WITH SHAREHOLDERS			
C.1 CONSTRUCTIVE USE AND CONDUCT OF ANNUAL GENERAL MEETING			
C.1.1	Notice of the AGM and Related Documents	Adopted	Notice of Meeting
C.1.2	Separate resolution for all separate issues at the AGM	Adopted	Notice of Meeting
C.1.3	Use of Proxy Votes	Adopted	Notice of Meeting
C.1.4	Availability of Board Sub-Committee Chairmen at AGM	Adopted	Notice of Meeting
C.1.5	Summary of procedures governing voting at the AGM	Adopted	Notice of Meeting
C.2 COMMUNICATION WITH SHAREHOLDERS			
C.2.1 - C.2.7	› Channel to reach all shareholders › Policy and methodology for communication with shareholders › How the above policy & methodology is implemented › Contact person for shareholder matters › Process to make all Directors aware of major issues and concerns of shareholders › Person to contact in relation to Shareholder matters › Process of responding to shareholder matters	Adopted	Corporate Governance
C.3 MAJOR AND MATERIAL TRANSACTIONS			
C.3.1	Disclosure of major and material transactions	Adopted	Notes to Financial Statements
C.3.2	Compliance with the disclosure requirements and the shareholder approval by special resolution	Adopted	Notes to Financial Statements
D. Accountability & Audit			
D.1 FINANCIAL AND BUSINESS REPORTING			
D.1.1	Present a balanced and understandable assessment of the Company's financial position, performance and prospects, Interim reports, price-sensitive public reports, regulatory reports and statutory information requirements	Adopted	Chairman's and MD's Review / Financial Statements / Corporate Governance / Enterprise Risk Management
D.1.2	The Board's responsibility in presenting balanced and understandable information	Adopted	Statement of Directors' Responsibility / Financial Statements / Corporate Governance / Enterprise Risk Management

Corporate Governance

Reference	Principle	Adoption Status	Section in Annual Report
D.1.3	Declaration from the Chief Executive Officer and Chief Financial Officer	Adopted	Statement of Directors' Responsibility / Financial Statements / Corporate Governance / Enterprise Risk Management
D.1.4	Directors' Report in the Annual Report	Adopted	Statement of Directors' Responsibility / Financial Statements / Corporate Governance / Enterprise Risk Management
D.1.5	Responsibilities of the Board for the preparation and presentation of Financial Statements and statement by the Auditors about their reporting responsibilities	Adopted	Statement of Directors' Responsibility / Auditors' Report
D.1.6	Include a Management Discussion & Analysis	Adopted	Please refer the Management Discussion and Analysis on page 24 to 26
D.1.7	Notify shareholders in case net assets of the company fall below 50% of the value of the Company's shareholders funds	N/A	N/A
D.1.8	Disclosure of Related Party transactions	Adopted	Notes to the Financial Statements Note No. 31
D.2 RISK MANAGEMENT AND INTERNAL CONTROL			
D.2.1	Directors to review on Risk management and Internal Controls	Adopted	Report of the Audit Committee
D.2.2	Disclosures in the Annual Report on Risk Management and Internal Controls	Adopted	Statement of Directors' Responsibility / Financial Statements / Corporate Governance / Enterprise Risk Management
D.2.3	Internal Audit Function	Adopted	Corporate Governance
D.2.4	Review of effectiveness of the risk management and internal controls	Adopted	Audit Committee / Enterprise Risk Management / Statement of Directors' Responsibility
D.2.5	Responsibilities of Directors in maintaining a sound system of internal control	Adopted	Statement of Directors' responsibility
D.3 AUDIT COMMITTEE			
D.3.1	Composition of the Audit Committee	Adopted	Corporate Governance / Report of the Audit Committee

Reference	Principle	Adoption Status	Section in Annual Report
D.3.2	Duties of the Audit Committee and Terms of Reference for Audit Committee	Adopted	Corporate Governance / Report of the Audit Committee
D.3.3	Disclosures regarding Audit Committee	Adopted	Corporate Governance / Report of the Audit Committee
D.4 RELATED PARTY TRANSACTIONS REVIEW COMMITTEE			
D.4.1	A related party and related party transactions	Adopted	Financial Statements / Report of the Related Party Transactions Review Committee
D.4.2	Related Party Transactions Review Committee (RPTRC)	Adopted	Report of the Related Party Transactions Review Committee
D.4.3	Terms of Reference of the Related Party Transactions Review Committee (RPTRC)	Adopted	Report of the Related Party Transactions Review Committee
D.5 CODE OF BUSINESS CONDUCT AND ETHICS			
D.5.1	Disclosure of Code of Business Conduct & Ethics	Adopted	Corporate Governance
D.5.2	Process to ensure that material and price sensitive information is promptly identified and reported.	Adopted	Corporate Governance
D.5.3	Policy and process to ensure for monitoring and disclosure of shares purchased by any Director, Key Management Personnel or any other employee involved in financial reporting	Adopted	Corporate Governance
D.5.4	Affirmation Statement by Chairman	Adopted	Chairman's Report
D.6 CORPORATE GOVERNANCE DISCLOSURES			
D.5.6	Corporate Governance Report	Adopted	Corporate Governance
E. SHAREHOLDERS			
E.1 INSTITUTIONAL INVESTORS			
E.1.1	Encourage voting at AGM Regular structured dialogues with institutional investors	Adopted	Corporate Governance
E.2 EVALUATION OF GOVERNANCE DISCLOSURES			
E.2	Encourage institutional investors to give due weight to relevant governance arrangements	Adopted	Corporate Governance

Corporate Governance

Reference	Principle	Adoption Status	Section in Annual Report
F. OTHER INVESTORS			
F.1 INVESTING/DIVESTING DECISION			
F.1	Individual shareholders are encouraged to do their own analysis or seek independent advice	Adopted	Corporate Governance
F.2 SHAREHOLDER VOTING			
F.2	Encourage shareholders to participate and vote at the General meetings	Adopted	Corporate Governance
G. INTERNET OF THINGS AND CYBER SECURITY			
G.1 – G.1.5	Internet of Things and Cyber Security	Adopted	Enterprise Risk Management
H. ENVIRONMENT, SOCIETY AND GOVERNANCE			
H.1-H.1.5	Environment, Society and Governance	Adopted	Integrated Reporting Framework/Management Discussion & Analysis/ Corporate Governance/ Enterprise Risk Management

Level of Compliance to the continuing listing requirements section 9 on Related Party Transactions issued by the Colombo Stock Exchange (CSE)

Reference	Principle/Rule	Compliance	Section in Annual Report
9.2	**Related Party Transactions Review Committee**		
9.2.2	Composition	Compliant	Corporate Governance
9.2.4	Committee meetings	Compliant	Report of Related Party Transaction Review Committee
9.3	**DISCLOSURES**		
9.3.2	Disclosures in the Annual Report		
(a)	Non-recurrent Related Party Transactions	Compliant	Annual Report of the Board of Directors
(b)	Recurrent Related Party Transactions	Compliant	Financial Statements Note No. 31
(c)	Report of the Related Party Transactions Review Committee	Compliant	Report of Related Party Transaction Review Committee
(d)	A declaration by the Board of Directors	Compliant	Annual Report of the Board of Directors

Enterprise Risk Management

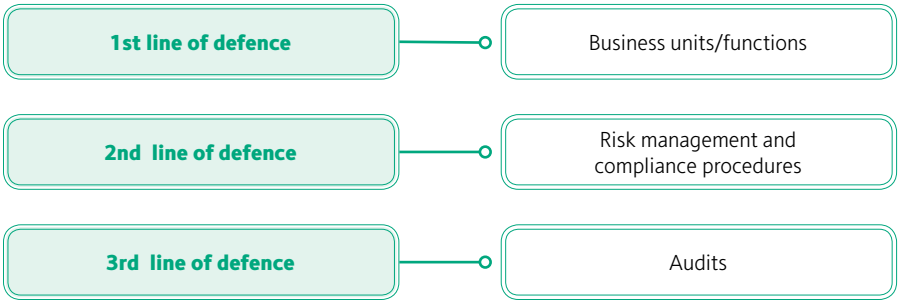
As a business exposed to both domestic and global influences, Asia Siyaka faces a broad range of risks that can impact the organisation in the short, medium and long term influencing operations, tactics and strategies.

The Board is fully cognisant of the vital importance of effective risk management to safeguard shareholder assets and to facilitate long term wealth creation for all stakeholders. Therefore, the company has developed a proactive and structured risk management system that assists in risk identification and monitoring at a broader ecological, political and socio-economic frame, with inbuilt and flexible response mechanisms. In addition to risks faced in the domestic market, emerging global trends pose the potential to disrupt the company's strategic plans through commodity market changes. Therefore, the company continuously evaluates and refines the overall risk management process to reflect the rapidly changing nature of our operating landscape and to ensure attainment of strategic objectives.

Managing the risks

The overall risk portfolio of Asia Siyaka can be broadly classified as unsystematic risks which are within the control of the company and systematic risks which are beyond the control of the company. The risk management system has been developed to address both types of risks.

The company has developed an effective Risk Management Framework (RMF) based on the Three Lines of Defence model. The Three Lines of Defence model, which is an international standard, enables the company to harness different perspectives in defining risks and their impacts, while allowing to draw upon a wide range of skills for managing risks. The RMF is a continuous safeguard which is always active and operational in the day-to-day operations of the company as it permeates the width and breadth of the organisation.



Risk Governance

Risk governance is essentially the application of the principles of good governance to the identification, assessment, treatment, monitoring, reviewing and reporting of risks. A strong risk governance system allows oversight of and accountability for risk at all levels and across all risk types. As the highest decision making body of the company, the Board of Directors are the final authority for determining the nature and extent of the significant risks the Company is willing to take and ensuring that these risks are managed effectively. The Board is supported by the Audit Committee in discharging its risk management related functions and the Audit Committee reviews the effectiveness of the Company's risk management and internal control systems on an annual basis.

Regular risk reporting to the Board ensures that risks are monitored on an ongoing basis. For clarity and transparency within the risk management process, the company has adopted a formal board approved, documented risk management process, which stipulates the procedures for identification, analysis, evaluation, treatment, management and communication of the material risks.

The organisation's risk management structure is depicted below;



Risk appetite

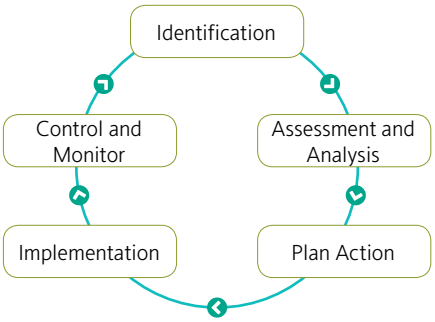
The Group has formulated a formal risk appetite statement that defines the level of risk the Board is willing to accept in the achievement of its strategic objectives. Risk appetites are regularly reviewed and refined in line with strategic cost-benefit objectives and ability to absorb risk. The risk appetite statement provides oversight and consistency in the level of risk taken by

Enterprise Risk Management

the Group as a whole and ensures that risk return dymamics are appropriately managed at all times.

Approach to risk management

The process of risk management encompasses the steps of continually monitoring the systematic and unsystematic risk landscape, identifying risks and prioritising risks based on a weighted scoring system, developing risk responses and executing the risk management strategy. Due to the utilization of the 3-Lines of Defence model, risk responses and monitoring receives close attention from specific risk owner groups, which strengthens the overall risk management framework.



1. **Risk Identification** - The process of risk identification is primarily through regular and continuous consultations between the Chief Executive Officer (CEO) and key management personnel from different functional units to ensure comprehensive coverage of the risk landscape. Identified risk elements are reviewed by the Senior Management Team and the Audit Committee against the Group's strategic and tactical targets and stakeholder expectations.

2. **Assessment and Analysis** – Existing and emerging identified risks are mapped and rated based on the likelihood and potential level of impact as depicted below. During the year, the Group further strengthened its risk assessment and analysis mechanisms by assigning weighted scores to each risk element.

Likelihood	Impact				
	Insignificant	Minor	Moderate	Major	Severe
Almost certain	Moderate	High	High	Extreme	Extreme 6
Likely	Moderate	Moderate 5	High	High 8,9,20	Extreme
Possible	Low 1,17,18,19	Moderate 5	Moderate 2,4,21,24	High 7	Extreme
Unlikely	Low 3,14,15, 22,23	Moderate	Moderate	Moderate	High
Rare	Low	Low 10,11,12, 13,16	Moderate	Moderate	High

3. **Response planning and execution** - Based on the derived risk scores, strategies are formulated to curtail and mitigate the risk exposures. Responsibility for managing each identified risk lies with the respective risk owners. The Group will ensure there is sufficient flexibility to respond to risks and adequate resources to mitigate risks. It is recognised that risks can be most effectively managed if a risk culture is nurtured within the Group. The internal controls for risk management will be scrutinised by internal and external audit functions but these can only minimise the consequences of occurrence based on impact and likelihood but the risk itself will not be eliminated.

   Group Policies will ensure that fundamental risks in their department are identified, assessed and monitored and incorporated in the Risk Register. Emerging risks will be added as required, and actions and controls put in place to mitigate them and provide assurance to the Board.

4. **Control and Monitor** - Monitoring of all risk exposures are the collective responsibility of the respective risk owners and the senior management team. The Internal Audit function is responsible for aspects of the annual review of the effectiveness of the internal control system within the organization while the external audit function

provides feedback to the Audit Committee on the operation of the adequacy and effectiveness of the internal control system within the organisation. Assurance on the effectiveness of the Group's overall risk management framework and internal controls is provided by the Statement of Internal Controls.

5. **Risk Reporting** - Well defined reporting structures and monitoring mechanisms are in place to continuously track the Group's risk exposures and ensure that risk management strategies and internal controls are adequate in design and implementation

Risk universe

The Group's key risk exposures can be categorised as Market Risks, Political and Economic Risks, Operational Risk, HR Risks, IT Risks, and Other Risks. The risk profile did not experience significant changes during the current financial year with market risks continuing to pose the highest risk to the company due to commodity market pricing disruptions. While rising competitive elements put pressure on market share and margins, this threat has remained moderate. The company has initiated strategic responses to address these risks while accommodating shareholder expectations in terms of financial performance during the year.

The table below provides a summary of the potential impacts, mitigation mechanisms and risk scorings for the year under review.

S/N	Type of Risk and Impact	Implications	Risk Mitigation	Net Risk Assessment			
				2021/22	2020/21	2019/20	2018/19
Market Risk							
1.	Changes in commodity prices – Cyclical price changes globally and locally.	Direct Impact on Revenue, Vulnerable to credit exposure of Clients	› Consistently monitoring market trends and industry › Achieving differentiation through quality focus	Low	Extreme	Extreme	Extreme
2.	Competition and potential loss of clients - Increasing competitive pressures	Loss of Market share, Impact on profitability, Negative impact on cash flows	› Long Term Investment in business diversification › Develop long-term relationships with clients based on sustainable value creation › Developing a broad client portfolio › Close monitoring of competitor behaviour and trend of client movement › Continual engagement with the CBA to ensure all Brokers adhere to By-Laws	Moderate	Moderate	Moderate	Moderate
3.	Closure of Client Factories	Impact on profitability, Increase Provisions, Negative impact on cash flows	› Proactive monitoring and tight control over client advances › Monitoring of green leaf intakes to the factories, and catalogued quantities › Monitoring factory compliance with SLTB regulations	Low	Moderate	Moderate	-

Enterprise Risk Management

S/N	Type of Risk and Impact	Implications	Risk Mitigation	Net Risk Assessment			
				2021/22	2020/21	2019/20	2018/19
4.	Trends in Tea/ Rubber/Other Commodity Industries - Emerging Global Trends that have an impact on the business Increase in global inflation rates	Impact on profitability	› Continual market research and sharing knowledge with producer clients › Diversified Income streams apart from broking industry	Moderate	Low	Low	Low
5.	Interest Rate Risk - Increasing interest rates Shortage of liquidity in banking sector	Impact on profitability through rising funding costs	› Timely review of lending rates and proactive negotiations with financial institutions › Strong treasury management to ensure borrowing costs are minimized › Adherence to CBA regulations on avoidance of rate based competition on lending › Building Reserves in the company	Moderate	Low	Low	Moderate
Political and Economic Risks							
6.	Government Policy Change Risk – Political instability Sudden changes to fiscal and monetary policies by the government Acute shortage of capital goods due to shortage of dollars restricting imports resulting in sharp rise of cost Energy supply disrupting tea, rubber production	Impact on profitability, Effects on budgets and targets.	› Obtaining advices from professional bodies/Consultancy firms › Discussions with relevant authorities for exemptions/ rulings with the support of CBA	Extreme	High	Moderate	Moderate

S/N	Type of Risk and Impact	Implications	Risk Mitigation	Net Risk Assessment			
				2021/22	2020/21	2019/20	2018/19
7.	Geopolitical Risk - Sanctions on key tea importing countries disrupting trade	Loss of markets impacting profitability and Going Concern Issues	› Continual review of global and national drivers/factors to provide marketing and product advice to clients enabling them to respond to the world market › National promotion of Ceylon Tea in new markets › Leadership to national initiatives	High	High	Moderate	High
Operational Risk							
8.	Credit Risk - Potential loss of earnings and cash flow of clients to fulfil their financial obligations to the Group due to increased cost of debt	Impact on profitability, Increased bad debt provisions and Going Concern Issues	› Close monitoring through credit committee and automated processes for evaluation › Act within the legal frame work to ensure assurance of recoverability of client advance portfolio › Maintaining close relationships with clients with continual inspection and monitoring › Communication channel through CBA to improve unity among all brokers to prevent defaulting by borrowers	High	Moderate	Moderate	Moderate
9.	Liquidity, Leverage and increased Credit exposure risk of the Company	Litigation claims by fund providers Disruption to the client advancing operation	› Maintaining an optimal Debt/Equity ratio as per company policy › Effective Cash management with regular review › Building Company Reserves › Ability to raise funds due to availability of collateral	High	Low	Low	Low
10.	Fraud risk - Potential financial and reputational losses arising from frauds within the organisation.	Impact on Profitability	› Continual review and strengthening of Internal Controls › Compilation of procedure manual with all the internal controls over quantitative and qualitative measurements. Introducing delegation of authorities, segregation of duties and access levels etc	Low	Low	Low	Low

Enterprise Risk Management

S/N	Type of Risk and Impact	Implications	Risk Mitigation	Net Risk Assessment			
				2021/22	2020/21	2019/20	2018/19
11.	Compliance related risks - Regulatory and reputational risks arising from non-compliance with regulatory requirements	Impact on reputation, Going Concern, Possible fines and Charges	› Periodic review of compliance through internal audit and implementation of ISO Audit › Appointing Compliance officer to maintain independent supervisory functions › Continuous engagement with Sri Lanka Tea Board (SLTB) ensuring compliance with other regulatory Bodies' requirements › Including the CTTA and CBA and ensuring the company and the clientele are operating within the legal environment › Professionals and specialists are consulted to provide guidance and direction to ensure compliance in various transactions entered › Effective Corporate Governance structure	Low	Low	Low	Low
12.	Manual Documents Related data breaches / Sabotage / Burglary and theft	Loss of Sensitive Information, Loss of Security documents, Impact on Profitability	› Storing sensitive data on secured locations(Safes/Lockers) › Access limited to authorised personnel › Additional backups as soft copies on cloud/other backup solutions › Security personnel on duty 24/7 › CCTV surveillance	Low	Low	Low	Low
13.	Public Liability	Loss of reputation	› Health and Safety policies › Suitable and comprehensive Insurance covers › Maintaining high industry reputation › Effective Corporate Governance structure	Low	Low	Low	Low

S/N	Type of Risk and Impact	Implications	Risk Mitigation	Net Risk Assessment			
				2021/22	2020/21	2019/20	2018/19
HR Risk							
14.	People related risk - Risks arising from inability to retain staff, shortage of skilled labour, lack of adequate training and inadequate standards of performance Increased incidence of migration	Loss of Market share, Loss of Industry reputation	› Continual investment in training and development initiatives to equip employees with the required skills to respond to dynamics in the environment › Competitive remuneration schemes › Structured and comprehensive HR policies and frameworks	Low	Low	Low	Low
15.	Unawareness of HR Policies & Procedures - Lack of knowledge in HR Policies and procedures, User Level authorisation for time and attendance system	Disciplinary issues	› Conduction of programmes to educate employees about their duties & responsibilities › Member of The Employers' Federation of Ceylon › HR Training programs	Low	Low	Low	Low
16.	Lack of succession planning framework	Going Concern Issues	› Have a proper succession plan in place › Career advancement opportunities	Low	Low	Low	Low
IT Risks							
17.	Data integrity and IT related risks - Data Access / Modification by unauthorized persons /loss of data/ data entry errors and sampling errors	Loss of reputation, Loss of sensitive data, Loss of clients, Compliance issues	› Robust data security and back-up systems in place › In order to ensure high level of competence in a dynamic environment has outsourced key IT functions to specialists › Introduction of multiple platforms for delivering of data to clients › The company conducts periodic Information system audits by engaging professionals in the industry › Departmental cross checking › Upgrade ERPs to current versions › The e platform for the auction has enabled data to be mirrored and stored in a different location	Low	Low	Low	Low

Enterprise Risk Management

S/N	Type of Risk and Impact	Implications	Risk Mitigation	Net Risk Assessment			
				2021/22	2020/21	2019/20	2018/19
18.	Computer Hardware / Software / Communication / Connectivity failures	Loss of reputation, Loss of client's trust, compliance Issues, timely reporting issues	› Data Recovery plan in place › Keeping up to date with modern technology › Investments in ICT Hardware and Software to facilitate work from home to ensure an uninterrupted auction process › Constant bug fixes	Low	Moderate	Moderate	Moderate
Health & Safety Risk							
19.	Global Pandemic – Risk of new variants Infection within the Company and Industry will slow down the trade.	Protection of Employees and the business continuity. Pressure on the business, which will erode margins and profits.	› Weekly e-auctions and Digital Communication › Follow guidelines issued by the Health Ministry, Health Authorities & Infections Control Unit on the pandemic to safeguard staff › Business Continuity Plan › Introduction of work from home reducing public transport	Low	Moderate	Moderate	-
Other Risks							
20.	Risks of Climate Change Low fertilizer use and non-availability of agro chemicals have resulted in tea and rubber plants being more vulnerable to climate related challenges Rising temperatures, erratic weather patterns and soil degradation have also effected the productivity of land.	Impact on profitability	› Diversification of Business Portfolio (Other Commodities & 3PL Warehousing) › Advisory services provided to RPCs and smallholders on sustainable agricultural practices › Maintaining a clientele representing all three elevations to reduce the risk of low production › Contribute to Industry Policy Institutions › Represented in diversified economic regions	High	Moderate	Moderate	Moderate

S/N	Type of Risk and Impact	Implications	Risk Mitigation	Net Risk Assessment			
				2021/22	2020/21	2019/20	2018/19
21.	Natural and man-made disasters Disasters due to human error / negligence and natural disasters like floods, landslides etc. affecting both the Company and Clients.	Impact on profitability, Loss of Goods	› Business Continuity Plan › Training and regulations › Comprehensive insurance cover extending to weekly evaluation of tea stock › Action plans and instructions in place for potential environmental changes › Security systems, Fire Drills, Fire detectors to avoid man-made disasters › HACCP › CCTV surveillance	Moderate	Moderate	Moderate	Moderate
22.	Miscommunication of buyer /seller orders	Loss of Reputation, Loss of Clients, Impact on Profitability	› Use of new technology for Auction › Introduction of digital platforms for processing › Having proper checking mechanism in departments. › Crosschecking with catalogues of marketing officers › Continual improvement of systems	Low	Low	Low	Low
23.	Loss of viable opportunity	Loss of potential profit	› Constant lookout for new opportunities › Track trades. › Membership in Ceylon Chamber of Commerce › Attending of International Events › Canvassing for referrals.	Low	Moderate	Moderate	Moderate
24.	Business in Single Geographical Location	Adverse economic effects on the operating geographical location	› Constant lookout for foreign opportunities › Company representation in off shore events › Head office and Warehouse in two geographical locations › Explore offshore activities › Diversified Client distribution	Moderate	Moderate	Moderate	Moderate

Annual Report of the Board of Directors on the Affairs of the Company

The Directors of Asia Siyaka Commodities PLC have pleasure in presenting their Annual Report together with the Audited Financial Statements of the Company and the Consolidated Financial Statements of the Company and its subsidiaries for the year ended 31st March 2022.

General

Asia Siyaka Commodities PLC is a public limited liability company which was incorporated under the Companies Act No. 17 of 1982 as a private limited company on 16th February 1998. The Company was re-registered under the Companies Act. No. 07 of 2007 on 30th April 2008 and was subsequently converted to a public limited liability company on 28th March 2012 and listed on the Colombo Stock Exchange on 12th September 2012. The registration number of the Company is PV3562PB/PQ.

Principal activities of the Company and review of performance during the year

The principal activities of the Company are carrying on the business of Tea Brokers, Produce Brokers, Auctioneers, Appraisers, Valuers, Commission Agents and General Agents.

The business of the subsidiary company, Asia Siyaka Warehousing (Private) Limited is providing warehousing facilities for clients of the parent and other selected third parties. Siyaka Produce Brokers (Private) Limited a fully owned subsidiary of the Company did not engage in any business activities during the year.

A review of the business of the Company and its subsidiaries performance during the year with comments on financial results, future strategies and prospects are contained in the Managing Director's Report on pages 12 and 13 which form an integral part of this Report.

This Report together with the Financial Statements, reflect the state of affairs of the Company and its subsidiary Companies.

Financial Statements

The complete Financial Statements of the Company and the Consolidated Financial Statements of the Company and its subsidiaries, duly signed by two Directors on behalf of the Board are given on pages 72 to 117.

Auditors' Report

The Report of the Independent Auditors on the Financial Statements of the Company and its subsidiaries is given on page 68.

Accounting Policies

The Financial Statements of the Company and the Consolidated Financial Statements have been prepared in accordance with the Sri Lanka Financial Reporting Standards (SLFRS / LKAS) and the policies adopted thereof are given on pages 78 to 88 Figures pertaining to the previous periods have been re-stated where necessary to conform to the current year's presentation.

Directors

The names of the Directors who held office as at the end of the accounting period are given below and their brief profiles appear on pages 14 to 16.

Name of Director	
Executive Directors	
Mr. A R Cooke	Managing Director
Mr. D J Wedande	Director
Mr. S G Amarasuriya	Director
Mr. Y Kuruneru	Director/Chief Executive Officer
Mr. R C Dissanayake	Director
Mr. S S Samaranayake	Director
Non-Executive Directors	
Mr. T Someswaran*	Chairman
Mr. S T Gunatilleke	Director
Mr. H R V Caldera	Director
Mr. J N Dambawinne	Director
Mr. A Vaithylingam*	Director
Mr. M R Morris*	Director

* Independent Non-Executive Directors as per the Listing Rules of the Colombo Stock Exchange.

Mr. J N Dambawinne retires by rotation at the conclusion of the Annual General Meeting in terms of Article 87(i) of the Articles of Association and being eligible is recommended by the Directors for re-election.

The Directors have recommended the re-appointment of Mr. H R V Caldera who is 77 years of age and Mr. T Someswaran who is 79 years of age as Directors of the Company; and accordingly a resolution will be placed before the shareholders in terms of Section 211 of the Companies Act in regard to the said re- appointments.

Directors of subsidiary Companies

Asia Siyaka Warehousing (Private) Limited
Mr. A R Cooke
Mr. D J Wedande
Mr. S G Amarasuriya (resigned w.e.f 01.06.2022)
Mr. Y Kuruneru
Mr. A Vaithylingam
Mr. R C Dissanayake
Mr. M R Morris (appointed w.e.f 20.06.2022)

Siyaka Produce Brokers (Private) Limited
Mr. D J Wedande
Mr. A R Cooke
Mr. S G Amarasuriya
Mr. V L T Perera

Composition of the Board

The Board of Asia Siyaka Commodities PLC comprises twelve members of whom six are Non -Executive Directors. Six members of the Board serve as Executive Directors.

Interest Register

The Company maintains an interests register in terms of the Companies Act, No. 7 of 2007, which is deemed to form part and parcel of this annual report and available for inspection upon request.

The relevant interests of Directors in the shares of the Company as at 31st March 2022 as recorded in the interests register are given in this report under Directors' shareholding.

Related Parties' Transactions with the Company

All related party transactions which encompasses the transactions of Directors who were directly or indirectly interested in a contract or a related party transaction with the Company during the accounting period are recorded in the interests register in due compliance with the applicable rules and regulations of the relevant regulatory authorities.

Transactions of related parties (as defined in LKAS 24 - Related Parties Disclosure) with the Company are set out in Note 31 to the financial statements.

The Directors declare that the Company is in compliance with Rule 9 of the Listing Rules of the Colombo Stock Exchange pertaining to Related Party Transactions during the year ended 31st March 2022.

Directors' Remuneration

The Directors' remuneration is disclosed under key management personnel compensation in Note 31 to the Financial Statements on page 113.

Directors' responsibility for Financial Reporting

The Directors are responsible for the preparation of Financial Statements of the Company and the Group to reflect a true and fair view of the state of its affairs. A further statement in this regard is included on page 62.

Auditors

Messrs Ernst & Young, Chartered Accountants served as the Auditors during the year under review and also provided non audit/ consultancy services. They do not have any interest in the Company other than that of Auditor and provider of tax related services.

A total amount of Rs. 923,702 is payable by the Company to the Auditors for the year under review comprising Rs. 646,234 as audit fees and Rs. 277,352 for non-audit services.

The Auditors have expressed their willingness to continue in office. The Audit Committee at a meeting held on 1st August 2022 recommended that they be re-appointed as Auditors. A resolution to re-appoint the Auditors and to authorise the Directors to determine their remuneration will be proposed at the Annual General Meeting.

Details of payments to Auditors of Subsidiary companies on account of audit fees and for permitted non-audit services are set out in Note 22 to the Financial Statements on page 106.

Stated Capital

The Stated Capital of the Company as at 31st March 2022 was Rs.100,000,000/- represented by 260,000,000 ordinary shares. There were no changes in the Stated Capital of the Company during the year.

Annual Report of the Board of Directors on the Affairs of the Company

Directors' Shareholding

The relevant interests of Directors in the shares of the Company as at 31st March 2022 and 31st March 2021 are as follows.

	Shareholding as at 31-03-22	Shareholding as at 31-03-21
Mr. T Someswaran	-	-
Mr. A R Cooke	9,747,143	9,747,143
Mr. D J Wedande	8,353,067	8,353,067
Mr. S G Amarasuriya**	-	-
Mr. Y Kuruneru	2,499,063	2,499,063
Mr. S T Gunatilleke*	130,000	-
Mr. H R V Caldera	-	-
Mr. J N Dambawinne**	-	-
Mr. R C Dissanayake	1,279,808	1,279,808
Mr. S S Samaranayake	265,734	265,734
Mr. A Vaithylingam	-	-
Mr. M R Morris**	-	-

*Mr. S T Gunatilleke is the Chairman of Lanka Commodity Brokers Limited, which holds 132,678,464 shares constituting 51.03% of the issued shares of the Company.

**Messrs. J N Dambawinne, S G Amarasuriya and M R Morris serve as Directors of Lanka Commodity Brokers Limited.

Shareholders

There were 1972 shareholders registered as at 31st March 2022. The details of distribution are given on page 119 of this Report.

Major Shareholders, Distribution Schedule and other information

Information on the distribution of shareholding, analysis of shareholders, market values per share, earnings, dividends, net assets per share, twenty largest shareholders of the Company, public holding as per the Listing Rules of the Colombo Stock Exchange are given on pages 118 and 119 under Share Information and the ten year summary of the Company.

Reserves

The reserves of the Company with the movements during the year are given in the Statement of Changes in Equity on page 75.

Land holdings

The Company does not own any freehold land or buildings.

The leasehold interest in the immovable property, held by Asia Siyaka Warehousing (Private) Limited, the subsidiary company was revalued as at 31 March 2020 by an Independent Valuer and it is recorded at market values as set out in Note 3.7 to the Financial Statements.

Property, Plant & Equipment

Details and movements of property, plant and equipment are given under Note 3 to the Financial Statements on page 89.

Investments

Details of the Company's quoted and unquoted investments as at 31st March 2022 are given in Note 5 to the Financial Statements on page 93.

Donations

The Company made donations amounting to Rs. 370,000 in total, during the year under review.

Dividends

The Company paid a First Interim dividend of Ten Cents (Cents 10) per share and a Second Interim dividend of Thirteen Cents (Cents 13) per share for the year ended 31st March 2022 on 20th December 2021 and 30th June 2022, respectively. An interim Dividend of Thirty Five Cents (Cents 35) per share for the year ending 31st March 2023 has been declared and will be paid on 22nd September 2022.

Risk Management

An ongoing process is in place to identify and manage the risks that are associated with the business and operations of the Company. The Directors review this process through the Audit Committee.

Specific steps taken by the Company in managing the risks are detailed in the section on Risk Management on pages 49 to 57.

There were no material issues pertaining to employees and industrial relations of the Company during the year.

Statutory Payments

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by the Company, all contributions, levies and taxes payable on behalf of, and in respect of employees of the Company and all other known statutory dues as were due and payable by the Company as at the Reporting date have been paid or, where relevant provided for, except for certain assessments where appeals have been lodged.

Contingent Liabilities

Except as disclosed in Note 28 to the Financial Statements on page 111 there were no material Contingent Liabilities as at the Reporting date.

Events occurring after the Reporting date

Except for the matters disclosed in Note 30 to the Financial Statements on page 112 there are no material events as at the date of the Financial Statements which require adjustment to the Financial Statements.

Corporate Governance

The Board of Directors confirm that the Company is compliant with Section 7.10 of the Listing Rules of the CSE.

The corporate governance of the Company is reflected in its strong belief in protecting and enhancing stakeholder value in a sustainable manner, supported by a sound system of policies and practices. Prudent internal controls ensure professionalism, integrity and commitment of the Board of Directors, Management and employees.

The Corporate Governance Statement on pages 35 to 48 explains the measures adopted by the Company during the year.

An Audit Committee, Remuneration Committee, Nominations Committee and Related Party Transactions Review Committee function as Board sub committees, with Directors who possess the requisite qualifications and experience. The composition of the said committees is as follows.

Audit Committee

Mr. T Someswaran	Chairman
Mr. S T Gunatilleke	Member
Mr. A Vaithylingam	Member
Mr. M R Morris	Member

Remuneration Committee

Mr. T Someswaran	Chairman
Mr. S T Gunatilleke	Member
Mr. A Vaithylingam	Member
Mr. M R Morris	Member

Nominations Committee

Mr. T Someswaran	Chairman
Mr. S T Gunatilleke	Member
Mr. A Vaithylingam	Member
Mr. M R Morris	Member (appointed w.e.f 16th June 2022)

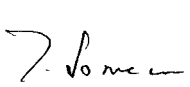
Related Party Transactions Review Committee

Mr. A Vaithylingam	Chairman
Mr. H R V Caldera	Member (ceased w.e.f 16th June 2022)
Mr. T Someswaran	Member
Mr. M R Morris	Member (appointed w.e.f 16th June 2022)

Annual General Meeting

The Notice of the Annual General Meeting appears on page 123.

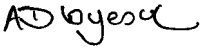
This Annual Report is signed for and on behalf of the Board of Directors by



T Someswaran
Chairman



A R Cooke
Managing Director



P W Corporate Secretarial (Pvt) Ltd
Secretaries

31 August 2022

Statement of Directors' Responsibilities

The Directors are responsible for preparing the Annual Report and the Consolidated Financial Statements in accordance with the Companies Act, No.7 of 2007 and Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995 and are required to prepare Financial Statements for each financial year, which give a true and fair view of the state of affairs of the Company and its subsidiaries as at the reporting date and the income and expenditure of the Company for the accounting year ending on that reporting date.

The Directors are also responsible in ensuring that the Financial Statements comply with any regulations made under the Companies Act, which specifies the form and content of Financial Statements and any other requirements which apply to the Company's Financial Statements under any other law.

The Directors have ensured that the Financial Statements presented in this Annual Report have been prepared using appropriate accounting policies, consistently applied and supported by reasonable and prudent judgments' and estimates and in compliance with the Sri Lanka Financial Reporting Standards, Companies Act, No.7 of 2007 and the Sri Lanka Accounting and Auditing Standards Act No.15 of 1995.

The Directors are responsible for keeping sufficient accounting records, which disclose with reasonable accuracy the financial position of the Company and its subsidiaries, which will enable them to have the Financial Statements prepared and presented as aforesaid.

They are also responsible for taking measures to safeguard the assets of the Company and its subsidiaries and in that context to have proper regard to the establishment of appropriate systems of internal control with a view to prevention and detection of fraud and other irregularities.

The Directors are also confident that the Company and the group have adequate resources to continue in operation and have applied the going concern basis in preparing the financial statements.

The Directors are of the view that they have discharged their responsibilities as set out in this statement.

By Order of the Board
ASIA SIYAKA COMMODITIES PLC

P W Corporate Secretarial (Pvt) Ltd
Secretaries

31 August 2022

Related Party Transactions Review Committee Report

The Related Party Transactions Review Committee (RPTRC) of the Company was established in November 2015 in accordance with Section 9 of the Listing Rules of the Colombo Stock Exchange to ensure compliance with the Rules in place for independent review, approval and oversight of Related Party Transactions of the Company and with particular emphasis relating to the interests of both major and minor stakeholders alike.

Composition of the Committee

RPTRC of ASC consists of three (03) Directors. The members of the Committee during the year were:

Mr. A Vaithylingam - Chairman
Mr. H R V Caldera - Member
Mr. T Someswaran - Member

On 16th June 2022 the Board resolved to appoint Mr. M R Morris as a Member of the Committee in place of Mr. H R V Caldera.

PW Corporate Secretarial (Pvt) Ltd, the Company Secretaries of the Company functions as the Secretary to the Committee.

The Managing Director and the Senior Vice President Finance attend meetings by invitation.

Meetings

The Committee met four times during the year under review and the attendance of the Directors at the said meetings is given below.

Name of Director	Total Meetings attended
Mr. A Vaithylingam	4/4
Mr. T Someswaran	2/4
Mr. H R V Caldera	2/4

CHARTER OF THE RELATED PARTY TRANSACTION REVIEW COMMITTEE

The Charter of the Related Party Transaction Review Committee clearly sets out the purpose, membership, authority and the duties and responsibilities of the Committee. In order to discharge the duties and responsibilities effectively and efficiently, the Committee has been authorised to:

a) Receive regular reports from the management, and be provided with any information it requests relating to its responsibilities
b) Establish policies and procedures that provide general pre-approvals to certain classes or types of related party transactions
c) Review and evaluate the terms, conditions, and the advisability of, any related party transaction
d) Determine whether the relevant related party transaction is fair, and in the best interest of the Company and its shareholders as a whole
e) Recommend to the Board what action, if any, should be taken by the Board with respect to any related party transaction
f) Obtain advice and assistance from legal, technical, financial and other advisors from within or outside the Company as deemed necessary by the Committee in order to carry out its duties

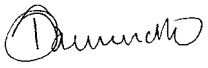
Review of Related Party Transactions

The Committee reviewed all related party transactions of the Company for the financial year 2021/22 and has communicated its comments and observations to the Board. It was observed that all related party transactions entered during the year were of a recurrent, trading nature and were necessary for the day-to-day operations of the Company.

In the opinion of the Committee, the terms of these transactions were not more favourable to the related parties than those generally available to the public. The details of related party transactions entered into during the year are given in Note No. 31 to the Financial Statements, on pages 112 and 113 of this Annual Report.

Declaration

A declaration by the Board of Directors on compliance with the rules pertaining to related party transactions appears on the report of the Board of Directors on pages 58 to 61 of this Annual Report.



A Vaithylingam
Chairman - Related Party Transactions Review Committee

31 August 2022

Report of the Audit Committee

Asia Siyaka Commodities PLC Management is responsible for it's internal control and financial reporting including the preparation of consolidated financial statements. Independent Accountants are responsible for auditing annual consolidated financial statements in accordance with generally accepted auditing standards and ensuring that the financial statements truly and fairly present the results of operations and the financial position of the company. The Independent Auditors are also responsible for issuing a report on those financial statements. The Audit Committee monitors and oversees these processes. The Audit Committee annually recommends to the Board, for its approval on, an independent accounting firm to be appointed as the Company's independent auditors.

To fulfill its obligations the Audit Committee carried out the following activities.

- Reviewed and discussed with the Company's Management and the Independent Auditors, the consolidated financial statements for the accounting year ended 31st March 2022. Reviewed the Management's representations to ensure that the consolidated financial statements are prepared in accordance with generally accepted accounting principles and truly and fairly present the results of operations and financial position of the Company.
- Recommended that the Board select ERNST & YOUNG , Chartered Accountants as Independent Auditors to audit and report on the annual consolidated financial statements of the Company and to forward copies of the Annual Report to the Colombo Stock Exchange prior to the Annual General Meeting.
- Reviewed the procedures for identifying business risk and the management of its impact on the Group. Reviewed the policies, procedures and internal controls for detecting and preventing fraud.
- Reviewed the operational effectiveness and internal controls of the policies, systems and procedures.
- Reviewed and discussed with the Management, the annual and the quarterly financial statements prior to their release, including the extent of compliance with the Sri Lanka Accounting Standards and the Companies Act, No.7 of 2007.
- Reviewed the procedures established by Management for compliance with the requirements of regulatory bodies.

Based on the declaration provided by Messrs. Ernst & Young, Chartered Accountants and to the extent that the Directors are aware, the Auditors do not have any relationship with (other than that of the Auditors) or interest in, the Company, which in the opinion of the Board, may reasonably be considered to have a bearing on their independence within the meaning of the Code of Professional Conduct and Ethics issued by The Institute of Chartered Accountants of Sri Lanka as at the Reporting Date.

Meetings

The Committee met six times during the year under review and the attendance of the Directors at the said meetings is given below.

Name of Director	Total Meetings attended
Mr. T Someswaran	4/6
Mr. S T Gunatillke	6/6
Mr. A Vaithylingam	6/6
Mr. M R Morris	5/6

Conclusion

The Committee is of the view that adequate controls and procedures are in place to provide reasonable assurance that the Company's assets are safeguarded and the financial position of the company is well monitored. The Audit Committee concurs that the adoption of the going concern premise in the preparation of the Financial Statement is appropriate. The Audit Committee recommends to the Board of Directors that the financial statements as submitted be approved.

Audit Committee wishes to express its appreciation of the services rendered by Group Auditors, Messrs. ERNST & YOUNG, Chartered Accountants who have assisted the Audit Committee in discharging its duties and responsibilities.

On behalf of the Audit Committee;

T Someswaran
Chairman - Audit Committee

31 August 2022

Report of the Remuneration Committee

The Remuneration Committee is responsible to the Board for recommending remuneration of the Executive Directors including the Managing Director and Chief Executive Officer, and setting the broad parameters of remuneration for Senior Management across the Group.

Composition

The Committee consists of four Non-Executive Directors namely

Mr. T Someswaran - Chairman
Mr. S. T. Gunatilleke - Member
Mr. A Vaithylingam - Member
Mr. M R Morris - Member

P W Corporate Secretarial (Pvt) Ltd acts as the Secretaries to the Remuneration Committee.

Remuneration Policy

The remuneration policy aims to attract and retain management with the appropriate professional, managerial and operational expertise necessary to achieve the Group's objectives and create value for our shareholders. A significant portion of executives' total potential remuneration is performance related in order to drive the right behavior to optimize Group performance. The remuneration packages which are linked to individual performances are aligned with the Group's short-term and long-term strategy. Remuneration levels are reviewed annually by the Remuneration Committee through a process that considers individual, business unit and overall performance of the Group and market practices. The Committee continues to provide analysis and advice to ensure key management personnel remuneration is competitive in the market place. The Committee has the authority to seek external independent professional advice on matters within its purview.

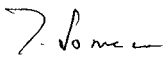
Meetings

The Committee met twice during the year under review and the attendance of the Directors at the said meetings is given below.

Name of Director	Total Meetings attended
Mr. T Someswaran	2/2
Mr. S T Gunatilleke	2/2
Mr. A Vaithylingam	2/2
Mr. M R Morris	2/2

The Directors emoluments are disclosed on Note 31 to the financial statements.

On behalf of the Remuneration Committee;



T Someswaran
Chairman – Remuneration Committee

31 August 2022



Shaping our workforce

Financial Information

Financial Calendar / 67
Independent Auditors' Report / 68
Statement of Financial Position / 72
Statement of Profit or Loss and Other Comprehensive Income / 74
Statement of Changes in Equity / 75
Statement of Cash Flows / 76
Notes to the Financial Statements / 78

Financial Calendar

Financial Calendar	2021/22	2020/21
1st Quarter	11th August 2021	13th August 2020
2nd Quarter	12th November 2021	13th November 2020
3rd Quarter	07th February 2022	09th February 2021
4th Quarter	31st May 2022	28th May 2021

ANNUAL GENERAL MEETINGS

2012 / 13 – Annual Report Published on 30th August 2013 and 01st Annual General Meeting held on 23rd September 2013
2013 / 14 – Annual Report Published on 22nd August 2014 and 02nd Annual General Meeting held on 15th September 2014
2014 / 15 – Annual Report Published on 28th July 2015 and 03rd Annual General Meeting held on 24th August 2015
2015 / 16 – Annual Report Published on 04th July 2016 and 04th Annual General Meeting held on 28th July 2016
2016 / 17 – Annual Report Published on 21st July 2017 and 05th Annual General Meeting held on 14th August 2017
2017 / 18 – Annual Report Published on 31st August 2018 and 06th Annual General Meeting held on 28th September 2018
2018 / 19 – Annual Report Published on 29th August 2019 and 07th Annual General Meeting held on 23rd September 2019
2019 / 20 – Annual Report Published on 06th Oct 2020 and 08th Annual General Meeting held on 28th October 2020
2020 / 21 – Annual Report Published on 07th Sept 2021 and 09th Annual General Meeting held on 30th September 2021

Independent Auditors' Report

Building a better working world

Ernst & Young
Chartered Accountants
201, De Saram Place
P.O. Box 101
Colombo 10, Sri Lanka

Tel: +94 11 246 3500
Fax (Gen): +94 11 269 7369
Fax (Tax): +94 11 557 8180
Email: eysl@lk.ey.com
ey.com

INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF ASIA SIYAKA COMMODITIES PLC

Report on the audit of the Financial Statements

Opinion

We have audited the financial statements of Asia Siyaka Commodities PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at 31 March 2022, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at 31 March 2022, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the *Auditor's responsibilities for the audit of the financial statements* section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Partners: H M A Jayesinghe FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, W R H De Silva FCA ACMA, Ms. Y A De Silva FCA, Ms. K R M Fernando FCA ACMA, N Y R L Fernando ACA, W K B S P Fernando FCA FCMA, Ms. L K H L Fonseka FCA, D N Gamage ACA ACMA, A P A Gunasekera FCA FCMA, A Herath FCA, D K Hulangamuwa FCA FCMA LLB (London), Ms. G G S Manatunga FCA, A A J R Perera ACA ACMA, Ms. P V K N Sajeewani FCA, N M Sulaiman ACA ACMA, B E Wijesuriya FCA FCMA, C A Yalagala ACA ACMA

Principals: W S J De Silva BSc (Hons)-MIS MSc-IT, G B Goudian ACMA, D L B Karunathilaka ACMA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), T P M Ruberu FCMA FCCA

A member firm of Ernst & Young Global Limited

Building a better working world

Key Audit Matter	How our audit addressed the key audit matter
Provision for impairment of loans & advances given to tea clients As at 31 March 2022, the Group loans and advances given to Tea clients, as detailed in note 10 amounted to LKR 950 Mn net of an impairment provision of LKR 115 Mn and represent 29% of total assets of the Group. Provision for impairment of loans & advances given to tea clients was a key audit matter due to: ⊙ Materiality of the loans and advances balance ⊙ The degree of assumptions and judgements associated with evaluating the probability of recoverability including the impact of current economic conditions	Our audit procedures included the following: ⊙ Understood the Group's process of assessing impairment of loans & advances given to tea clients. ⊙ Checked whether the credit limit assessment has been performed in accordance with the Group's operating procedure for granting credit to tea clients. ⊙ Assessed the reasonableness of assumptions and judgements associated with evaluating the probability of recoverability by comparing forecast amounts with actual recoveries . Our testing included assessing the availability of collateral. ⊙ We checked the completeness and accuracy of the relevant key data to underlying accounting records and checked relevant calculations. ⊙ We also assessed the adequacy of disclosures in Notes 2.3.11 (e), 10.1 and 10.2 in the financial statements

Other information included in the Group's 2022 Annual Report

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Independent Auditors' Report

Building a better working world

Responsibilities of management and those charged with governance

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of the Company and the Group.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial

Building a better working world

statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

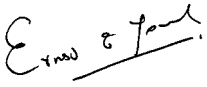
We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 1864.



31 August 2022
Colombo

Statement of Financial Position

As at 31 March	Note	Group 2022 Rs.	Group 2021 Rs.	Company 2022 Rs.	Company 2021 Rs.
ASSETS					
Non-Current Assets					
Property, Plant and Equipment	3	989,907,798	1,015,880,370	3,293,556	3,619,043
Rights of Use Asset	6	35,906,282	45,767,598	11,609,090	23,166,023
Intangible Assets	4	90,700	151,726	90,700	151,726
Investments	5	-	-	190,250,000	190,306,046
Investment Property	7	755,727	755,727	755,727	755,727
Deferred Tax Asset	24	26,092,076	39,464,733	24,155,088	37,094,110
		1,052,752,583	1,102,020,154	230,154,161	255,092,675
Current Assets					
Inventory	8	4,533,024	4,487,328	4,439,513	4,405,017
Trade Receivables	9	758,353,030	556,887,225	718,524,176	534,380,600
Loans and Advances	10	862,293,083	581,224,807	862,293,083	581,224,807
Other Receivables, Prepayments and Advances	11	24,289,925	26,799,937	13,232,594	15,510,057
Income Tax Receivable		6,573,995	36,198,907	6,573,995	29,593,063
Short Term Investments		33,009,245	31,437,377	33,009,245	31,437,377
Cash and Cash Equivalents	12	105,591,799	160,921,844	103,241,570	157,194,273
		1,794,644,101	1,397,957,425	1,741,314,176	1,353,745,194
Total Assets		2,847,396,684	2,499,977,579	1,971,468,337	1,608,837,869
EQUITY AND LIABILITIES					
Capital and Reserves					
Stated Capital	13	100,000,000	100,000,000	100,000,000	100,000,000
Revaluation Reserves		425,679,440	471,271,029	-	-
Revenue Reserves		414,843,317	307,164,394	238,459,775	146,568,743
Total Equity		940,522,757	878,435,423	338,459,775	246,568,743
Non Current Liabilities					
Retirement Benefit Obligation	14	61,911,306	75,289,764	54,494,939	66,139,681
Lease Liabilities	6	2,058,216	13,685,550	2,058,216	15,341,942
Deferred Tax Liability	24	170,228,258	122,398,326	314,227	439,332
Long Term Interest Bearing Borrowings	15	75,000,006	139,285,720	-	-
		309,197,786	350,659,359	56,867,382	81,920,955

As at 31 March	Note	Group 2022 Rs.	Group 2021 Rs.	Company 2022 Rs.	Company 2021 Rs.
Current Liabilities					
Interest Bearing Borrowings	15	64,285,710	64,285,710	-	-
Trade Payables	16	875,156,228	552,383,465	943,976,285	635,197,794
Income Tax Payable		1,395,719	-	-	-
Interest Bearing Borrowings on Client Financing	17	593,000,000	481,000,000	593,000,000	481,000,000
Sundry Creditors including Accrued Expenses		50,789,430	137,403,339	24,459,449	125,335,765
Lease Liabilities	6	10,717,967	9,187,037	12,374,358	12,191,366
Bank Overdrafts	12	2,331,088	26,623,246	2,331,088	26,623,246
		1,597,676,142	1,270,882,797	1,576,141,180	1,280,348,171
Total Liabilities		1,906,873,928	1,621,542,156	1,633,008,562	1,362,269,126
Total Equity and Liabilities		**2,847,396,684**	**2,499,977,579**	**1,971,468,337**	**1,608,837,869**

These financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.

Senior Vice President - Finance

The Board of Directors is responsible for these financial statements. Signed for and on behalf of the Board by;

Director *Director*

The accounting policies and notes on pages 78 through 117 form an integral part of these financial statements.

31 August 2022
Colombo

Statement of Profit or Loss and Other Comprehensive Income

		Group		Company	
Year ended 31 March	Note	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Revenue	18	711,612,834	647,159,920	434,537,911	421,584,659
Cost of Sales		(1,966,828)	(2,937,714)	(1,966,828)	(2,937,714)
Net Revenue		709,646,006	644,222,206	432,571,083	418,646,945
Other Income and Gains	19	31,105,564	4,143,782	54,446,592	33,817,348
Distribution Expenses		(47,539,124)	(188,434,443)	(35,067,819)	(177,809,428)
Administrative Expenses		(453,093,669)	(414,239,457)	(253,131,645)	(235,453,773)
Operating Profit		240,118,777	45,692,088	198,818,211	39,201,092
Finance Cost	20	(73,033,676)	(82,172,348)	(65,528,064)	(68,232,474)
Finance Income	21	3,677,427	6,606,122	3,668,121	6,594,461
Net Finance Cost		(69,356,249)	(75,566,226)	(61,859,943)	(61,638,013)
Profit / (Loss) Before Tax	22	170,762,528	(29,874,138)	136,958,268	(22,436,921)
Income Tax Expense	23	(51,592,988)	25,641,369	(31,809,205)	3,663,167
Profit / (Loss) for the year		119,169,540	(4,232,769)	105,149,063	(18,773,754)
Other Comprehensive Income for the year, net of tax					
Items that will not be Reclassified Subsequently to Statement of Profit or Loss					
Actuarial Gain / (Loss) for the year	14	19,091,293	17,737,353	16,765,749	17,628,400
Tax Effect on Actuarial Gain and Loss	24	(4,581,911)	(4,256,966)	(4,023,780)	(4,230,816)
		14,509,382	13,480,387	12,741,969	13,397,584
Revaluation Surplus	-	-	-	-	
Income Tax Effect	24	(45,591,589)	49,884,129	-	-
		(45,591,589)	49,884,129	-	-
Other Comprehensive Income /(Loss) for the year, net of tax		(31,082,207)	63,364,516	12,741,969	13,397,584
Total Comprehensive Income / (Loss) for the year, net of tax		88,087,333	59,131,747	117,891,032	(5,376,170)
Basic/Diluted Earnings/ (Loss) Per Share	25	0.46	(0.02)	0.40	(0.07)
Dividend Per Share	26	0.10	0.18	0.10	0.18

The accounting policies and notes on pages 78 through 117 form an integral part of these financial statements.

Statement of Changes in Equity

Year ended 31 March 2022

Group	Note	Stated Capital Rs.	Revaluation Reserve Rs.	Revenue Reserves Rs.	Total Rs.
Balance as at 1 April 2020		100,000,000	421,386,900	344,716,776	866,103,676
Net Loss for the Year		-	-	(4,232,769)	(4,232,769)
Other Comprehensive Income		-	49,884,129	13,480,387	63,364,516
Total Comprehensive Income		-	49,884,129	9,247,618	59,131,747
Dividend Paid		-	-	(46,800,000)	(46,800,000)
Balance as at 01 April 2021		100,000,000	471,271,029	307,164,394	878,435,423
Net Profit for the Year		-	-	119,169,540	119,169,540
Other Comprehensive Income		-	(45,591,589)	14,509,383	(31,082,206)
Total Comprehensive Income		-	(45,591,589)	133,678,923	88,087,334
Dividend Paid		-	-	(26,000,000)	(26,000,000)
As at 31 March 2022	13	100,000,000	425,679,440	414,843,317	940,522,757

Company	Stated Capital Rs.	Revenue Reserves Rs.	Total Rs.
Balance as at 1 April 2020	100,000,000	198,744,913	298,744,913
Net Loss for the Year	-	(18,773,754)	(18,773,754)
Other Comprehensive Income	-	13,397,584	13,397,584
Total Comprehensive Income	-	(5,376,170)	(5,376,170)
Dividend Paid	-	(46,800,000)	(46,800,000)
Balance as at 01 April 2021	100,000,000	146,568,743	246,568,743
Net Profit for the Year	-	105,149,063	105,149,063
Other Comprehensive Income	-	12,741,969	12,741,969
Total Comprehensive Income	-	117,891,032	117,891,032
Dividend Paid	-	(26,000,000)	(26,000,000)
As at 31 March 2022	13	100,000,000	238,459,775	338,459,775

The accounting policies and notes on pages 78 through 117 form an integral part of these financial statements.

Statement of Cash Flows

		Group		Company	
Year ended 31 March	Note	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Cash Flows From Operating Activities					
Profit/(Loss) before Income Tax Expense		170,762,528	(29,874,138)	136,958,268	(22,436,921)
Adjustment for					
Depreciation and Amortization	3.3, 3.11 & 4	76,273,234	73,491,958	1,679,505	2,171,974
Finance Cost	20	73,033,676	82,172,348	65,528,064	68,232,474
Finance Income	21	(3,677,427)	(6,606,122)	(3,668,121)	(6,594,461)
Gratuity Charge	14.1	10,080,134	12,953,545	8,657,252	11,249,889
(Gain) / Loss on sale of Property, Plant and Equipment	19	(536,550)	-	-	-
Provision for Impairment of Loans and Advances		17,503,739	(54,879,718)	17,503,739	(54,879,727)
Provision for Impairment of Trade Receivables		(1,062,882)	713,278	(989,786)	173,682
Bad Debts Written Off		479,914	215,792,677	385,808	215,412,778
Inventory Written Off		100,697	-	100,697	-
Impairment of Subsidiary Investment	5.2	-	-	56,046	-
Dividend Income Received	-	-	-	(30,478,997)	(31,529,997)
Amortization of Right of Use Assets	6	9,173,026	9,536,580	10,868,643	11,232,197
Operating Profit before Working Capital Changes		352,130,089	303,300,408	206,601,118	193,031,888
Increase in Inventories		(146,393)	(446,927)	(135,193)	(385,147)
Decrease / (Increase) in Trade and Other Receivables		(197,993,257)	(410,675,159)	(180,876,327)	(435,268,223)
(Increase) / Decrease in Loans and Advances		(299,051,929)	40,126,260	(298,957,823)	40,506,159
Increase / (Decrease) in Trade and Other Payables		236,158,852	610,052,111	207,902,175	572,519,360
Increase / (Decrease) in Interest Bearing Borrowings on Client Financing		112,000,000	(320,000,000)	112,000,000	(320,000,000)
		203,097,362	222,356,693	46,533,950	50,404,037
Income Tax Paid		(9,442,917)	(35,775,009)	-	(29,875,560)
Defined Benefit Plan Costs paid	14.1	(4,367,299)	(783,034)	(3,536,245)	(420,721)
Finance Cost Paid	20	(70,655,568)	(78,663,330)	(62,713,069)	(63,923,432)
Net cash Flows Generated from / (Used in) Operating Activities		118,631,578	107,135,320	(19,715,364)	(43,815,676)

Year ended 31 March	Note	Group 2022 Rs.	Group 2021 Rs.	Company 2022 Rs.	Company 2021 Rs.
Cash Flows From Investing Activities					
Acquisition of Property, Plant and Equipment and Intangible Assets	3.1, 3.11 & 4	(50,250,690)	(53,237,662)	(1,292,972)	(679,500)
Sales Proceeds from Fixed Asset Disposals		547,599	-	-	(91,665)
Investment in Short Term Investments		(1,571,868)	(2,535,815)	(1,571,868)	(2,535,815)
Dividend Income Received		-	-	30,478,997	31,529,997
Finance Income Received	21	3,677,427	6,606,122	3,668,121	6,594,461
Net Cash Flows (Used in) / Generated From Investing Activities		(47,597,532)	(49,167,355)	31,282,278	34,817,478
Cash Flows From Financing Activities					
Repayments under Lease Liabilities		(11,786,219)	(7,811,100)	(15,227,459)	(11,095,920)
Dividend Paid		(26,000,000)	(46,800,000)	(26,000,000)	(46,800,000)
Loans Repaid		(64,285,714)	(67,857,143)	-	-
Net Cash Flows Used in Financing Activities		(102,071,933)	(122,468,243)	(41,227,459)	(57,895,920)
Net Decrease in Cash and Cash Equivalents		(31,037,888)	(64,500,279)	(29,660,545)	(66,894,118)
Cash and Cash Equivalents at the Beginning of the Year	12	134,298,598	198,798,877	130,571,027	197,465,146
Cash and Cash Equivalents at the End of the Year	12	103,260,711	134,298,598	100,910,482	130,571,027

The accounting policies and notes on pages 78 through 117 form an integral part of these financial statements.

Notes to the Financial Statements

Year ended 31 March 2022

1. CORPORATE INFORMATION

1.1 REPORTING ENTITY

Asia Siyaka Commodities PLC is a public limited liability company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The registered office and the principal place of business is situated at 1st Floor, 'Deutsche House', No. 320, T. B. Jayah Mawatha, Colombo 10.

1.2 Consolidated Financial Statements

The financial statements for the year ended 31 March 2022, comprise "the Company" referring to Asia Siyaka Commodities PLC as the holding company and "the Group" referring to the companies whose accounts have been consolidated herein.

1.3 Principal Activities and Nature of Operations

Holding company

The principal activities and the nature of operations are to carry on business of Tea Brokers, Produce Brokers, Auctioneers, Appraisers, Valuers, Commission Agents and General Agents.

Subsidiaries

The companies within the Group and their business activities are disclosed in Note 2.1.4

1.4 Parent Entity and Ultimate Parent Entity

The Company's parent entity and the ultimate parent entity is Lanka Commodity Brokers Ltd, a company incorporated in Sri Lanka.

1.5 Date of Authorization for Issue

The financial statements of Asia Siyaka Commodities PLC for the year ended 31 March 2022 were authorized for issue in accordance with a resolution of the Board of Directors on 31 August 2022.

2. GENERAL ACCOUNTING POLICIES

2.1 Basis of Prepreration

The financial statements of the Company and the Group have been prepared on an accrual basis and under the historical cost convention, except for, buildings on leasehold lands and storage system that have been measured at fair value.

The financial statements are presented in Sri Lankan Rupees (Rs).

2.1.1 Statement of Compliance

The financial statements of the Company and the Group have been prepared in accordance with Sri Lanka Accounting Standards comprising SLFRS and LKAS (hereafter "SLFRS"), as issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and the requirements of the Companies Act No. 07 of 2007.

2.1.2 Going concern

The Board of Directors has made an assessment of the Company's ability to continue as a going concern in the foreseeable future and they do not intend either to liquidate or to cease trading.

2.1.3 Comparative Information

Presentation and classification of the financial statements of the previous year have been amended where relevant for better presentation and to be comparable with those of current year.

2.1.4 Basis of Consolidation

The consolidated financial statements comprise the financial statements of the Company and its subsidiaries as at 31 March 2022. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Specifically, the Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Profit or loss and each component of Other Comprehensive Income (OCI) are attributed to the equity holders of the parent of the Group and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance.

The financial statements of the subsidiaries are prepared for the same reporting year using uniform Accounting Policies for transactions, in similar circumstances and are applied consistently.

All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.

If the Group loses control over a subsidiary, it derecognises the related assets, liabilities, non-controlling interest and other components of equity while any resultant gain or loss is recognised in profit or loss. Any investment retained is recognised at fair value.

Subsidiaries

The details of Subsidiaries are as follows:

Company Name	Asia Siyaka Warehousing (Pvt) Ltd	Siyaka Produce Brokers (Pvt) Ltd
Nature of Operations	The principal activities and the nature of operations are to carry on business of providing warehousing facilities for clients of parent and other selected third parties.	The principal activities and the nature of operations are to carry on business of Rubber Brokers, Auctioneers, Appraisers, Valuers, Commission Agents and General Agents. On 18 April 2017, the Company transferred its Rubber Broking Licence to Asia Siyaka Commodities PLC its parent company and since then the Company has not carried out any business activity. The Company is in the process of closing down by way of striking off in the ensuing year. Under these circumstances, the Board of Directors intends to liquidate the Company within foreseeable future.
Year of Ownership/ Incorporation	18.01.1999	15.02.2008
Ownership Percentage	100%	100%

2.2 Significant Accounting Judgments, Estimates and Assumptions

The preparation of the financial statements of the Group require the management to make judgments, estimates and assumptions, which may affect the amounts of income, expenditure, assets, liabilities and the disclosure of contingent liabilities, at the end of the reporting period. In the process of applying the Group's accounting policies, the key assumptions made relating to the future and the sources of estimation at the reporting date together with the related judgments that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year have been discussed in the individual notes of the related financial statement line items.

The line items which have most significant effect on accounting judgements, estimate and assumptions are as follows;

a) Revaluation of property, plant and equipment

The Group measures buildings in leasehold lands and storage system at revalued amounts where changes in fair value being recognised in the statement of other comprehensive income. The Group engages independent, qualified valuation specialists to determine fair value. Such valuer uses assumptions and valuation techniques to determine the fair value. Please refer Note 3 for Revaluation of Property, Plant and Equipment.

b) Employee benefit liability

The employee benefit liability of the Group is based on the actuarial valuation carried out by independent actuarial specialist. The actuarial valuations involve making assumptions about discount rates, salary increment rate, staff turnover rate, mortality rate and retirement age. The complexity of the valuation, the underlying assumptions and its long-term nature, the retirement benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting

date. Details of the key assumptions used in the estimates are contained in Note 14.4.

c) Provision for expected credit losses of loans and advances

Details of the Group's policy relating to the Provision for expected credit losses of Loans and Advances are contained in Note 2.3.11 (e).

d) Income tax and Deferred tax rates

As per the Inland Revenue (Amendment) Act No 10 of 2021 the tax rate of the company has changed to 24%. Accordingly, the deferred tax and income tax have been recognized considering this amended rate.

2.3 Summary of Significant Accounting Policies

2.3.1 Foreign Currency Translation

The financial statements are presented in Sri Lankan Rupees, which is the Group's functional and presentation currency. Transactions in foreign currencies are initially recorded at the functional currency spot rates at the date the transaction first qualifies for recognition. Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency spot rate of exchange at the reporting date. All differences arising from settlement or translation of monetary items are taken to the statement of profit or loss and other comprehensive income. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions.

2.3.2 Taxation

(a) Income Tax

Current income tax assets and liabilities for the current period are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted, at the reporting date which is currently the Inland Revenue Act No. 24 of 2017 effective from 1st April 2018 and subsequent amendments thereon.

Current income tax relating to items recognized directly in equity is recognized under other comprehensive income and not in the statement of profit or loss. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

The provision for income tax is based on the elements of income and expenditure as reported in the financial statements and computed in accordance with the provisions of the Inland Revenue Act.

(b) Deferred Tax

Deferred income tax is provided using the liability method on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences except:

- Where the deferred income tax liability arises from initial recognition of goodwill or of an asset or liability in a transaction that is not a business combination and, at the time of transaction, affects neither the accounting profit nor taxable profit or loss; and
- In respect of taxable temporary differences associated with investments in subsidiaries, where the timing of reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax credits and unused tax losses can be utilised except:

- Where the deferred income tax asset relating to the deductible temporary difference arises from initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of transaction, affects neither the accounting profit nor taxable profit or loss; and
- In respect of deductible temporary differences associated with investments in subsidiaries, deferred income tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised. Unrecognised deferred income tax assets are reassessed at each reporting date and are recognised to the extent that it has become

probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on the tax rates and tax laws that have been enacted or subsequently enacted as at the reporting date.

Deferred income tax assets and deferred income tax liabilities are offset, if a legally enforceable right exists to set off current tax assets against current income tax liabilities and the deferred income taxes relates to the same taxable entity and the same taxation authority.

2.3.3 Inventories

Inventories are valued at lower of cost and net realizable value, after making due allowances for obsolete and slow moving items. Net realizable value is the price at which inventories can be sold in the ordinary course of business less the estimated cost of completion and the estimated cost necessary to make the sale. The cost incurred in bringing its inventories to present location and condition is accounted at purchase cost on weighted average basis.

2.3.4 Current versus Non-Current Classification

The Group presents assets and liabilities in statement of financial position based on current or non-current classification. An asset is current when it is:

- Expected to be realized or intended to be sold or consumed in normal operating cycle
- Held primarily for the purpose of trading
- Expected to be realised within twelve months after the reporting period

or

- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period

The Group classifies all other assets as non-current.

A liability is current when:

- It is expected to be settled in normal operating cycle
- It is held primarily for the purpose of trading
- It is due to be settled within twelve months after the reporting period

or

- It does not have a right at the reporting date to defer settlement of the liability for at least twelve months after the reporting period.

The Group classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

2.3.5 Non-financial assets

The carrying amounts of the Group's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated.

Impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs to sell and its Value In Use (VIU). The fair value less costs to sell calculation is based on available data from an active market, in an arm's length transaction, of similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a discounted cash flow model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the Group is not yet committed to or significant future investments that will enhance the asset's performance of the cash generating unit being tested. The recoverable amount is most sensitive to the discount rate used for the discounted cash flow model as well as the expected future cash inflows and the growth rate used for extrapolation purposes.

2.3.6 Property, Plant and Equipment

(a) Initial Recognition

All items of property, plant and equipment are initially recorded at cost.

The cost of property, plant and equipment is the cost of acquisition or construction together with any expenses incurred in bringing the asset to its working condition for its intended use and capitalised borrowing cost. Subsequent to the initial recognition as an asset at cost, revalued assets are carried at revalued amounts less any subsequent depreciation and impairment losses thereon. All other property, plant and equipment are stated at cost less accumulated depreciation and accumulated impairment losses, if any. Depreciation is provided for, on the bases specified in (c) below.

Notes to the Financial Statements

Where an item of property, plant and equipment comprises major components having different useful lives, they are accounted for as separate items of property, plant and equipment.

(b) Subsequent Expenditure

Expenditure incurred to replace a component of an item of property, plant and equipment that is accounted for separately, including major inspection and overhaul expenditure, is capitalized. Other subsequent expenditure is capitalized only when it increases the future economic benefits embodied in the item of property, plant and equipment. All other expenditure incurred on repairs or maintenance of property, plant and equipment in order to restore or maintain the future economic benefits expected from the originally assessed standard of performance, is recognised as an expense when incurred.

(c) Depreciation

Depreciation is calculated by using a straight-line basis on all property, plant and equipment over the estimated economic life of such assets.

The estimated useful life of assets is as follows:

Assets	Years
Buildings on Leasehold Land	Lower of 10-30 years or lease term
Land Development Cost	Over the lease term
Furniture and Fittings	6.67
Storage System	15
Solar Power System	10
Office Equipment	4 - 6.67
Computer Equipment	5
Motor Vehicle	4-5

The residual values, useful lives and depreciation method are reviewed at each reporting date and adjusted prospectively when appropriate.

(d) Revaluation

Buildings on leasehold land and storage systems are measured at fair value at the date of revaluation less accumulated depreciation and impairment losses recognised after the date of the revaluation. Valuations are performed with sufficient frequency to ensure that the fair value of a revalued asset does not differ materially from its carrying amount.

The Group engages independent, qualified valuation specialists to determine fair value. Such valuer uses assumptions and valuation techniques to determine the fair value. Please refer Note 3 for Revaluation of Property, Plant and Equipment.

Any revaluation surplus is recognised in other comprehensive income and accumulated in equity in the revaluation reserve, except to the extent that it reverses a revaluation decrease of the same asset previously recognised in the statement of profit or loss, in which case the increase is recognised in the statement of profit or loss. A revaluation deficit is recognised in the statement of profit or loss, except to the extent that it offsets an existing surplus on the same asset recognised in the revaluation reserve.

Cost of repairs and maintenance are charged to the statement of profit or loss and other comprehensive income during the period in which they are incurred.

(e) De-recognition

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the statement of profit or loss and other comprehensive income in the year the asset is derecognised.

2.3.7 Leases

Lease Rentals Paid in Advance

Asia Siyaka Warehousing (Pvt) Ltd has entered into a 50-year Lease Agreement commencing from 22 June 1999 with the Sri Lanka Land Reclamation and Development Corporation to lease a land in Muthurajawela for a total lease rent of Rs. 47,000, 000/-.

Lease rentals paid in advance to acquire 'land use rights' are amortized over the lease term in accordance with the pattern of benefits provided.

Policy applicable after 1st April 2019

The Entity assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

The Company / Group as a lessee

The Entity applies a single recognition and measurement approach for all leases. The Entity recognizes lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

(a) Right-of-use assets

The Entity recognizes right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or before the commencement date (Lease Rentals Paid in Advance) less any lease incentives received.

Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets, as follows:

Head Office Premises	- 6 years
Sample Room	- 6 years
Motor Vehicle	- 5 years
Lease Rentals Paid in Advance to acquire Lease Hold Land Rights	- 30 Years

If ownership of the leased asset transfers to the Group at the end of the lease term or the cost reflects the exercise of a purchase option, depreciation is calculated using the estimated useful life of the asset. The right-of-use assets are also subject to impairment. Refer to the accounting policies in section 2.3.5- Impairment of non-financial assets.

(b) Lease liabilities

At the commencement date of the lease, the Group recognizes lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and payments of penalties for terminating the lease, if the lease term reflects the Group exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognized as expenses (unless they are incurred to produce inventories) in the period in which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Group uses its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments (e.g., changes to future payments resulting from a change in an index or rate used to determine such lease payments) or a change in the assessment of an option to purchase the underlying asset. **(refer Note 06)**.

2.3.8 Investment Properties

Investment properties are measured initially at cost, including transaction costs. Subsequent to the initial recognition investment properties are stated at cost less accumulated impairment losses, if any.

2.3.9 Intangible Assets

Basis of Recognition

An intangible asset is recognised if it is probable that the future economic benefits associated with the asset will flow to the Group and the cost of the asset can be reliably measured.

Basis of Measurement

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses. Internally generated intangible assets, excluding capitalised development costs, are not capitalised, and expenditure is charged against statement of profit or loss and other comprehensive income in the year in which the expenditure is incurred.

Useful Economic Lives, Amortization and Impairment

The useful lives of intangible assets are assessed as either finite or indefinite lives. Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life is reviewed at least at each financial year end and such changes are treated as accounting estimate changes. The amortisation expense on intangible assets with finite lives is recognised in the statement of profit or loss and other comprehensive income. Intangible assets with indefinite useful lives are not amortized but tested for impairment annually, or more frequently when an indication of impairment exists either individually or at the cash generating unit level. The useful life of an intangible asset

with an indefinite life is reviewed annually to determine whether indefinite life assessment continues to be supportable. If not, the change in the useful life assessment from indefinite to finite is made on a prospective basis.

The estimated useful life of asset is as follows:

Asset	Years
Software	2

Disposal Gains and Losses
Gains or losses arising from de-recognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the statement of profit or loss and other comprehensive income when the asset is derecognised.

2.3.10 Investment in Subsidiaries
Investment in Subsidiaries are initially recognised at cost in the Financial Statements of the Company. Following initial recognition, investment in subsidiaries are carried at cost less any accumulated impairment losses.

2.3.11 Financial Instruments – Initial Recognition and Subsequent Measurement

Financial Assets

a) Initial recognition and measurement
Financial assets are classified, at initial recognition, as subsequently measured at amortised cost, fair value through other comprehensive income (OCI), and fair value through profit or loss.

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Group's business model for managing them. With the exception of trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient, the Group initially measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs. Trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient are measured at the transaction price determined under SLFRS 15.

In order for a financial asset to be classified and measured at amortised cost or fair value through OCI, it needs to give rise to cash flows that are 'solely payments of principal and interest (SPPI)' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level.

The Group's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both.

Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognised on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

b) Subsequent measurement
For purposes of subsequent measurement, financial assets are classified in four categories;

- Financial assets at amortised cost (debt instruments)
- Financial assets at fair value through OCI with recycling of cumulative gains and losses (debt instruments)
- Financial assets designated at fair value through OCI with no recycling of cumulative gains and losses upon derecognition (equity instruments)
- Financial assets at fair value through profit or loss

c) Financial assets at amortised cost (debt instruments)
This category is the most relevant to the Group. The Group measures financial assets at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows, and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding

Financial assets at amortised cost are subsequently measured using the effective interest (EIR) method and are subject to impairment. Gains and losses are recognised in profit or loss when the asset is derecognised, modified or impaired.

The Group's financial assets at amortised cost includes trade receivables, loans and advances, short term investments and cash and cash equivalents included under other financial assets.

d) Derecognition

Financial asset is derecognised when:

- The rights to receive cash flows from the asset have expired.
- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either

(a) the Group has transferred substantially all the risks and rewards of the asset, or
(b) the Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all of the risks and rewards of the asset nor transferred control of it, the asset is recognised to the extent of the Group's continuing involvement in it.

e) Impairment of Financial Assets

The Group recognises an allowance for Expected Credit Losses (ECLs) for all debt instruments not held at fair value through profit or loss. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Group expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12 months (a 12 month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

For Loans and advances collectively assessed for impairment, the Group applies a simplified approach in calculating ECLs. Therefore, the Group do not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Group has established a matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

The matrix is initially based on the Group's historical observed default rates. The Group will calibrate the matrix to adjust the historical credit loss experience with forward-looking information. For instance, if forecast economic conditions are expected to deteriorate over the next year which can lead to an increased number of defaults, the historical default rates are adjusted. At every reporting date, the historical observed default rates are updated and changes in the forward-looking estimates are analysed.

The assessment of the correlation between historical observed default rates, forecast economic conditions and ECLs is a significant estimate. The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Group's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future. The information about the ECLs on the Group's loans and advances is disclosed in Note 10.

Financial Liabilities

a) Initial recognition and measurement

Financial liabilities are classified, at initial recognition, as financial liabilities at fair value through profit or loss, loans and borrowings, payables, or as derivatives designated as hedging instruments in an effective hedge as appropriate.

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings, carried at amortised cost. This includes directly attributable transaction costs.

The Group's financial liabilities include trade and other payables, loans and borrowings including bank overdrafts.

b) Subsequent measurement

The measurement of financial liabilities depends on their classification as follows:

Loans and borrowings

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the Statement of Profit or Loss. This category generally applies to interest bearing loans and borrowings.

Notes to the Financial Statements

c) Derecognition
A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expired.

d) Offsetting of financial instruments
Financial assets and financial liabilities are offset and the net amount is reported in the Consolidated Statement of Financial Position if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

Fair value of financial instruments
Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either in the principal market for the asset or liability or in the absence of a principal market, in the most advantageous market for the asset or liability. The principal or the most advantageous market must be accessible by the company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use. The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs. All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

Level 1	Quoted (un-adjusted) market prices in active markets for identical assets or liabilities
Level 2	Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
Level 3	Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognised in the financial statements on a recurring basis, the company determines whether transfers have occurred between levels in the hierarchy by reassessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period. The company determines the policies and procedures for both recurring fair value measurement, such as buildings on lease hold lands and storage systems and for non-recurring measurement. External valuers are involved for valuation of significant assets, such as buildings on leasehold lands and storage systems. Selection criteria for external valuers include market knowledge, reputation, independence and whether professional standards are maintained.

2.3.12 Trade and Other Receivables
Trade debtors, including amounts owing by subsidiaries, deposits and other debtors (excluding non-financial assets classified under deposits and other receivables which are measured at cost) classified and accounted for as loans and receivables.

2.3.13 Cash and Cash Equivalents
Cash and cash equivalents are cash at bank and in hand, demand deposits and short term highly liquid investments readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

For the purpose of statement of cash flows, cash and cash equivalents consist of cash in hand, cash at bank, deposits in banks net of outstanding bank overdrafts. Investments with short maturities (i.e. three months or less from date of acquisition) are also treated as cash equivalents.

2.3.14 Provisions
Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. When the Group expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate asset but only when the reimbursement is virtually certain. The expense relating to any provision is

presented in the statement of profit or loss and other comprehensive income net of any reimbursement.

If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognized as an interest expense.

2.3.15 Retirement Benefit Obligations

(a) Defined Benefit Plan – Gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The defined benefit is calculated by independent actuaries using Projected Unit Credit (PUC) method as recommended by LKAS 19 – "Employee benefits". The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related liability. However, under the Payment of Gratuity Act No.12 of 1983, the liability to an employee arises only on completion of 5 years of continued service.

The present value of the defined benefit obligations depends on a number of factors that are determined on an actuarial basis using a number of assumptions about discount rate, staff turnover rate, future salary increment rate and mortality rates. Due to the long-term nature of these plans, such estimates are subject to significant uncertainty. All assumptions are reviewed at each reporting date. Details of the key assumptions used in the estimates are contained in Note 14.4.

Accordingly, the employee benefit liability is based on the actuarial valuation as of 31 March 2022, carried out by Messrs. Actuarial and Management Consultants (Private) Limited, actuaries.

Funding Arrangements

The Gratuity liability is not externally funded.

(b) Defined Contribution Plans-

Employees are eligible for Provident Fund Contributions and Trust Fund Contributions in line with respective statutes and regulations. These are recognized as an expense in the statement of profit or loss and other comprehensive income as incurred.

The Group contributes 12% of gross emoluments of the employees to Employees' Provident Fund, Estate Supplier's Provident Society, Ceylon Planters' Provident Society and 3% of gross emoluments of the employees to Employees' Trust Fund.

2.3.16 Revenue Recognition

Revenue from contracts with customers is recognised when control of the goods or services are transferred to the customer at an amount that reflects the consideration to which the Group expects to be entitled in exchange for those goods or services.

In determining the transaction price for the revenue contracts, the Group considers the effects of variable consideration, the existence of significant financing components, non-cash consideration, and consideration to the customer (if any).

2.3.16.1 Principal versus agent considerations

In determining whether the Group is the principal or the agent pertaining to certain revenue contracts the Group has evaluated who has control over the goods before transferring it to the customer;

The following factors were also considered;

- The primary responsibility for fulfilling the promise to provide the specified goods or the service.
- Inventory risk before or after the specified goods has been transferred to the customer
- The discretion in establishing the price for the specified good or service

Based on the above factors the Group concluded that it does not have the control over the goods or services on broking before transferring it to the customer, it will recognise revenue on the contract on net basis.

a) Brokerage Income

Brokerage income is recognised on net basis on the date of the auction (after placing hammer). The settlement terms are generally within 7 days.

b) Warehousing Income

Warehousing handling income is recognised on net basis as an agent on the date of the auction and the handling income from third parties is recognised on net basis. Settlement terms are generally within 7 - 60 days .

c) Interest Income

For all financial instruments measured at amortised cost and interest bearing financial assets classified as available for sale, interest

income or expense is recorded using the Effective Interest Rate (EIR), which is the rate that exactly discounts the estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset.

Interest income is included in revenue and finance income in the statement of profit or loss and other comprehensive income. Advance settlement terms are generally within 4 weeks.

d) Rent Income

Rent income is recognised on accrual basis.

e) Others

Other income is recognised on accrual basis.

Net gains and losses of a revenue nature resulting from the disposal of property, plant & equipment have been accounted for in the statement of profit or loss.

Gains and losses arising from incidental activities to main revenue generating activities and those arising from a group of similar transactions are not material, are aggregated, reported and presented on net basis.

f) Dividend Income

Dividend income is recognised when the Group's right to receive the payment is established.

g) Solar Power Income

2.3.17 Segment Information

2.3.17.1 Reporting segments

The group's internal organisation and management is structured based on individual products and services which are similar in nature and process and where the risk and return are similar. The primary segments represent this business structure. Since the individual segments are located close to each other and operate in the same industry environment, catering to clientele from the same geographical location, the need for geographical segmentation does not arise.

2.3.17.2 Segment information

Segment information has been prepared in conformity with the accounting policies adopted for preparing and presenting the consolidated financial statements of the group. An individual segment manger is determined for each operating segment and the results are regularly reviewed by the Board of Directors. The Board of Directors monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profit or loss which in certain respects, as explained in the operating segments information, is measured differently from operating profit or loss in the consolidated financial statements.

2.4 Standards Issued but Not Yet Effective

The following Sri Lanka Accounting Standards and interpretations have been issued by the Institute of Chartered Accountants of Sri Lanka which are not yet effective as at 31st March 2022.

- SLFRS 17 Insurance Contracts
- Amendment to SLFRS 16 Leases : Covid – 19 related rent concessions.
- Amendments to SLFRS 9, LKAS 39, SLFRS 4, SLFRS 7 & SLFRS 16 [Interest Rate Benchmark Reform – phase 1 and 2]
- Amendment to SLFRS 3: Reference to the Conceptual Framework.
- Amendment to LKAS 16 : Property, Plant & Equipment – Proceeds before intended Use.
- Amendment to LKAS 37 : Onerous Contracts – Cost of Fulfilling a Contract.
- Amendment to LKAS 1 : Classification of liabilities as Current or Non-current.

The Group will not be significantly affected by these amendments as at the reporting date. Further, the amended standards and interpretations are not expected to have a significant impact on Group's Financial Statements.

3. PROPERTY, PLANT AND EQUIPMENT

Group	Balance As at 01.04.2021 Rs.	Additions Rs.	Disposals/ Transfers Rs.	Balance As at 31.03.2022 Rs.
3.1 Gross Carrying Amounts				
At Cost /Valuation				
Buildings	784,600,666	9,904,341	-	794,505,007
Furniture and Fittings	47,257,261	1,717,682	-	48,974,943
Office Equipment	182,294,567	3,873,617	(3,561,600)	182,606,584
Storage System	121,700,000	17,182,420	-	138,882,420
Solar Power System	34,055,629	-	-	34,055,629
Computer and Accessories	16,327,939	1,281,200	-	17,609,139
Motor Vehicle	38,502,995	-	-	38,502,995
	1,224,739,057	33,959,260	(3,561,600)	1,255,136,717
Assets on Lease Hold Land				
Land Development Cost	45,707,489	817,800	-	46,525,289
	45,707,489	817,800	-	46,525,289
Total Value of Depreciable Assets	1,270,446,546	34,777,060	(3,561,600)	1,301,662,006
3.2 In the Course of Construction				
Capital Work In Progress	-	39,029,962	(23,579,175)	15,450,787
	-	39,029,962	(23,579,175)	15,450,787

3.3 Depreciation

	Balance As at 01.04.2021 Rs.	Charge for the year Rs.	Disposals/ Transfers Rs.	Balance As at 31.03.2022 Rs.
At Cost /Valuation				
Buildings	28,833,645	29,129,481	-	57,963,126
Furniture and Fittings	33,750,343	4,998,225	-	38,748,568
Office Equipment	134,946,492	18,958,526	(3,550,550)	150,354,468
Storage System	8,113,333	8,495,165	-	16,608,498
Solar Power System	1,702,781	3,405,563	-	5,108,344
Computer and Accessories	14,069,193	1,241,704	-	15,310,897
Motor Vehicle	22,811,486	8,643,385	-	31,454,871
	244,227,273	74,872,049	(3,550,550)	315,548,772
Assets on Lease Hold Land				
Land Development Cost	10,338,902	1,317,321	-	11,656,223
	10,338,902	1,317,321	-	11,656,223
	254,566,175	76,189,370	(3,550,550)	327,204,995

Notes to the Financial Statements

3. PROPERTY, PLANT AND EQUIPMENT (CONTD.)

3.4 Net Book Values

Year ended 31 March 2022	2022 Rs.	2021 Rs.
At Cost /Valuation		
Buildings	736,541,881	755,767,021
Furniture and Fittings	10,226,375	13,506,918
Office Equipment	32,252,116	47,348,075
Storage System	122,273,922	113,586,667
Solar Power System	28,947,285	32,352,848
Computer and Accessories	2,298,242	2,258,746
Motor Vehicle	7,048,124	15,691,509
	939,587,945	980,511,784
Assets on Lease Hold Land		
Land Development Cost	34,869,066	35,368,587
	34,869,066	35,368,587
In the Course of Construction		
Capital Work In Progress	15,450,787	-
	15,450,787	-
Total Carrying Amount of Property, Plant and Equipment	989,907,798	1,015,880,370

3.5 During the financial period, the Group acquired Property, Plant and Equipment to the aggregate value of Rs.50,227,847/- (2021 - Rs. 53,145,997/) cash payment amounting to Rs.50,227,847/- (2021 - Rs. 53,145,997/-).

3.6 Property, Plant and Equipment includes fully depreciated assets still in use having a gross carrying amount of Rs.117,063,237 /- (2021 - Rs. 95,133,604 /-).

3.7 Non-Financial Assets Fair Value Hierarchy

As at 31 March		Fair value measurement using		
Assets Measured at Fair Value	Valuation Date	Quoted Prices in active market (level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)
Buildings on Leasehold Land	31-03-20	-	-	780,900,000
Storage System	31-03-20	-	-	121,700,000

3.8 In determining the fair value, highest and best use of the property has been considered including the current condition of the properties, future usability and associated redevelopment requirements have been considered. Also the valuers have made reference to market evidence of the transaction prices for similar properties, with appropriate adjustments for the size and location.

The fair value of the Group's Buildings on Leasehold Land and Storage System were determined by means of a revaluation during the financial year 2019/2020 by Mr. A.R. Ajith Fernando, an independent valuer based on depreciated replacement cost. The results of such revaluation were incorperated in these Financial Statements from its effective date which is 31 March 2020. The surplus arising from the revaluation was transferred to a revaluation reserve.

Mr. A.R. Ajith Fernando inspected the above assets on 01 April 2022 and confirmed that the fair value of these assets are not materially different to market value reported on 31 March 2020.

There have been no transfers between Level 1 and Level 2 during the year.

3.9 Details of Group's Building on Leasehold Lands and Storage System stated at Valuation are indicated below;

Non Financial Assets	Valuation Technique	Property Valuer	Significant Unobservable Inputs	Estimates for Unobservable Inputs	Level of Fair Value Hierarchy	Sensitivity of Fair Value to Unobservable Inputs
Buildings on Leasehold Land	Depreciated Replacement Cost	A.R. Ajith Fernando MRICS Chartered Valuation Surveyor	Price per Sq.ft	Rs. 2,750/- to Rs. 9,500/- per Sq.ft @ Dep. Rate of 3.33%	Level - 03	Positively Correlated Sensitivity
Storage System	Depreciated Replacement Cost	A.R. Ajith Fernando MRICS Chartered Valuation Surveyor	Pallet Location	Rs. 2,750/- to Rs. 5,250/- per Pallet Locations @ Dep. Rate of 6.67%	Level - 03	Positively Correlated Sensitivity

3.10 The carrying amount of revalued assets that would have been included in the Financial Statements had the assets been carried at cost less depreciation is as follows:

Class of Asset	Cost	Cumulative Depreciation if Assets were carried at cost	Net Carrying Amount 2022	Net Carrying Amount 2021
Buildings on Leasehold Land	497,108,209	127,826,726	369,281,483	373,161,887
Storage System	121,413,014	54,327,633	67,085,381	55,857,177
	618,521,223	182,154,358	436,366,865	429,019,064

3.11 Gross Carrying Amounts

Company

	Balance As at 01.04.2021 Rs.	Additions Rs.	Disposals Rs.	Balance As at 31.03.2022 Rs.
At Cost				
Furniture and Fittings	16,031,116	-	-	16,031,116
Office Equipment	10,853,850	158,454	-	11,012,304
Computer and Accessories	11,741,497	1,111,700	-	12,853,197
Motor Vehicle	2,219,138	-	-	2,219,138
Total Value of Depreciable Assets	40,845,601	1,270,154	-	42,115,755

Notes to the Financial Statements

3. PROPERTY, PLANT AND EQUIPMENT (CONTD.)

3.12 Depreciation

Year ended 31 March 2022	Balance As at 01.04.2021 Rs.	Charge for the year Rs.	Disposals	Balance As at 31.03.2022 Rs.
At Cost				
Furniture and Fittings	15,107,333	383,597	-	15,490,930
Office Equipment	9,950,330	265,944	-	10,216,274
Computer and Accessories	10,374,600	702,715	-	11,077,315
Motor Vehicle	1,794,295	243,385	-	2,037,680
Total Depreciation	37,226,558	1,595,641	-	38,822,199

3.13 Net Book Values

	2022 Rs.	2021 Rs.
At Cost		
Furniture and Fittings	540,186	923,783
Office Equipment	796,030	903,520
Computer and Accessories	1,775,882	1,366,897
Motor Vehicle	181,458	424,843
Total Carrying Amount of Property, Plant and Equipment	3,293,556	3,619,043

3.14 During the financial year, the Company acquired Property, Plant and Equipment to the aggregate value of Rs. 1,270,154/- (2021 - Rs.679,500/-) cash payment amounting to Rs. 1,270,154/- (2021 - Rs. 679,500/-) were made during the period for purchase of Property, Plant and Equipment.

3.15 Property, Plant and Equipment include fully depreciated assets having a gross carrying amount of Rs.33,032,184/- (2021 - Rs. 31,323,314/-)

4. INTANGIBLE ASSETS

	Group/ Company Computer Software	
	2022 Rs.	2021 Rs.
Cost		
Balance as at the Beginning of the year	12,901,167	12,809,502
Additions/Transfer	22,838	91,665
Balance as at the End of the year	12,924,005	12,901,167
Amortization		
Balance as at the Beginning of the year	12,749,441	12,369,134
Charge for the year	83,864	380,307
Balance as at the End of the year	12,833,305	12,749,441
Carrying Value	90,700	151,726

4.1 During the financial year, the Company / Group acquired intangible assets to the aggregate value of Rs.22,838/- (2021 - Rs.91,665/-).

5. INVESTMENTS

	Company	
	2022 Rs.	2021 Rs.
Investment in Subsidiaries (5.1)	190,250,000	190,306,046
	190,250,000	190,306,046

5.1 Non-Current Investments

Investment in Subsidiaries		
Asia Siyaka Warehousing (Pvt) Ltd	190,250,000	190,250,000
Siyaka Produce Brokers (Pvt) Ltd	-	56,046
	190,250,000	190,306,046

	Holding %	
	2022	2021
Asia Siyaka Warehousing (Pvt) Ltd	100%	100%
Siyaka Produce Brokers (Pvt) Ltd	100%	100%

5. INVESTMENTS (CONTD.)

5.2 The Company currently holds 100% ownership of Siyaka Produce Brokers (Pvt) Ltd (the Subsidiary), which transferred its Rubber Broking License to Asia Siyaka Commodities PLC on 18 April 2017. Due to such transfer the Subsidiary lost its revenue generation from rubber brokering which was the main revenue source. Further a provision for impairment of Rs. 56,046 (2021 - Rs.Nil) is made due to the drop in net assets as at the reporting date. The Board of Directors intends to close down the Subsidiary in the impending future.

6. APPLICATION OF SLFRS 16 – LEASES

At inception of a contract, the Entity assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Entity assesses whether:

- the contract involves the use of an identified asset
- the Entity has the right to obtain substantially all of the economic benefits from use of the asset throughout the period of use; and
- the Entity has the right to direct the use of the asset

The Entity recognises a right-of-use asset and a lease liability at the lease commencement date. The right of use assets of the Group consist of Buildings, Motor Vehicles and Lease Hold Land taken on rent.

6.1 Rights of Use Asset

The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability (present value of future lease payments discounted using the Group's incremental borrowing rate) adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred. The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term. The movement of Right of Use Lease assets of the Company is as follows;

6.1.1 Amounts recognised in the statement of financial position and income statement

	Group			
Right of Use Assets	Lease Hold Land Rs.	Buildings Rs.	Motor Vehicles Rs.	Total Rs.
Right of Use Assets - Lease hold properties				
Cost				
Recognized as at 1/4/2021	28,435,000	32,678,582	3,900,119	65,013,701
Reassessment	-	(688,290)	-	(688,290)
Balance as at 31/3/2022	28,435,000	31,990,292	3,900,119	64,325,411
Accumulated amortisation and impairment				
Balance as at 1/4/2021	(1,880,000)	(15,530,753)	(1,835,350)	(19,246,103)
Amortisation	(940,000)	(7,315,351)	(917,675)	(9,173,026)
Balance as at 31/3/2022	(2,820,000)	(22,846,104)	(2,753,025)	(28,419,129)
Net carrying amounts				
Balance as at 31 March 2021	26,555,000	17,147,829	2,064,769	45,767,598
Balance as at 31 March 2022	25,615,000	9,144,188	1,147,094	35,906,282

6.1.2 Asia Siyaka Warehousing (Pvt) Ltd has entered into a 50 year Lease Agreement commencing from 22 June 1999 with the Sri Lanka Land Reclamation and Development Corporation to lease a land in Muthurajawela for a total lease rent of Rs. 47,000,000/-.

	Company		
Right of Use Assets	Buildings Rs.	Motor Vehicles Rs.	Total Rs.
Right of Use Assets - Lease hold properties			
Cost			
Recognized as at 1/4/2021	41,903,241	3,900,119	45,803,360
Reassessment	(688,290)	-	(688,290)
Balance as at 31/3/2022	41,214,951	3,900,119	45,115,070
Accumulated amortisation and impairment			
Balance as at 1/4/2021	(20,801,987)	(1,835,350)	(22,637,337)
Amortisation	(9,950,968)	(917,675)	(10,868,643)
Balance as at 31/3/2022	(30,752,955)	(2,753,025)	(33,505,980)
Net carrying amounts			
Balance as at 31 March 2021	21,101,254	2,064,769	23,166,023
Balance as at 31 March 2022	10,461,996	1,147,094	11,609,090

6.2 Lease Liability

The lease liability is initially measured at the present value of the lease payments, discounted using the interest rate implicit in the lease or, if that rate can not be readily determined, the Group's incremental borrowing rate. The movement of Lease creditor for the period is as follows;

6.2.1 Amounts recognised in the statement of financial position and income statement

Lease Liability	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Balance as at 1 April 2021	22,872,586	27,866,501	27,533,308	35,012,018
Reassessment	(688,270)	(691,832)	(688,270)	(691,832)
Interest Expense Recognised in Profit or Loss	2,378,086	3,509,018	2,814,995	4,309,042
Realization of Liability	(11,786,219)	(7,811,100)	(15,227,459)	(11,095,920)
Balance as at 31 March 2022	12,776,183	22,872,586	14,432,574	27,533,308
Lease Liability/Lease Creditor				
Amount repayable within 1 year	10,717,967	9,187,037	12,374,358	12,191,366
Amount repayable after 1 year	2,058,216	13,685,550	2,058,216	15,341,942

6. APPLICATION OF SLFRS 16 - LEASES (CONTD.)

6.2.1.1 The maturity analysis of Lease Liabilities are disclosed in Note 33.

6.2.1.2 The Group and the Company had total cash outflows for leases of Rs. 11,786,219/- and Rs. 15,227,459/- respectively in 2021/22. Weighted Average Incremental Borrowing rate used in determining the Right of Use Assets as at 1/4/2019 is 14%.

6.3 The amounts recognized in Profit or Loss

	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Amortization Expense of Right of Use Assets	9,173,026	9,536,580	10,868,643	11,232,197
Interest Expense Recognised in Profit or Loss	2,378,086	3,509,018	2,814,995	4,309,042

7. INVESTMENT PROPERTY

	Acre. of Land		Group / Company	
	2022 Acre.	2021 Acre.	2022 Rs.	2021 Rs.
Deniyaya Land	5.542	5.542	755,727	755,727

7.1 In 2018, the Kolonna Divisional Secretariat acquired a land extent of 38.458 acres for a consideration of Rs. 17,649,975/-. The portion of land which remained with the Company of 5.542 acres is reflected at the proportionate cost as Investment Property.

7.2 The fair value of Investment Property is deemed to be Rs. 2,543,458/-, which is based on the price determined by Kolonna Divisional Secretariat and Valuation Department for acquisition of the adjoining property.

8. INVENTORY

	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Packing Material	1,764,036	2,133,798	1,764,036	2,133,798
Stationery	353,495	153,287	353,495	153,287
Other Consumables	2,415,493	2,200,243	2,321,982	2,117,932
	4,533,024	4,487,328	4,439,513	4,405,017

9. TRADE RECEIVABLES

	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Trade Receivables - Others	769,165,376	568,112,988	729,517,389	546,404,909
Less: Provision for Impairment of Trade Receivables - Others (9.2)	(11,718,638)	(12,781,520)	(11,064,223)	(12,054,009)
	757,446,738	555,331,468	718,453,166	534,350,900
Trade Receivables - Related Parties (9.1)	906,292	1,555,758	71,010	29,700
	758,353,030	556,887,225	718,524,176	534,380,600

9.1 Trade Receivables - Related Parties

		Group		Company	
	Relationship	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Lanka Commodity Brokers Ltd	Ultimate Parent	906,292	1,555,758	-	-
Siyaka Produce Brokers (Pvt) Ltd	Subsidiary	-	-	71,010	29,700
		906,292	1,555,758	71,010	29,700

9.2 Provision for Impairment of Trade Receivables

As at 31 March 2022, Trade Receivables of an initial value of Rs. 11,064,223/- (2021 - Rs. 12,054,009/-) were impaired in the Company and Rs. 11,718,638/- (2021 - Rs. 12,781,520/-) were impaired in the Group.

	Group	Company
	2022 Rs.	2022 Rs.
Balance at the Beginning of the year	(12,781,520)	(12,054,009)
Amount (Charged)/Reversal During the year	1,062,882	989,786
Balance at the End of the year	(11,718,638)	(11,064,223)

9.3 Trade Receivables are Non-Interest bearing and on 7 days credit terms. As at 31 March, the Ageing analysis of Trade Receivables is as follows:

	2022			2021		
Group	Total Rs.	Neither past due nor Impaired Rs.	Past due 8-120 days Rs.	Total Rs.	Neither past due nor Impaired Rs.	Past due 8-120 days Rs.
Trade Receivables - Others	757,446,738	691,267,543	66,179,195	555,331,468	517,143,546	38,187,922
Trade Receivables - Related Parties	906,292	906,292	-	1,555,758	646,926	908,832
	758,353,030	692,173,835	66,179,195	556,887,225	517,790,472	39,096,753

Notes to the Financial Statements

9. TRADE RECEIVABLES (Contd...)

Year ended 31 March 2022	2022			2021		
Company	Total Rs.	Neither past due nor Impaired Rs.	Past due 8-120 days Rs.	Total Rs.	Neither past due nor Impaired Rs.	Past due 8-120 days Rs.
Trade Receivables - Others	718,453,166	678,636,214	39,816,952	534,350,900	510,913,115	23,437,785
Trade Receivables - Related Parties (9.1)	71,010	71,010	-	29,700	29,700	-
	718,524,176	678,707,224	39,816,952	534,380,600	510,942,815	23,437,785

10. LOANS AND ADVANCES

	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Short Term Loans to Clients	144,709,275	151,722,386	144,709,275	151,722,386
Advances to Tea Clients	805,551,309	514,772,989	805,551,309	514,772,989
Less : Provision for Impairment of Loans and Advances (10.1)	(115,170,480)	(97,666,741)	(115,170,480)	(97,666,741)
Loans and Advances to Rubber and Spices Clients	27,202,979	12,396,173	27,202,979	12,396,173
	862,293,083	581,224,807	862,293,083	581,224,807

10.1 Provision for Impairment of Loans and Advances

As at 31 March 2022, Loans and Advances of an initial value of Rs. 115,170,480/- (2021 - Rs. 97,666,741/-) were impaired in the Company and Rs. 115,170,480/- (2021 - Rs. 97,666,741/-) were impaired in the Group. The movement of the provision for expected credit losses on Loans and Advances are given below.

	Group/Company	
	2022 Rs.	2021 Rs.
Balance at the Beginning of the year	(97,666,741)	(152,546,459)
Impairment Provision of the year	(17,503,739)	(27,570,495)
Provision Revearsals - Related to Written Off	-	82,450,213
Balance at the End of the year	(115,170,480)	(97,666,741)

10.2 As at 31 March, the Aging analysis of Loans and Advances is as follows:

	2022			2021		
	Total Rs.	Neither past due nor Impaired Rs.	Past due 28 to 90 days Rs.	Total Rs.	Neither past due nor Impaired Rs.	Past due 28 to 90 days Rs.
Group						
Loans and Advances	977,463,563	612,070,021	365,393,541	581,224,807	336,027,579	245,199,228
	977,463,563	612,070,021	365,393,541	581,224,807	336,027,579	245,199,228
Company						
Loans and Advances	977,463,563	612,070,021	365,393,541	581,224,807	336,027,579	245,199,228
	977,463,563	612,070,021	365,393,541	581,224,807	336,027,579	245,199,228

11. OTHER RECEIVABLES, PREPAYMENTS AND ADVANCES

	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Refundable Deposits	1,343,891	1,435,891	1,343,891	1,243,891
Prepayments	4,484,255	6,054,231	1,902,303	2,159,921
Medical Recoverable	67,006	162,409	67,006	162,409
Capital Advances	6,487,513	4,656,187	1,902,524	-
Other Receivable	11,907,260	14,491,219	8,016,870	11,943,836
	24,289,925	26,799,937	13,232,594	15,510,057

Notes to the Financial Statements

12. CASH AND CASH EQUIVALENTS

Year ended 31 March 2022	Group		Company	
Components of Cash and Cash Equivalents	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Favorable Cash and Cash Equivalent balance				
Cash and Bank balances	105,591,799	53,721,844	103,241,570	49,994,273
Short Term Deposits*	-	107,200,000	-	107,200,000
	105,591,799	160,921,844	103,241,570	157,194,273
Unfavorable Cash and Cash Equivalent balance	(2,331,088)	(26,623,246)	(2,331,088)	(26,623,246)
Total Cash and Cash Equivalent balance for the purpose of Statement of Cash Flows	103,260,711	134,298,598	100,910,482	130,571,027

*Investments matured within three months or less, are considered as cash and cash equivalents.

13. STATED CAPITAL

	2022		2021	
	Number	Rs.	Number	Rs.
Fully Paid Ordinary Shares	260,000,000	100,000,000	260,000,000	100,000,000

14. RETIREMENT BENEFIT OBLIGATION

	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
14.1 Retirement Benefits Obligation-Gratuity				
At the Beginning of the Year	75,289,764	80,856,606	66,139,681	72,938,913
Charge for the Year	10,080,134	12,953,545	8,657,252	11,249,889
Actuarial Loss for the year	(19,091,293)	(17,737,353)	(16,765,749)	(17,628,400)
Benefits Paid	(4,367,299)	(783,034)	(3,536,245)	(420,721)
At the End of the Year	61,911,306	75,289,764	54,494,939	66,139,681

14.2 Retirement Benefit Obligation costs recognized under Administrative Expenses in the Statement of Profit or Loss

	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Current Service Cost	3,755,794	4,867,885	3,101,519	3,955,998
Interest Cost	6,324,340	8,085,660	5,555,733	7,293,891
	10,080,134	12,953,545	8,657,252	11,249,889

14.3 Messrs. Actuarial & Management Consultants (Private) Limited Actuaries, carried out an actuarial valuation of the defined benefit plan gratuity using the Projected Unit Credit (PUC) method as at 31 March 2022 and 31 March 2021. Appropriate and compatible assumptions were used in determining the cost of Retirement Benefits Obligation.

14.4 The Principal Assumptions used are as follows:

	Group		Company	
	2022	2021	2022	2021
Discount Rate per annum	15.7%	8.4%	15.7%	8.4%
Salary Increment Rate per annum	5% - 6%	5% - 6%	5% - 6%	5% - 6%
Staff Turnover Rate per annum	6% - 15%	10% - 14%	6%	14%
Expected Remaining Service Life years	5.11-9.21	5.19-5.79	9.21	5.19
Retirement Age years	55-60	55-60	55-60	55-60

14. RETIREMENT BENEFIT OBLIGATION (CONTD.)

14.5 Sensitivity of Assumptions employed in Actuarial Valuation

The following table demonstrate the sensitivity to a reasonably possible change in the key assumptions employed with all other variables held constant in the Retirement Benefit Obligation measurement.

The effect of per unit changes in Discount Rate, Salary Increment Rate and Staff Turnover Rate on Statement of Other Comprehensive Income and Statement of Financial Position -Retirement Benefit Obligation is as follows.

			2022			
			Group		Company	
Increase/ (Decrease) in Discount Rate	Increase/ (Decrease) in Salary Increment Rate	Increase/ (Decrease) in Staff Turn Over Rate	Effect on Change to Statement of Other Comprehensive Income Rs.	Effect on Retirement Benefit Obligation Rs.	Effect on Change to Statement of Other Comprehensive Income Rs.	Effect on Retirement Benefit Obligation Rs.
1%	*	*	1,415,232	(1,415,232)	1,178,077	(1,178,077)
-1%	*	*	(8,934,206)	1,517,840	(1,263,273)	1,263,273
**	1%	*	(9,227,425)	1,811,059	(1,500,709)	1,500,709
**	-1%	*	(5,708,113)	(1,708,253)	1,415,910	(1,415,910)
**	*	1%	(8,168,956)	752,590	(623,523)	623,523
**	*	-1%	(6,612,593)	(803,773)	666,850	(666,850)

* Salary Increment Rate 5% - 6% for the Company and Group
** Discount Rate 15.7% for Company and Group
*** Staff Turnover Rate 6% for the Company and 6% - 15% for the Group

			2021			
			Group		Company	
Increase/ (Decrease) in Discount Rate	Increase/ (Decrease) in Salary Increment Rate	Increase/ (Decrease) in Staff Turnover Rate	Effect on Change to Statement of Other Comprehensive Income Rs.	Effect on Retirement Benefit Obligation Rs.	Effect on Change to Statement of Other Comprehensive Income Rs.	Effect on Retirement Benefit Obligation Rs.
1%	*	*	2,122,115	(2,122,115)	1,709,435	(1,709,435)
-1%	*	*	(2,290,718)	2,290,718	(1,839,796)	1,839,796
**	1%	*	(2,528,961)	2,528,961	(2,029,021)	2,029,021
**	-1%	*	2,379,726	(2,379,726)	1,915,742	(1,915,742)
**	*	1%	(188,352)	188,352	(141,239)	141,239
**	*	-1%	201,839	(201,839)	150,607	(150,607)

* Salary Increment Rate 5% - 6% for the Company and Group
** Discount Rate 8.4% for Company and Group
*** Staff Turnover Rate 14% for the Company and 10% - 14% for the Group

14.6 Distribution of Post Employment Benefit Obligation Over Future Lifetime

The following table demonstrates distribution of future working lifetime of the Post Employment Benefit Obligation (Undiscounted) as at the reporting date.

	Group		Company	
Future Working Life Time	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Within the next 12 months	34,416,274	38,408,515	32,811,808	36,697,626
Between 1-2 years	12,080,056	14,189,393	9,313,119	12,552,163
Between 2-5 years	8,306,528	7,885,185	6,915,540	5,406,441
Between 5-10 years	4,448,593	10,918,932	3,151,710	8,360,187
Beyond 10 years	2,659,857	3,887,737	2,302,760	3,123,263
Total	61,911,308	75,289,762	54,494,937	66,139,680

15. INTEREST BEARING BORROWINGS - Group

Bank	Amount	Interest Rate	Maturity	2022 Rs.	2021 Rs.
Commercial Bank	Rs. 450 Mn	AWPLR + 1.5% p.a	March 2024	139,285,716	203,571,430
				139,285,716	203,571,430

	Amount repayable within 1 year Rs.	Amount repayable after 1 year Rs.	Total Rs.
As at 31 March 2022			
Bank Loans- Commercial Bank	64,285,710	75,000,006	139,285,716
	64,285,710	75,000,006	139,285,716
As at 31 March 2021			
Bank Loans- Commercial Bank	64,285,710	139,285,720	203,571,430
	64,285,710	139,285,720	203,571,430

Bank Loans	As at 01.04.2021 Rs.	Loans Obtained Rs.	Repayment Rs.	As at 31.03.2022 Rs.
Commercial Bank	203,571,429	-	(64,285,714)	139,285,715
	203,571,429	-	(64,285,714)	139,285,715

Notes to the Financial Statements

16. TRADE PAYABLES

	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Trade Payables - Others	875,156,228	552,383,465	875,156,228	552,383,478
Trade Payables - Related Parties (16.1)	-	-	68,820,057	82,814,316
	875,156,228	552,383,465	943,976,285	635,197,794

16.1 Amount payable to Related Parties

		Group		Company	
	Relationship	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Asia Siyaka Warehousing (Pvt) Ltd	Subsidiary	-	-	68,820,057	82,814,316
		-	-	68,820,057	82,814,316

The amount due to Asia Siyaka Warehousing (Pvt) Ltd is subject to an annual average interest rate of 7.45% (2021: 9.51%).

17. INTEREST BEARING BORROWINGS ON CLIENT FINANCING

	Group / Company	
	2022 Rs.	2021 Rs.
Short Term Loans	593,000,000	481,000,000
	593,000,000	481,000,000

The Group has pledged its assets as security for the Interest Bearing Loans and Borrowings obtained as stated in Note 29. Overdrafts obtained on client financing is considered as “Cash and Cash Equivalent” for the purpose of Statement of Cash Flows.

18. REVENUE FROM CONTRACTS WITH THE CUSTOMERS

	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Revenue from Contracts with Customers				
Brokerage Income	275,732,718	274,543,472	275,732,718	274,543,472
Packing Material Operations	2,398,882	3,477,973	2,398,882	3,477,973
Warehousing Income	266,293,664	211,874,064	2,780,445	2,829,779
Others	33,904,260	40,924,360	20,342,556	24,393,384
Total Revenue from Contracts with Customers	578,329,524	530,819,869	301,254,601	305,244,608
Interest on Loans and Client Advances	133,283,310	116,340,051	133,283,310	116,340,051
Total Revenue	711,612,834	647,159,920	434,537,911	421,584,659

19. OTHER INCOME AND GAINS

	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Dividend Income	-	-	30,478,997	31,529,997
Profit / (Loss) on Sale of Property Plant and Equipment	536,550	-	-	-
Security Insurance	1,721,360	1,665,054	1,721,360	1,665,054
Consultancy Income	2,908,813	-	2,908,813	-
Commission Income	-	-	668,041	606,065
Creditors Write Back	15,884,756	16,232	15,884,756	16,232
Solar Power Income	7,023,940	2,366,496	-	-
Exchange Gain/Loss	2,107,941	-	2,107,941	-
Others	922,204	96,000	676,684	-
	31,105,564	4,143,782	54,446,592	33,817,348

20. FINANCE COST

	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Bank Charges	1,173,688	1,970,771	1,147,038	1,923,840
Interest on Overdraft	70,137	1,223,812	69,637	1,213,489
Interest on Borrowings	69,411,766	75,468,747	54,806,384	52,447,593
Interest on Intercompany Advances	-	-	6,690,010	8,338,510
Interest Expense on Amortization of Lease Creditor	2,378,085	3,509,018	2,814,995	4,309,042
	73,033,676	82,172,348	65,528,064	68,232,474

Notes to the Financial Statements

21. FINANCE INCOME

	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs	2021 Rs.
Interest on Savings Accounts	2,197,916	3,081,428	2,197,916	3,081,428
Interest on REPO Investment	75,731	2,417,925	75,731	2,417,925
Interest Income on Penalties	1,384,927	1,085,801	1,384,927	1,085,801
Other Interest	18,853	20,968	9,547	9,307
	3,677,427	6,606,122	3,668,121	6,594,461

22. PROFIT BEFORE TAX

	Group		Company	
Stated after Charging	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Employee Benefits including the following	137,768,278	141,627,013	99,686,163	99,553,429
Defined Contribution Plan Costs	16,654,975	16,783,496	11,873,336	11,509,554
Retirement Benefit Obligation - Gratuity	10,080,134	12,953,545	8,657,252	11,249,889
Depreciation and Amortization	85,446,260	83,028,538	12,548,148	13,404,171
Provision for Impairment of Loans & Advances	17,129,658	(54,090,339)	17,129,658	(54,090,339)
Provision for Impairment of Trade Receivables	(594,696)	(615,706)	(615,706)	(615,706)
Bad Debt Written Off	385,808	215,792,677	385,808	215,412,778
External Audit Fees	916,485	816,389	646,234	530,513
Internal Audit Fees	648,000	437,471	648,000	287,471

23. INCOME TAX EXPENSE

	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Current Income Tax				
Current Income Tax Charge	40,463,552	3,987,606	23,019,068	-
Over/(Under) Provision of Tax Expense in respect of Prior years	100,346	309,391	-	690,810
	40,563,898	4,296,997	23,019,068	690,810
Deferred Income Tax				
(Reversal) / Charge of Deferred Tax in respect of Current Year	11,029,090	(7,295,729)	8,790,137	(9,572,779)
(Reversal) / Charge on the Effect of Changes in Tax Rate	-	(22,642,637)	-	5,218,802
Net Reversal of Deferred Tax (Note 24.1 and Note 24.2)	11,029,090	(29,938,366)	8,790,137	(4,353,977)
	51,592,988	(25,641,369)	31,809,205	(3,663,167)

	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
23.1 Reconciliation between Accounting Profit and Taxable Income				
Accounting Profit (Profit before Taxation)	170,762,528	(29,874,138)	136,958,268	(22,436,921)
Dividend Income from Group Companies	30,478,997	31,529,997	-	-
Other Consolidation Adjustments	30,791,665	56,961,103	-	-
Profit After Adjustments	232,033,190	58,616,962	136,958,268	(22,436,921)
Non-Deductible Items	134,619,058	178,163,472	56,347,793	102,805,517
Deductible Items	(173,954,657)	(266,638,878)	(62,497,204)	(175,520,118)
Statutory Income from Business	192,697,591	(29,858,444)	130,808,857	(95,151,522)
Investment Income	47,869,011	46,473,470	34,145,753	38,123,298
Tax Losses Utilized during the Year	(57,454,679)	-	(57,454,679)	-
Total Statutory Income	183,111,923	16,615,026	107,499,931	(57,028,224)
Total Taxable Income	183,111,923	16,615,026	107,499,931	(57,028,224)
Statutory Tax Rates				
-Income Tax on Profits (From 01/01/2020)	24%	24%	24%	24%
Income Tax on Profit at 14%	20,728,192	-	4,267,060	-
Income Tax on Profit at 24%	19,735,360	3,987,606	18,752,008	-
Current Income Tax Charge	40,463,552	3,987,606	23,019,068	-
23.2 Effective Tax Rate	24%	-13%	17%	0%

24. DEFERRED TAX

24.1 Deferred Tax - Group

	Statement of Financial Position		Profit or Loss		Other Comprehensive Income	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Deferred Tax Liability						
Accelerated depreciation for Tax Purposes	68,840,513	66,602,170	2,238,343	(25,550,197)	-	-
Revaluation of PPE	101,387,745	55,796,156	-	-	45,591,589	(49,884,129)
Unclaimed ROUA	-	-	-	(21,847)	-	-
	170,228,258	122,398,326	2,238,343	(25,572,044)	45,591,589	(49,884,129)
Deferred Tax Assets						
Defined Benefit Plans	(14,858,713)	(18,069,543)	(1,371,081)	313,341	4,581,911	4,256,966
Unused Tax Losses	-	(13,789,123)	13,789,123	(13,789,123)	-	-
Bad and Doubtful Debts	(10,555,726)	(6,557,918)	(3,997,808)	10,157,609	-	-
Unclaimed ROUA	(677,637)	(1,048,149)	370,512	(1,048,149)	-	-
	(26,092,076)	(39,464,733)	8,790,746	(4,366,322)	4,581,911	4,256,966
Deferred Income Tax Charge			11,029,090	(29,938,366)	50,173,500	(45,627,163)
Net Deferred Tax Liability	144,136,182	82,933,593				

24.2 Deferred Tax - Company

	Statement of Financial Position		Profit or Loss		Other Comprehensive Income	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Deferred Tax Liability						
Accelerated depreciation for Tax Purposes	314,227	439,332	(125,105)	(129,310)	-	-
Unclaimed ROUA	-	-	-	(21,847)	-	-
	314,227	439,332	(125,105)	(151,157)	-	-
Deferred Tax Assets						
Defined Benefit Plans	(13,078,785)	(15,873,523)	(1,229,042)	318,557	4,023,780	4,230,816
Provision for Bad and Doubtful Debts	(10,398,666)	(6,383,315)	(4,015,351)	10,315,895	-	-
Tax Loss	-	(13,789,123)	13,789,123	(13,789,123)	-	-
Unclaimed ROUA	(677,637)	(1,048,149)	370,512	(1,048,149)	-	-
	(24,155,088)	(37,094,110)	8,915,242	(4,202,820)	4,023,780	4,230,816
Deferred Income Tax Charge			8,790,137	(4,353,977)	4,023,780	4,230,816
Net Deferred Tax Liability	(23,840,861)	(36,654,778)				

25. EARNINGS PER SHARE

25.1 Basic Earnings Per Share is calculated by dividing the net profit for the year attributable to ordinary shareholders of the company, by the weighted average number of ordinary shares outstanding during the year.

25.2 The following reflects the income and share data used in the Basic Earnings Per Share computation.

	Group		Company	
Amount Used as the Numerator:	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Net Profit for the year	119,169,540	(4,232,769)	105,149,063	(18,773,754)
Number of Ordinary Shares Used as the Denominator:				
Weighted Average number of Ordinary Shares in issue applicable to Basic Earnings Per Share	260,000,000	260,000,000	260,000,000	260,000,000
Basic Earning Per Share	0.46	(0.02)	0.40	(0.07)

25.3 There were no potentially Dilutive Ordinary Shares outstanding at any time during the year.

26. DIVIDEND PER SHARE

	Group		Company	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Total Gross Dividends	26,000,000	46,800,000	26,000,000	46,800,000
Number of Shares	260,000,000	260,000,000	260,000,000	260,000,000
Dividend Per Share	0.10	0.18	0.10	0.18
26.1 Dividend Pay Out Ratio	22%	-1106%	25%	-249%

Notes to the Financial Statements

27. SEGMENTAL INFORMATION AND REVENUE

Primary Reporting Format - Business Segments

As at 31 March 2022, the qualifying segments under business segment reporting are as follows;

- Commodity Brokering
- Warehousing

The following tables present revenue and profit and certain asset and liability information regarding the Group's Business Segments:

Management monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profit or loss and is measured consistently with operating profit or loss in the consolidated financial statements.

	Commodity Brokering		Warehousing		Elimination of Inter-Segment		Total	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Revenue								
Revenue from Contracts with Customers	312,035,860	318,945,805	266,293,664	211,874,064	-	-	578,329,524	530,819,869
Interest on Loans and Client Advances	133,283,310	116,340,051	-	-	-	-	133,283,310	116,340,051
Total Revenue	445,319,170	435,285,856	266,293,664	211,874,064	-	-	711,612,834	647,159,920
Results								
Finance Costs	(65,528,064)	(68,232,474)	(14,632,532)	(23,078,408)	7,126,920	9,138,534	(73,033,676)	(82,172,348)
Finance Income	3,668,121	6,594,461	6,699,316	8,350,171	(6,690,010)	(8,338,510)	3,677,427	6,606,122
Depreciation & Amortization	(1,679,505)	(2,171,974)	(71,319,984)	(71,319,984)	-	-	(72,999,489)	(73,491,958)
Amortization of Right of Use Assets	(10,868,643)	(11,232,197)	(940,000)	(940,000)	(2,635,670)	2,635,617	(14,444,313)	(9,536,580)
Gratuity Expense	(8,657,252)	(11,249,889)	(1,703,656)	(1,703,656)	-	-	(10,360,908)	(12,953,545)
Profit before Income Tax	136,949,158	(22,520,621)	64,604,982	24,025,659	(30,791,611)	(31,379,176)	170,762,529	(29,874,138)
Assets and Liabilities								
Segment Assets	1,971,621,584	1,608,991,116	1,136,233,971	1,168,089,947	(260,458,875)	(277,103,486)	2,847,396,684	2,499,977,579
Segment Liabilities	1,633,198,574	1,362,450,028	346,456,082	348,830,207	(70,547,459)	(87,504,794)	1,906,873,928	1,621,542,156

Elimination of inter-segment transactions includes dividend income received from Asia Siyaka Warehousing (Private) Limited of Rs.30,478,997/- (2021- Rs.31,529,997/-), vehicle hire charges of Rs. 7,380,000/- (2021 - Rs.7,394,940/-) and warehousing income of Rs. 3,441,240/- (2021 - Rs. 3,284,820/-).

28. COMMITMENTS AND CONTINGENCIES

28.1 Capital Commitments

The Group/ Company has purchase and construction commitments on Property, Plant and Equipment incidental to the ordinary course of business as at 31 March, as follows:

	Group		Company	
	2022 LKR	2021 LKR	2022 LKR	2021 LKR
Authorised by the Board, but not Contracted for	17,400,000	-	-	-
Contractual Commitments				-
	17,400,000		-	-

28.2 Contingencies

Asia Siyaka Warehousing (Pvt) Ltd issue Corporate Guarantees to banks on behalf of the parent company, at the reporting date corporate guarantees issued were amounted to Rs. 1,400Mn (2021 - Rs. 1,400Mn).

There have been no other significant contingencies as at the end of the reporting period that require adjustments to or disclosure in the financial statements.

29. ASSETS PLEDGED

29.1 Details of Assets Pledged together with the related banking facilities are as follows - Company

Bank	Nature of Facility	Facility Limit	Interest	Security/Assets pledged
NDB Bank	Short term loans	Rs. 200Mn	Variable	Mortgage over book debts of Rs.200Mn and Corporate Guarantee from Asia Siyaka Warehousing (Pvt) Ltd for Rs. 200Mn.
Commercial Bank	Short term loans	Rs. 400Mn	Variable	Mortgage over book debts for Rs.400Mn and Corporate Guarantee from Asia Siyaka Warehousing (Pvt) Ltd for Rs. 400Mn.
Hatton National Bank	Overdraft	Rs. 25Mn	Variable	Corporate Guarantee from Asia Siyaka Warehousing (Pvt) Ltd for Rs. 25Mn.
	Short term loans	Rs. 475Mn	Variable	Corporate Guarantee from Asia Siyaka Warehousing (Pvt) Ltd for Rs. 475Mn.
Bank of Ceylon	Overdraft	Rs. 20Mn	Variable	Against the fixed deposit in Bank of Ceylon of Rs. 33 Mn. The company has instructed to discontinue this facility.
Seylan Bank	Short term loans	Rs. 300Mn	Variable	Corporate Guarantee for Rs. 300Mn from Asia Siyaka Warehousing (Pvt) Ltd.

Notes to the Financial Statements

29.2 Details of Assets Pledged together with the related banking facilities are as follows - Subsidiary

Bank	Nature of Facility	Amount	Interest	Security/Assets pledged
Commercial Bank	Long Term Loan	Rs. 450 Mn	AWPLR + 1.5% p.a	Mortgage the leasehold rights of the Muthurajawela land

30. EVENTS AFTER THE REPORTING PERIOD

There have been no material events occurring after the reporting period that require adjustments to the financial statements.

The board of directors of the company has declared an interim payment of Dividend of Rs.0.35(35 Cents) per share on 23rd August 2022 for the year ending 31st March 2023.This would result in a total cash outflow of of Rs.91,000,000.

31. RELATED PARTY DISCLOSURES

31.1 Details of significant related party disclosures are as follows;

	Group	
Nature of Relationship	Lanka Commodity Brokers Ltd Parent	Total Rs.
Nature of Transaction		
As at 01 April 2021	1,555,758	1,555,758
Sale of Goods and Rendering of Services	13,377,465	13,377,465
Payments Made	(14,026,931)	(14,026,931)
As at 31 March 2022	906,292	906,292

	Company		
Nature of Relationship	Produce Brokers (Pvt) Ltd Rs. Subsidiary	Asia Siyaka Warehousing (Pvt) Ltd Rs. Subsidiary	Total Rs.
Nature of Transaction			
As at 01 April 2021	29,700	(82,814,315)	(82,784,615)
Sale of Goods and Services	-	(11,016,745)	(11,016,745)
Interest Cost on Loans	-	(6,690,010)	(6,690,010)
Fund Received/ (Transferred)	-	15,662,821	15,662,821
Payments Made	-	22,325,545	22,325,545
Expenses Paid/ (Incurred)	41,310	(6,287,353)	(6,246,043)
As at 31 March 2022	71,010	(68,820,057)	(68,749,047)

31. RELATED PARTY DISCLOSURES (CONTD.)

The sales to and purchases from related parties are made at terms equivalent to those that prevail in arm's length transactions. Outstanding balances at the year-end are unsecured and subject to an average interest of 7.45% per annum except for balances from parent. The guarantees received from Asia Siyaka Warehousing (Private) Ltd is amounting to Rs. 1,400Mn (2021 - Rs. 1,400Mn). For the year ended 31 March 2022, the Company has not recorded any impairment of receivables relating to amounts owed by related parties (2021 - Nil). This assessment is undertaken in each financial year by examining the financial position of the related party and the market in which the related party operates.

31.1.1 Recurrent related party transactions

There were no recurrent related party transactions which in aggregate value exceeds 10% of the consolidated revenue of the Group as per 31st March 2022 audited financial statements, which required additional disclosure in the 2021/2022 Annual Report under Colombo Stock Exchange listing rule 9.3.2 and Code of Best Practice on Related Party Transactions under the Securities and Exchange Commission Directive issued under Section 13 (c) of the Securities and Exchange Commission Act.

31.1.2 Non-Recurrent related party transactions

There were no non -recurrent related party transactions which in aggregate value exceeds 10% of equity or 5% of total assets whichever is lower of the Company as per 31st March 2022 audited financial statements, which required additional disclosure in the 2021/2022 Annual Report under Colombo Stock Exchange listing rule 9.3.2 and Code of Best Practice on Related Party Transactions under the Securities and Exchange Commission Directive issued under Section 13 (c) of the Securities and Exchange Commission Act.

31.2 Transactions with Key Management Personnel (KMP) of the Group

Related parties include KMPs defined as those persons having authority and responsibility for planning, directing and controlling the activities of the Company and it's Subsidiaries. Such KMPs include the Board of Directors, Chief Executive Officer and Other Senior Management Executives of the Group who meet the criteria described above.

	Group	
	2022 Rs.	2021 Rs.
Salaries and Other Short Term Benefits	89,835,812	93,143,714
Post Employment Benefits	6,526,199	6,555,359
	96,362,011	99,699,073

31.3 Following Directors are also Directors of the Related Entities

(i) Mr. S.T. Gunatilleke who is a Director of the Company is also the Chairman of Lanka Commodity Brokers Ltd.

(ii) Mr. A.R. Cooke, Mr. D.J. Wedande and Mr. S. G. Amarasuriya who are Directors of the Company are also Directors of Asia Siyaka Warehousing (Pvt) Ltd and Siyaka Produce Brokers (Pvt) Ltd. which are fully owned subsidiaries of the Company.

(iii) Mr. Y. Kuruneru, Mr. R.C Dissanayaka and Mr. A. Vaithylingam who are Directors of the Company are also Directors of Asia Siyaka Warehousing (Pvt) Ltd. which is a fully owned subsidiaries of the Company.

(iv) Mr. S.G. Amarasuriya and Mr. J.N. Dambawinne and Mr.M.R.Morris who are Directors of the Company are also Directors of Lanka Commodity Brokers Ltd

(v) Mr. H. R. V. Caldera who is a Director of the Company is also the Proprietor of VC Associates which provides consultancy services to the company. During the year the Company paid Rs. 5,431,117/- as consultancy fees to VC Associates.

32. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The Group's principal financial liabilities comprise interest bearing loans and borrowings and trade and other payables. The main purpose of these financial liabilities is to finance the Group's operations. The Group has trade and other receivables, and cash and short-term deposits that arrive directly from its operations.

The Group is exposed to market risk, credit risk and liquidity risk.

The senior management of the Group oversees the management of these risks. The senior management of the Group determine on financial risks and the appropriate financial risk governance framework for the Group. The financial risk-taking activities are governed by appropriate policies and procedures and that financial risks are identified, measured and managed in accordance with Group policies and risk appetite.

The Board of Directors reviews and agrees policies for managing each of these risks which are summarized below.

Market risk

Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group's exposure to the risk of changes in market interest rates relates primarily to the Group's long term debt and short term borrowings with floating interest rates. The Group manages its risk by striking a balance between long term and short term debts. The Group has easy access to funds at competitive interest rates.

Interest rate sensitivity

The following table demonstrates the sensitivity to a reasonably possible change in interest rates on that portion of the long term and short term borrowings. With all other variables held constant, the Group's profit before tax is affected through the impact on floating rate borrowings as follows;

	Group		Company	
	Change in Basis Points	Change in Profit before Tax Rs.	Change in Basis Points	Change in Profit before Tax Rs.
2022	300 (3%)	21,968,571	300 (3%)	17,790,000
2021	300 (3%)	20,537,143	300 (3%)	14,430,000

Equity Price risk

The Group's listed equity securities are susceptible to market price risk arising from uncertainties about the future values of the investments securities.

Credit risk

Credit risk is the risk that a counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. The Group is exposed to credit risk from its operating activities (primarily for Trade receivables, Loans and advances) and from its financing activities, including deposits with banks.

Trade receivables

Customer credit risk is managed in accordance with the Group's established policy, procedures and control relating to customer credit risk management. Individual credit limits are defined in accordance with the prior experience with the customers. Outstanding customer receivables are regularly monitored. The requirement for an impairment is analyzed at each reporting date on an individual basis for major clients. Additionally, a large number of minor receivables are grouped into homogenous groups and assessed for impairment collectively. The calculation is based on expected credit loss. Hence the Group evaluate the concentration of risk with respect to trade receivable as low.

The maximum exposure to credit risk at the reporting date is the carrying value of Trade and other receivables, Loans and advances and Cash and cash equivalents disclosed in Note 9, 10 and 12 respectively.

33. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

Liquidity risk

The table below summarizes the maturity profile of the Group's financial liabilities based on contractual undiscounted payments.

	2022				
Group	On demand Rs.	Less than 3 months Rs.	Payable Within 1 Year Rs.	Payable after 1 Year Rs.	Total Rs.
Bank loans- Commercial Bank	-	-	64,285,710	75,000,006	139,285,716
Interest-Bearing Loans and Borrowings on Client Financing - STL	-	593,000,000	-	-	593,000,000
Lease Liabilities	-	-	10,717,967	2,058,216	12,776,183
Trade Payables	-	875,156,228	-	-	875,156,228
Bank Overdrafts	2,331,088	-	-	-	2,331,088
	2,331,088	1,468,156,228	75,003,677	77,058,222	1,622,549,215

	2021				
	On demand Rs.	Less than 3 months Rs.	Payable Within 1 Year Rs.	Payable after 1 Year Rs.	Total Rs.
Bank loans- Commercial Bank	-	-	64,285,710	139,285,720	203,571,430
Interest-Bearing Loans and Borrowings on Client Financing - SLT	-	481,000,000	-	-	481,000,000
Lease Liabilities	-	-	9,187,037	13,685,550	22,872,586
Trade Payables	-	552,383,465	-	-	552,383,465
Bank Overdrafts	26,623,246	-	-	-	26,623,246
	26,623,246	1,033,383,465	73,472,747	152,971,270	1,286,450,727

Notes to the Financial Statements

	2022				
Company	On demand Rs.	Less than 3 months Rs.	Payable Within 1 Year Rs.	Payable after 1 Year Rs.	Total Rs.
Interest-Bearing Loans and Borrowings on Client Financing - STL	-	593,000,000	-	-	593,000,000
Trade Payables	-	943,976,285	-	-	943,976,285
Lease Liabilities	-	-	12,374,358	2,058,216	14,432,574
Bank Overdrafts	2,331,088	-	-	-	2,331,088
	2,331,088	1,536,976,285	12,374,358	2,058,216	1,553,739,947

	2021				
	On demand Rs.	Less than 3 months Rs.	Payable Within 1 Year Rs.	Payable after 1 Year Rs.	Total Rs.
Interest-Bearing Loans and Borrowings on Client Financing - STL	-	481,000,000	-	-	481,000,000
Trade Payables	-	635,197,794	-	-	635,197,794
Lease Liabilities	-	-	12,191,366	15,341,942	27,533,308
Bank Overdrafts	26,623,246	-	-	-	26,623,246
	26,623,246	1,116,197,794	12,191,366	15,341,942	1,170,354,348

Capital management

Capital includes equity attributable to the equity holders of the parent. The primary objective of the Group's capital management is to ensure that it maintains healthy capital ratios in order to support its business and maximize shareholder value. The Group manages its capital structure and makes adjustments to it in light of changes in economic conditions. The Group has long term debt in its capital structure amounting to Rs. 139 Mn. (2021 - Rs. 203 Mn).

No changes were made in the objectives, policies or processes for managing capital during the years ended 31 March 2022 and 31 March 2021.

34. THE IMPACT DUE TO CURRENT ECONOMIC CONDITION ON THE OPERATIONS OF THE GROUP

As at 31st March 2022, CCPI based headline inflation rate was 18.70% compared to 4.10% reported in the same comparative period. However, it has been further escalated up to 54.60% at 30 June 2022. Exchange rates also observed a notable fluctuation after the balance sheet date and there is no direct impact to the groups' operation since all the transactions were based on rupee denominations. The depreciation of rupee has made a favorable impact to the tea auction prices while increasing tea brokerage revenue to the company.

The Monetary Board of the Central Bank of Sri Lanka (CBSL) has decided to increase the Standing Deposit Facility Rate (SDFR) and the Standing Lending Facility Rate (SLFR). The depletion of foreign reserves has put restrictions on imports and affected supplies.

The Company has taken the following measures to ensure it continues its operations as a going concern.

1. Regular discussions within the Credit Committee and industry associations in order to identify potential risks and risk mitigation strategies.
2. Close monitoring of the Loans and Advances operation to ensure the clients credit risk is sustainable.
3. Implementation of diversification strategies within the group to reduce overall risk.
4. Investments in ITC Hardware and Software to facilitate work from home to overcome power outages and other courses of disruptions to the auction process.

The management of the group continues to monitor the potential impact to the continuity of the business. Accordingly, macroeconomic variables are evaluated while making assumptions and judgments when preparing financial statements.

Shareholder Information

DIRECTORS' AND CEO'S SHAREHOLDING AS AT 31ST MARCH 2022

		No. of Shares	%
1.	Mr T Someswaran	NIL	-
2.	Mr. A R Cooke	9,747,143	3.75
3.	Mr. D J Wedande	8,353,067	3.21
4.	Mr. S T Gunathilake	130,000	0.05
5.	Mr. S G Amarasuriya	NIL	-
6.	Mr. Y Kuruneru	2,499,063	0.96
7.	Mr. H R V Caldera	NIL	-
8.	Mr. J N Dambawinne	NIL	-
9.	Mr. S S Samaranayake	265,734	0.1
10.	Mr. R C Dissanayake	1,279,808	0.49
11.	Mr. A Vaithylingam	NIL	-
12.	Mr. M R Morris	NIL	-

SHARE PRICES FOR THE YEAR

	Market Price per Share	As at 31.03.2022	Date	As at 31.03.2021	Date
1.	Highest during the year	Rs. 4.30	01.02.2022	Rs. 4.50	13.10.2020
2.	Lowest during the year	Rs. 2.10	30.03.2022	Rs. 1.60	12.05.2020
3.	As at End of Year	Rs. 2.20	31.03.2022	Rs. 2.50	31.03.2021

	As at 31.03.2022	As at 31.03.2021
Number of Transactions during the year	13,625	15,785
Number of Shares Traded during the year	197,769,062	220,347,136
Value of Shares Traded during the year	Rs. 664,737,154.70	Rs. 735,248,452.70

PUBLIC HOLDING AS AT 31ST MARCH 2022

1. Public Holding percentage - 40.40%
2. Number of shareholders representing the above percentage - 1,965
3. The Float adjusted Market Capitalization - Rs. 231,102,786.20
4. The Float Adjusted Market Capitalization of the Company falls under Option 2 of Rule 7.14.1(b) of the Listing Rules of the Colombo Stock Exchange and the Company has complied with the minimum public holding requirement applicable under the said option.

SHARE DISTRIBUTION

Share Holding As At 31St March 2022

From	To	No. of Holders	No. of Shares	%
1	1,000	813	208,541	0.08
1,001	10,000	611	2,771,576	1.06
10,001	100,000	421	16,013,273	6.15
100,001	1,000,000	108	32,830,537	12.63
Over 1,000,000		19	208,176,073	80.07
		1,972	260,000,000	100

CATEGORIES OF SHAREHOLDERS

Local Individuals	1,887	91,652,597	35.25
Local Institutions	76	167,781,603	64.53
Foreign Individuals	9	565,800	0.22
Foreign Institutions		-	
	1,972	260,000,000	100.00

TWENTY MAJOR SHAREHOLDERS AS AT 31ST MARCH 2022

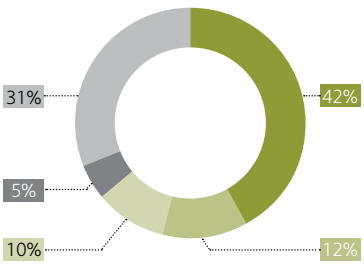
#	NAME	As at 31st March 2022 NO. OF SHARES	%	As at 31st March 2021 NO OF SHARES	%
1.	LANKA COMMODITY BROKERS LIMITED	132,678,464	51.03	145,148,464	55.83
2.	CHADSTONE PVT LTD	13,485,035	5.19	12,634,932	4.86
3.	MR K.V. HEWAVITARNE	12,630,136	4.86	12,630,136	4.86
4.	MR A.R. COOKE	9,747,143	3.75	9,747,143	3.75
5.	PEOPLE'S LEASING & FINANCE PLC/L.P.HAPANGAMA	9,116,800	3.51	-	-
6.	MR D.J. WEDANDE	8,353,067	3.21	8,353,067	3.21
7.	MR Y. KURUNERU	2,499,063	0.96	2,499,063	0.96
8.	PEOPLE'S LEASING & FINANCE PLC/MR.D.M.P.DISANAYAKE	2,393,990	0.92	-	-
9.	MR W.A.A.T.M. JAYAWICKRAMA	2,261,402	0.87	-	-
10.	MR W.M.K.S.N.D. FERNANDO	2,125,656	0.82	2,125,656	0.82
11.	MR A.D. EDUSSURIYA	2,000,000	0.77	2,000,000	0.77
12.	MR K.D.D.H. DAYARATNE	1,550,000	0.60	-	-
13.	PEOPLE'S LEASING & FINANCE PLC. / MRS. C.M.DISSANAYAKE	1,549,640	0.60	-	-
14.	PEOPLE'S LEASING & FINANCE PLC. / L.H.L.M.P.HARADASA	1,507,035	0.58	-	-
15.	MR M.H.M. NAZEER (DECEASED)	1,500,000	0.58	1,500,000	0.58
16.	MR H.K.S. HALLOLUWA	1,293,834	0.50	1,041,569	0.40
17.	MR R.C. DISSANAYAKE	1,279,808	0.49	1,279,808	0.49
18.	MR U.V.J.S. RANASINGHE	1,105,000	0.43	-	-
19.	MR F.R. MUZAMMIL	1,100,000	0.42	-	-
20.	MR B.L.S. PEIRIS & MRS L.B. PEIRIS	1,000,000	0.38	1,000,000	0.38
		209,176,073	80.45	199,959,838	76.91
	OTHERS	50,823,927	19.55	60,040,162	23.09
		260,000,000	100.00	260,000,000	100.00

Value Added Statement

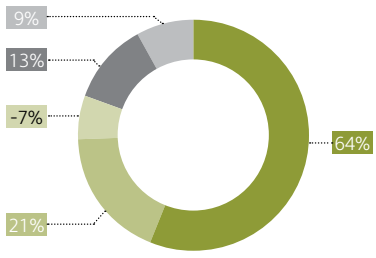
	Group				Company			
	2021/2022 Rs.	%	2020/2021 Rs.	%	2021/2022 Rs.	%	2020/2021 Rs.	%
Revenue	711,612,834		647,159,920		434,537,911		421,584,659	
Other Income	31,105,564		4,143,782		54,446,592		33,817,348	
	742,718,398		651,303,702		488,984,503		455,402,007	
Cost of materials and services obtained	(171,894,178)		(286,276,384)		(99,655,411)		(241,191,682)	
Value Addition	570,824,220		365,027,318		389,329,092		214,210,325	
Value Allocated to:								
To Employees								
Salaries, wages and other benefits	237,958,074	42	235,416,772	64	171,787,837	44	166,571,177	78
To Providers of funds								
Interest to money lenders	69,411,767	12	75,468,747	21	61,496,394	16	60,786,103	28
To Government								
VAT/NTB on Financial Service	6,051,397		(40,722)		6,051,397		(40,722)	
VAT / NBT / Stamp Duty	485,475		285,600		476,875		280,500	
Rates & Taxes	708,712		742,535		10,172		-	
Income Tax	40,563,898		4,296,997		23,019,068		690,810	
Deferred Taxation	11,029,090		(29,938,366)		8,790,137		(4,353,977)	
	58,838,572	10	(24,653,956)	(7)	38,347,649	10	(3,423,389)	(2)
To Providers of capital								
Dividend paid to share holders	26,000,000	5	46,800,000	13	26,000,000	7	46,800,000	22
To expansion and growth								
Profit retained	93,169,540		(51,032,769)		79,149,063		(65,573,754)	
Depreciation and Amortization	85,446,267		83,028,524		12,548,149		13,404,165	
Deferred Taxation							(4,353,977)	
	178,615,807	31	31,995,755	9	91,697,212	24	(56,523,566)	(26)
	570,824,220	100	365,027,318	100	389,329,092	100	214,210,325	100

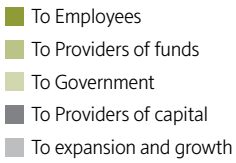
	Group			
	2021/2022	%	2020/ 2021	%
To Employees	237,958,074	42	235,416,772	64
To Providers of funds	69,411,767	12	75,468,747	21
To Government	58,838,572	10	(24,653,956)	(7)
To Providers of capital	26,000,000	5	46,800,000	13
To expansion and growth	178,615,807	31	31,995,755	9
	570,824,220	100	365,027,318	100

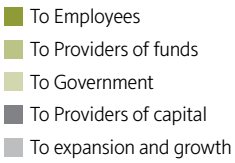
2021/2022



2020/2021







Note : Previous Year figures were reclassified where relevent for better presentation and to be comparable with those of the current year.

Glossary of Financial Terms

ACCOUNTING POLICIES
The specific principals, bases, conventions, rules and practices adopted by an enterprise in preparing and presenting Financial Statements.

ACCRUAL BASIS
Recording revenue & expenses in the period in which they are earned or incurred regardless of whether cash received or disbursed in that period.

AMORTISATION
The systematic allocation of the depreciable amount of an intangible asset over its useful life.

BORROWINGS
Bank loans, overdrafts, obligations and interest bearing liabilities.

CAPITAL EMPLOYED
Shareholders' funds plus debt.

CASH & CASH EQUIVALENT
Liquid investments with original maturity periods of three months or less.

CONTINGENT LIABILITY
A possible obligation that arises from past events whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the enterprise.

CURRENT RATIO
Current assets divided by current liabilities.

DEBT/EQUITY RATIO
Debt as a percentage of Shareholder funds.

DEFERRED TAXATION
Sum set aside for tax in the accounts of an entity that will become liable in a period other than that under review.

DIVIDEND PAYOUT RATIO
Profit paid out to shareholders as dividends as a percentage of profits made during the year.

DIVIDENDS
Distribution of profits to holders of equity investments.

EARNINGS PER SHARE
Profit attributable to ordinary shareholders divided by the number of ordinary shares.

GSA
The Gross Sales Average. This is the average sales price obtained (over a period of time, for a kilo of produce) before any deductions such as brokerage etc.

GRI
Global Reporting Initiatives

ISO
International Standards Organization

LEED
Leadership in Energy and Environmental Design

MARKET CAPITALISATION
Number of shares in issue at the end of the period multiplied by the market price.

NET ASSETS
Sum of fixed assets and current assets less total liabilities.

NET ASSETS PER SHARE
Net assets at the end of the period divided by the number of ordinary shares in issue.

NET TURNOVER PER EMPLOYEE
Net Turnover over average number of employees.

NSA
Net Sales Average.

PAT
Profit After Taxation.

PBT
Profit Before Taxation.

RELATED PARTIES
Parties who could control or significantly influence the financial and operating policies of the company.

RETURN ON EQUITY
Profit before tax divided by equity at the end of the period.

REVENUE RESERVE
Reserves considered as being available for distributions and investments or the portion of a business' profits retained by the company for investment in future growth, and are not redistributed to the shareholders through regular or special dividends.

SHAREHOLDER FUNDS
Total of issued and fully paid up capital and reserves.

STAFF TURNOVER RATIO
The ratio of the number of employees that leave a company through attrition, dismissal or resignation during a period to the number of employees on payroll during the same period.

TOTAL VALUE ADDED
The difference between revenue and expenses, cost of materials and services purchased from external sources.

VALUE ADDITION
The quantum of wealth generated by the activities of the group and its application.

VALUE CREATION
The performance of actions that increase the worth of goods, services or even a business.

WORKING CAPITAL
Current Assets exclusive of liquid funds and interest bearing financial receivables less operating liabilities plus non-interest bearing provisions.

Notice of Meeting

NOTICE IS HEREBY GIVEN that the 10th Annual General Meeting of Asia Siyaka Commodities PLC will be held by way of electronic means on 30th September 2022 at 10.00 a.m. centered at the Board Room of the Company at 1st floor, "Deutsche House", No. 320, T B Jayah Mawatha, Colombo 10; for the following purposes:

1. To receive and consider the Annual Report of the Board of Directors on the affairs of the Company and its subsidiaries and the Statement of Accounts for the year ended 31st March 2022 and the Report of the Auditors thereon.

2. To re-elect Mr. J N Dambawinne who retires in terms of Article 87(i) of the Articles of Association, as a Director of the Company.

3. To pass the ordinary resolution set out below to re-appoint Mr. H R V Caldera who is 77 years of age, as a Director of the Company;

   "IT IS HEREBY RESOLVED THAT the age limit stipulated in Section 210 of the Companies Act, No.07 of 2007 shall not apply to Mr. H R V Caldera who is 77 years of age and that he be and is hereby re-appointed a Director of the Company in terms of Section 211 of the Companies Act No. 07 of 2007."

4. To pass the ordinary resolution set out below to re-appoint Mr. T Someswaran who is 79 years of age, as a Director of the Company;

   "IT IS HEREBY RESOLVED THAT the age limit stipulated in Section 210 of the Companies Act, No.07 of 2007 shall not apply to Mr. T Someswaran who is 79 years of age and that he be and is hereby re-appointed a Director of the Company in terms of Section 211 of the Companies Act No. 07 of 2007."

5. To re-appoint Messrs Ernst & Young, Chartered Accountants, the retiring Auditors and to authorise the Directors to determine their remuneration.

6. To authorise the Directors to determine donations for the year ending 31st March 2023 and up to the date of the next Annual General Meeting.

By Order of the Board
ASIA SIYAKA COMMODITIES PLC

P W Corporate Secretarial (Pvt) Ltd
Director / Secretaries
At Colombo

31 August 2022

Notes:

1) A shareholder entitled to attend or attend and vote at the Meeting is entitled to appoint a Proxy who need not be a shareholder, to attend or attend and vote instead of him/her. A Proxy may vote on a poll (and join in demanding a poll).
2) A Form of Proxy is enclosed in this Report.
3) The completed Form of Proxy should be deposited at the Office of the Company, 1st Floor, "Deutsche House", No. 320 T B Jayah Mawatha, Colombo 10 not later than 36 hours before the time appointed for the meeting.

Notes

Notes

Form of Proxy

*I/We.....holder of NIC No. ..... of .....

being a *Shareholder /Shareholders of Asia Siyaka Commodities PLC, do hereby appoint .....

holder of NIC No.....of .....or failing him/her

Mr. T Someswaran	or failing him
Mr. A R Cooke	or failing him
Mr. D J Wedande	or failing him
Mr. S T Gunatilleke	or failing him
Mr. S G Amarasuriya	or failing him
Mr. Y Kuruneru	or failing him
Mr. V Caldera	or failing him
Mr. J N Dambawinne	or failing him
Mr. R C Dissanayake	or failing him
Mr. S S Samaranayake	or failing him
Mr. A Vaithylingam	or failing him
Mr. M R Morris	

as *my/our proxy to represent me/us to speak and vote for me/us on my/our behalf at the Annual General Meeting of the Company to be held on 30th September 2022 at 10.00 a.m. and any adjournment thereof and at every poll which may be taken in consequence thereof.

	For	Against
1. To re-elect Mr. J N Dambawinne as Director in terms of Article 87 (i) of the Articles of Association of the Company.		
2. To pass the ordinary resolution set out in the Notice of Meeting under item 3 for the re-appointment of Mr. H R V Caldera		
3. To pass the ordinary resolution set out in the Notice of Meeting under item 4 for the re-appointment of Mr. T Someswaran		
4. To appoint Messrs. Ernst & Young Chartered Accountants as Auditors of the Company and to authorize the Directors to fix their remuneration.		
5. To authorize the Directors to determine donations for the year ending 31st March 2023 and up to the date of the next Annual General Meeting.		

Signed this..... day of ..... Two Thousand and Twenty Two

.....
Signature

1) *Please delete the inappropriate words.
2) Instructions as to completion are noted on the reverse thereof.

Form of Proxy

INSTRUCTIONS AS TO COMPLETION

1. Kindly perfect the Form of Proxy after filling in legibly your full name and address and sign in the space provided. Please fill in the date of signature.
2. If you wish to appoint a person other than Directors as your proxy, please insert the relevant details in the space provided overleaf.
3. In terms of Article 73 of the Articles of Association of the Company, the Form of Proxy;

(i) in the case of an individual shall be signed by the appointor or by his attorney; and

(ii) in the case of a Corporation shall be signed as provided by its Articles of Association by person/s authorised to do so, on behalf of the Corporation. The Company may, but shall not be bound to require evidence of the authority of any person so signing

(iii) a proxy need not be a Shareholder of the Company.

4. In terms of Article 68 of the Articles of Association of the Company
In the case of joint-holders of a share the vote of the senior who tenders a vote, whether in person or by proxy, shall be accepted to the exclusion of the votes of the other joint-holders and for this purpose seniority shall be determined by the order in which the names stand in the Register of Shareholders in respect of the joint holding.
5. To be valid the completed Form of Proxy shall be deposited at the Office of the Company, 1st Floor, “Deutsche House”, No. 320 T B Jayah Mawatha, Colombo 10 not later than 36 hours before the time appointed for the meeting.

Corporate Information

Name of the Company
ASIA SIYAKA COMMODITIES PLC

Company Registration No
PV3562PB/PQ

Legal Form
A Public Quoted Company with Limited Liability

Date of Incorporation
The Company was incorporated bearing Company Registration No. PV3562 on February 16, 1998 and was converted to a public limited liability company on March 28, 2012 under Company Registration No. PV3562/PB

The shares were listed in the Colombo Stock Exchange on September 12, 2012. Consequently the name of the Company changed to Asia Siyaka Commodities PLC and the registration number to PV3562PB/PQ.

Nature of Business
To carry on the business of Tea Brokers, Rubber Brokers, Produce Brokers, Auctioneers, Appraisers, Valuers, Commission Agent and General Agents

Head Office & Registered Office
1st Floor, "DEUTSCHE HOUSE"
No. 320, T B Jayah Mawatha, Colombo 10
Telephone : +94 114 600700
Fax: +94 112 678145
E-mail: tea@siyaka.lk
Website: www.asiasiyaka.com

Board of Directors
Mr T Someswaran - Chairman
Mr. A R Cooke - Managing Director
Mr. D J Wedande - Executive Director
Mr. S T Gunathilake - Non-Executive Director
Mr. S G Amarasuriya - Executive Director
Mr. Y Kuruneru - Executive Director
Mr. H R V Caldera - Non-Executive Director
Mr. J N Dambawinne - Non-Executive Director
Mr. R C Dissanayake - Executive Director
Mr. S S Samaranayake - Executive Director
Mr. A Vaithylingam - Non-Executive Director
Mr. M R Morris - Non-Executive Director

Subsidiary Companies
Asia Siyaka Warehousing (Private) Limited
Siyaka Produce Brokers (Private) Limited

Secretaries
P W Corporate Secretarial (Pvt) Ltd
3/17, Kynesy Road, Colombo 08.
Telephone : +94 114 640360-3
Fax : +94 114 740588

Lawyers
Rohanadeera Associates
Attorneys-at-Law & Notaries Public,
No. 34 1/39, Lawyers' Office Complex,
St. Sebastian Hill, Colombo 12.

External Auditors
Ernst & Young,
Chartered Accountants,
201, De Saram Place,
P.O.Box 101, Colombo 10.

Internal Auditors
SJMS Associates,
Affiliate of Deloitte,
Chartered Accountants
11, Castle Lane, Colombo 4.

Bankers
Bank of Ceylon
Commercial Bank of Ceylon PLC
DFCC Vardhana Bank PLC
Hatton National Bank PLC
NDB Bank PLC
Peoples Bank
Sampath Bank PLC
Seylan Bank PLC

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